GNFC (GNFC)

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Call: May 2023

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Ng G2 [#] lo— Fertilizers & Chemicals Limited
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Co. Code: BSE - "500670" Co. Code: NSE- "GNFC EQ"
Sub.: Transcript of Investors / Analysts meet through Conference Call.
Dear Sir/Madam,
We had vide our letter dated 16" May, 2023 intimated the Stock Exchanges about the revised schedule of Investors / Analysts meet through Conference Call on Monday, 22" May, 2023 at 3:30 PM IST through Conference Call.
We send herewith a copy of Transcript of Investors / Analysts meet through Conference Call which took place on 22" May, 2023. The said transcript along with the audio is also uploaded on the Company's website i.e. www.gnfc.in
We request you to kindly take note of the above.
Thanking you,
Yours faithfully,
For GUJARAT NARMADA VALLEY FERTILIZERS & CHEMICALS LTD
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COMPANY SECRETARY & GM (LEGAL)
“Gujarat Narmada Valley Fertilizers & Chemicals
Limited
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May 22, 2023
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GNFC Bi Soa 3 ds soem
MANAGEMENT: MR. D. V. PARIKH — EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER — GUJARAT NARMADA
VALLEY FERTILIZERS & CHEMICALS LIMITED
MR. Y. N. PATEL — HEAD OF DEPARTMENT
(OPERATIONS & MAINTENANCE) — GUJARAT
NARMADA VALLEY FERTILIZERS & CHEMICALS
LIMITED
MR. A.C. SHAH — GENERAL MANAGER AND COMPANY
SECRETARY — GUJARAT NARMADA VALLEY
FERTILIZERS & CHEMICALS LIMITED
MR. JITEN DESAI —- MARKETING — GUJARAT
NARMADA VALLEY FERTILIZERS & CHEMICALS
LIMITED
MODERATOR: MR. NITESH VAGHELA — ANURAG SERVICES LLP

Moderator:
Nitesh Vaghela:
D.V. Parikh: Gujarat Narmada Valley Fertilizers & Chemicals Limited
May 22, 2023
Ladies and gentlemen, good day and welcome to the Gujarat Narmada Valley Fertilizers and Chemicals Limited Investors Concall Meet to discuss the financial performance for the fourth quarter and financial year ended 31st March 2023 of 2022-23.
As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity

for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitesh Vaghela from Anurag Services, LLP. Thank you and over to you, sir.

Thank you and good afternoon. Welcome to the fourth quarter and financial year ended March 31st, 2023, earning conference call of Gujarat Narmada Valley Fertilizers & Chemicals Limited hosted by Anurag Services, LLP. From the management, we have Mr. D.V. Parikh, Executive Director and CFO, Mr. Y.N Patel, Head of Operations and Maintenance Department, and Mr. A.C. Shah, General Manager and Company Secretary and other senior dignitaries from the management.

I would like to thank the management for giving us the opportunity to host this call. We will begin the call with opening remarks from the management, post which we will have a question-and-answer session. Thank you and over to you, sir. Thank you. Thank you.

Good afternoon and welcome, everybody. I will first start with the year in retrospect for FY22-23. There has been a massive impact as far as the commodity sector is concerned about two factors

. One is, at the start of the year, the impact of intensifying war as well as the China lockdown. These two have had impacts mainly on the input costs, apart from the fact of elevated finished goods prices because of the China lockdown.

Coming to the overall company performance, on a volume basis, the fertilizer volumes have been lower, especially in urea. We will touch upon the points of reduction in the volume of urea in the Q&A session. And as far as chemical is concerned, it has done a bit better even after factoring the reduction in both aniline and methanol volumes on an annual basis.

‘When we come to the price part, the prices have been quite robust up to December, but thereafter it has nosedived in terms of the chemical products in Q4. As far as input costs are concerned, they have been all through very high. Now they are showing the signs of tapering off, especially from Q4 -- after Q4 onwards.

In terms of production and sales records, there has been highest production and sales of ethyl acetate, ammonium nitrate as well as urea in general, both taken together. Formic acid is also highest, but there was a revamp, so in a way, these three products have been the highest in its true sense.

Nirav Jimudia:
Y.N. Patel:
Nirav Jimudia:
Y.N. Patel:
Nirav Jimudia:
Y N Patel:
Nirav Jimudia:

Coming to the capital expenditure part of it, the Formic acid revamp plan has been operationalized somewhere around April 22 during the year and substantial commitment in respect of the coal-based power plant has been made. 90% of the total, around INR600 plus crores of investment has been committed.

Coming to the financial part of it, the turnover stands at INR10, 227 crores, other than the other income, otherwise it exceeds INR 10,500 crores. Dividend is at 300%, INR30 per share. In terms of the profit, they are the second highest ever at INR1, 931 crores in terms of PBT. When we talk about segment, segment is primarily led by chemicals. In case of fertilizer, there have been losses. We will come to the points of losses when we come to the question-and-answer session. So, this is what broadly the coverage on the broad financials is.

Now I hand it over back to the organizer for the Q&A session.

Sir, first is on our ammonia production through the oil route. So even if we consider the current prices of fuel oil or the oil which we use, I think some rough understanding and working suggests that, still our cost of production of ammonia is coming closer to the international rates of ammonia which is prevalent in the world, where most of the ammonia is getting produced through the natural gas route. So, if you can just confirm this that whether those sorts of calculations are correct, and we should continue produce ammonia through the oil route rather than purchasing ammonia from the outside market and producing those downstream chemicals?

[am Y.N Patel answering your question. As far as ammonia is under question, we are not producing ammonia basically for sale of ammonia.

For downstream only?

Yes, it's for captive consumption. So as per the contribution in downstream products, if required we buy ammonia source from the market irrespective of whether it is from energy or whatever may be the feedstock.

My question basically is still producing through the oil route gives us good amount of trade-off

between producing it rather than purchasing it from the market because ammonia rates whatever it was in the month of December and now they have gone down by close to $550-$600 in that range through the correction in the natural gas prices. So still, I am just trying to understand that still it is profitable for us to produce ammonia through.
Yes, yes, you are right. As far as you know we still have some margin in producing from oil as a feedstock.
In one of the last presentation, I think our oil cost was like I

NR52. So, if you can let us know for
Q4 what was the cost and what is the cost currently going on for the oil part? So, our raw material which we predominantly purchase for our ammonia production.

D.V. Parikh:
Nirav Jimudia:
D.V. Parikh:
Y.N. Patel:
Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
Jiten Desai:
Nirav Jimudia:

So, on ammonia we will come back to your oil cost part little later, on ammonia if you see on yearly basis the price has gone down by 66%. Number one. Number two when we are talking about producing versus buying, manufacturing company like ours cannot do that on a huge scale why because it is through the manufacturing process other integrations are served. It is not that if you buy ammonia when it is cheaper, we stop producing the full ammonia and yet we are ina position to make the downstream products. It is not possible.
Now coming to your question on the oil, oil is still hovering around between ranges of 045000 to 055000 every month it hovers by around 05000. So oil cost, yes of course they have come down as compared to the earlier ones especially in Q4 it has come down. Coal has come down and natural gas has also come down in Q4.
And sir what was the production of ammonia through the oil route in FY 23 if you can specify?
Mr. Y.N. Patel will answer that question.
See total ammonia production is 6, 79,000 So there is a total production out of which you can consider about 40% production, I don't have the figure -- roughly 40% will be from oil based.
The second question is on the situation of WNA & CNA in the domestic market because we are also now expanding our CNA plant is coming up in FY24, if you can just walk us in terms of what is the current demand supply situation for WNA & CNA? How much we have produced in FY23 WNA and how much we have sold in the domestic market? So, if you can first talk about our company and then if you can just break down between the demand supply situations in India that would be helpful sir?
Regarding WNA production we got around 3.23 lakh WN and sales of 1.08 lakh so total it is 431,000 MTPA WNA production we have got, and CNA summation will be 110,000 MTPA.
Last year we have sold close to 115,000 tons of WNA in the market after consuming for our internal consumption, similarly this year also could be a similar figure, or we have sold higher WNA in the market this time?
Last year we sold 1, 07,000 if I correct you, I am Jiten Desai from marketing. Mr. Nirav last year we sold something around 1, 07,000 this year FY23 we have sold 1, 15,000
If you can just walk us through the demand supply situation of WNA & CNA in the domestic market in lieu of few more players are setting up their captive capacities we are also expanding so if you can just help us explain the domestic situation that would be helpful?
Some of the bulk consumers are setting up their plants, but it will take some time as per our information and secondly as per CNA is concerned, we have our captive consumption so we have a spare quantity is very little for us for sale whenever our CNA 4 plant will be

Nirav Jimudia:
J I Desai:
Nirav Jimudia:
J I Desai:
Nirav Jimudia:
V. Rangan:
Y.N. Patel:
V Rangan:
V Rangan:

commissioned, we are preparing for that and there is a sufficient demand to absorb the additional production.
So, what could be the size of Indian market in terms of WNA & CNA?
CNA it is very difficult to say because the demand is suppressed because of availability because you know CNA is not importable.
Correct absolutely. WNA could only be imported...
Whenever it is made available the downstream units will come up and start consuming the quantity. About weak nitric acid demand in India is concerned it is around 3 lakh tons 3.5 lakh tons any

where between this because this is used in some unorganized sectors like potassium nitrate and calcium nitrate, so this is based on the sales of the producing manufacturers but the demand can go up or down because it is in unorganized sectors and largely depends on so many other factors, apart from the captive.
Got it sir [have one more question, but I think I will join back in the queue for further follow up. Thanks a lot sir.
Congratulations for the excellent set of numbers and no doubt you have adhered to the Gujarat government's policy of declaring; I hope next year also we will get the same thing. And I would like to know what will be the expanded INR2200 crores you are talking about out of which how much will be over next year? [am talking about 23/24, 24/25 and 25/267 And what is the expected turnover increase roughly based on the capital expansions? And why the fuel prices have increased to INR 1800 crores from INR1100 crores to 1800 crores. I would like to know that.
This is another question otherwise -- raw material also cost has increased up what are the steps taken for that. I congratulate this company for the excellent performance, thanks.
See capex, if you say it will be around -- [am Y. N. Patel answering your question, see within next 3 years total INR2,000 crores of capex we are planning to put and if you consider polycarbonate then our turnover -- if you consider polycarbonate then our turnover will be increasing by about INR1,000 crores.
That is for 23-24, correct?
That will be 25-26 but what will be the capacity expended in 23-24 is it going to be capitalized in relation to that and increase in the turnover?
See capex capitalization will depend on progress of the project. So, by this time 80% of amount will be capitalized.

V Rangan:
Y N Patel:
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Y N Patel:
D V Parikh:
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V Rangan:
Yash:
D V Parikh:
Ashwin Shah:
Yash:
Ashwin Shah:
Then 23-247
Not 23-24 up to 25-26 if project is little bit delayed or there is mismatch in timing then you have to consider 80% only up to 26,
Okay but what will be the average loan you have borrowed anything average interest cost from the cash will close everything?
No, we are not borrowing, our CFO will reply this but normally we are not.
There is no borrowing company is debt free as of now.
Thank you very much fuel cost only is taken and told about more than and one time with the employee expenses also you have got one-time expenses how much?
If you see employee cost there is an accrual for the wage settlement which is yet to actually happen but accruals have to be done because it is effective 1st of July 22 around you can take a figure around INR 150 crores which is accounted for in terms of the cost in P&L and another around INR9O crores in OCL
Thank you very much.
Good evening. So, my question is regarding the recent Gujarat government notification how has the notification affected the mindset of the company till now I mean you have increased the dividend to 30rs but I think buyback program is also on the way according to the notification so

could you elaborate on that.
I would request company secretary to respond
[am Ashwin Shah Company secretary the first point I would like to highlight is that the impact of the government of Gujarat notification or what we call guidelines has been positive on the company. However, about the comment on the progress of whether other activities are being taken up being price sensitive, first we need to notify whenever that will be considered by the board of directors, we will notify first to the stock exchanges. So, at the moment we are sorry we cannot comment on the progress or whatever other activities.
My question was that in the notification that the government gave you is anything about a buyback return in the notification that you have to follow?
in fact,

there are 4 things mentioned in the guidelines it is also available in public domain now in newspapers also it appeared in social media also it was circulated. The first thing mentioned was about the other propositions about capital restructuring where the buyback proposal the bonus proposal as well as split of the shares. So, these were the proposals covered under the guidelines for the capital restructuring of the government of Gujarat supported companies.

Yash:
Ashwin Shah:
Yash:
Ashwin Shah:
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Yash:
D.V. Parikh:
Yash:
D V Parikh:
Yash:
Rohit Sinha:

Under buyback of the shares the government the guideline that they gave was the PHU having a net worth of at least INR3, 000 crores and cash in bank balance of INR 1,000 crores has been mandated to exercise the buyback option of their own shares. So, if you follow the guidelines then you have to do a buyback so my question is will you do it below the book value as an investor. That is the only thing I would like to know because doing it below the book value is going to basically hurt the investors invested into the company?
See this is the point which the board of directors will consider at the appropriate time this is the only thing which I can speak to you about at the moment.
So, can you please make sure that the board of directors this point of mind teaches them that they shouldn't do it below book value because it will hurt the current investors. So please take that into your notice and also what is the current cash in bank balance of the company?
Let me answer [am Ashwin Shah [will just answer the first part we all are aware that the board of directors of the company is quite matured. We have the senior IAS officer's additional chief secretary rank, and we have other learned members on the board so let the board take a call whenever the things are considered right? So, your expectation maybe I can convey to the board.
This is the message as an investor obviously I am not the decision maker decision maker of your board so I am just giving you my opinion [will also suggest him that's it so?
I will convey to the managing director and the chairman of the board.
Thank you. Now about the cash in bank balance?
Cash in bank balance is around 2,800. I am D V Parikh answering your question the cash in bank balance taken together is 2831 crores.
This is before paying the dividend, right?
Before yes as reported.
Thank you so much for taking my questions.
Hello. Yes sir thank you for taking my question just one thing on the capex plan, just wanted to know the update on this green hydrogen project, which we are working on what is the progress and what is the timeline when we are expecting this and maybe we know for whom it would be for captive or for some other purpose?
[am Y N Patel answering your question. Regarding green hydrogen we have already got in principle approval from management we have already floated the bid. Right now, bidding is going on. Still bid is open and we are facing certain difficulties like banking and other concerns. So, we are waiting for clearance from regulatory authorities unless that is received, we may not

Rohit Sinha:
Y N Patel:

Rohit Sinha:
Rohit Sinha:
Jiten Desai:
Rohit Sinha:
Jiten Desai:
Rohit Sinha:
Y N Patel:
Rohit Sinha:
Nirav Jimudia:

move ahead decisively in this project. So final investment decision will be based on regulatory support unless there is clarity, we will try to wait for the decision to come this is a pilot plant capacity is only 2.16 metric ton per day and which we are going to consume captivity for ammonia production.

Okay so as of now it is under observation?

No bidding is going on so at any point of time we might close the bid right now the decision is that we h

ave to wait for regulatory support.

And question of...

So, one question on this commodity side pricing scenario we have seen some correction in last 3-4 months maybe we are talking about some stabilization or improvement. So, where we are seeing our product profiles heading towards and especially on the acetic acid prices, prices have corrected significantly have been consolidating somewhere around INR40 for some time. So, where that we see any kind of improvement, or it will remain some bit of subdued in let's say first half of 2020?

I am Jiten Desai from Marketing to answer your question about acetic acid pricing, yes it has gone down considerably it is 43% lower than the previous financial year. But it seems that it is stabilized now, it is normalized rather. So, we expect that it will sustain at this level, at the current level, and will not go down further that is based on the market feedback available with us.

And rest of the prices, rest of the products we are seeing what kind of demand and supply chain and pricing scenario?

After all it is anybody's guess, the forecasting is because the prices depends on so many factors but the prices are normalized now at the level of previous Covid period, and I think that should be now stabilized.

Ok, ok and one last question just apart from what the capex plan is there for ammonia or WNA or other products is there any other de-bottle making in the existing product portfolio or the capacity will more or less remain the same?

There are no major de-bottle making is on hand right now.

Okay that is from my side, thank you.

Yes, sir thanks for the opportunity again, sir if you can elaborate on the fertilizer part like we have done some retrospective adjustments in terms of revision in the energy consumption norms. So, if you can help us like the breakup between what was the recurring part and what was the non-recurring part which was being debited in the PNL in quarter 4?

D.V. Parikh:
Nirav Jimudia:
D V Parikh:
Nirav Jimudia:
D V Parikh:
Jiten Desai:
Nirav Jimudia:

Okay, [am D V Parikh, in the fertilizer segment there are two basically main impacts, one is on urea. In respect of urea as far as energy norms are concerned for GNFC they have been applied effective 1721. Okay, and there is a total impact which is accounted for of around INR41 crores including the arrears thereof. The arrears is around INR 5 crores and the rest pertains to the financial year, apart from this in case of complex fertilizer there are two impacts which are taken one is the estimate of downward revision of the Nutrient based subsidy as well as the reduction in price.

So, both taken together is to the tune of around INR50 crores accounted for, sometimes the new NBS rates are announced around 17th or 18th May and it is closer to our estimate, what government has done is as per our estimate. It was to be made applicable effective 1st April, but government has also tweaked the rates for the quarter 1 of last year. That is quarter 4 of the last year January 23 to March 23 yes, so it has given an additional impact of around 5 crores or so. So, these are the effects in the fertilizer segment which are weighing on it apart from the fixed cost increase overall.

So, sir is it safe to believe that like based on what you just guided on still fertilizer segment on the current production levels or the higher fixed cost. Still, we are making some INR35 crores-INR4O0 crores of quarterly EBIT loss in the fertilizer segment based on the adjustment factors what you just quantified sir?
Yes, we are net negative.
Correct, got it sir. And sir 2nd question is on our chemical division, so like if we see this year's performance, so if you can just help us explain like what were the top 3-4 products in terms of contribution to sales out of those total reported sales of INR6,500 crores in FY23?
Okay,

[request Mr. Jiten Desai to talk about this by the time he comes back see top 3 products if you see it is urea, ANP and TDI, overall, I am saying out of the total turnover of INR10,227 crores. In terms of the chemicals now he will respond it starts with TDI but rest he will cover.
[am Jiten Desai as Parikh sir told the 3 top products are ammonium nitrate, technically urea and TDI. As far as current situation are concerned, as I have answered the two previous questions the prices have normalized now, going forward it is anybody's forecast and that depends on so many factors.
Sir one just small thing on TDI, like if we see the global balance, I think none of the players are expanding the capacities and those even with the capacities are reducing their runs in terms of not operating to the highest level. Could be a demand problem at this point of time where the prices are seeing such sort of volatilities, but whenever things come back on track, when the demand starts recovering, how we are placed in terms of utilizing our capacities if between the two plants what was the performance in FY ‘23 in terms of the production if you can share? And one of the statement in the press release was also that because of the normalization of TDI

D.V. Parikh:
Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
Yash:
Y N Patel:
Yash:
Y N Patel:
Yash:
production in H2 of FY ‘23 we could lower down some of our operating costs. So, if you can just share your views that would be helpful.
Okay. [am D.V. Parikh answering your question. As far as chemical portfolio is concerned on a rounded basis it is close to around 763,000 tons which were sold. Out of this, like if you compare on a year-orryear basis, there is a smaller improvement but if you factor for the lower volume of aniline as well as methanol then there is an improvement. As far as TDI production is concerned it is hovering around the same level of production. However, the reliability of production is more since last four months to five months and that has lowered down the cost which both variable cost has been coming down, realization has improved to some extent which is contributing to lowering down of the losses.
Right. And sir on the methanol part, I think now the natural gas prices have come down sharply, so at what level we would be comfortable in again restarting our methanol production so that also turns to be a profitable product for us?
Okay. I am D.V. Parikh, see it all depends upon at what rate we are getting the imported methanol, given the current dynamics of imported methanol. If we get natural gas at around INR32 then both are equaling more or less. And we would like to start our methanol plant especially, for the captive consumption of acetic acid if not sale in the market.
Right. Got it sir, and sir just a last clarification like what you mentioned, so what you just discussed is about the contribution of top 3 products, so is it fair to assume that in terms of profitability wise I think nitric acid would be the biggest profitable product for us in FY ’23?
One may assume that, yes.
Got it sir. Thanks a lot sir and all the best.
Hi sir, what was the capacity utilization for TDI2?
TDI2 utilization is 64%.
And how do you see this in the coming year, in the coming financial year? Do you see scaling up on the demand basis?
Yes. If you see last quarter capacity lines is around 87% so at least we see around we will try to achieve at least 90% or maybe our efforts are to move towards 100% depending on NG price and other factors, support and market also support then our target is to move at least in the range of 90% to 100% coming year.

And sir, for this particular quarter, the ongoing quarter have the spreads improved for TDI and Toluene?

D V Parikh:
Yash:
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Management:
Hari Krishnan:

TDI and?
Toluene?
In our investor presentation we have given that comparison about the spreads. Although, they have improved. It is yet to come up to the earlier levels, reported in the previous years.
Thank you for taking my question.
Sir my doubt is regarding since you mentioned about the capex and the bidding that you have mentioned, since you are going almost zero debt how much debt do you estimate for financial year ‘247
Zero.
Zero only? So, all this other like in case the buyback happens or the capex it will be met through your internal accruals, or?
‘Whatever happens if at all that will be planned accordingly only because company’s capex needs are always a first priority.
So, you are intending like any estimated debt position is there or still you are going for zero debt estimate?
We normally take the debt also into consideration. Okay. When we think of the options, we will take that also into consideration.
Okay, sir. So, do you estimate anything as of now it is zero itself, right?
Yes. As of now it is zero.
Okay. Sir just one more doubt can you elaborate on the losses in the fertilizer segment?
This is already explained in our previous question person asking the question.
Sorry sir, I joined late that is why can you just...
We will have to repeat. If it is possible you can refer to the transcript later on because we will have to repeat the same thing.
Okay.
Yes, hi. Thanks for taking my questions. [have two questions. Sir, what is the price of natural gas currently? And what is the outlook for the fertilizer business, going forward?

D V Parikh:
Chirag Shah:
D V Parikh:
Manish Billore:
Chirag Shah:
Manish Billore:
Chirag Shah:
Manish Billore:
Chirag Shah:
Manish Billore:

Our person from fertilizer marketing, Mr. Billore, will answer your second question. And about the natural gas prices, they are prevailing at around INR38 per standard cubic meter.
Currently INR38 or was that the average for the last quarter?

No, it is less than the average for the last quarter and in terms of the dollar per mm Btu, it hovers around $11 per mm Btu, and that is also reflected on an index called GIXL
For the second question, this is Manish Billore answering your question. Fertilizer business as we understand it is largely dependent upon the government initiatives towards the subsidies. The costing which we are having when we cost it on the opportunity cost is higher so based on the subsidy levels for segment of fertilizer it would be very difficult to have this kind of a scenario going ahead if we continue with the manufacturing or the capacity utilization here.
So, what companies thinking of, company thinking of getting into some kind of a initiative into the trading activities of certain other agri-inputs, wherein we are having better margins available. And company would try to have those products as trading products in the brand of GNFC. This is what is the best possible solution today if we look at the other companies in this segment doing.
Other companies are of course profitable, but so if the prices of natural gases have come down then that improves the outlook for fertilizer as well, correct? Means maybe we don't lose money but maybe we break even or make marginal money is that a right assumption?
That is partially right. We have been doing so any company would like to do so, we have been doing it but when it comes to the retrospective effect like, it has been done, what Mr. Parikh in answering the previous questions told. So, there is nothing which we can do because we cannot even change our prices. Selling prices also are contro

lled by Government of India.
But even if we exclude that INR91 crores I think so you mentioned INR50 crores and INR41 crores, there is still EBIT loss I believe?
Yes, there is a loss but that again is there is a competition availability of the product. There are certain things which are not controllable, even beyond the subsidies and all. We have been doing it. If you go through the results previous year results, you could see there have been profits which were booked. So, to compensate those losses, we are looking for the trading options.
Okay. Thanks. All the best.
Thank you.
Thank you for the opportunity. I have a question on the TDI 1. What is the current capacity utilization for TDI 2?

Y N Patel:
Sanjana Jain:
Y N Patel:
Sanjana Jain:
Rusmik Oza:
Jiten Desai:
D.V. Parikh:
Rusmik Oza:
Y N Patel:
Rusmik Oza:
D.V. Parikh:
Rusmik Oza:
D.V. Parikh:
Jiten Desai:
See, it is 64%. We have already answered this question. For the year TDI 2 capacity utilization is 64% and for TDI 1 it is 99%.
And for the coming year, we expect TDI 2 to run at full capacity?
Yes, I expect to run it at full capacity.
Okay. Thank you, sir.
Thanks for the opportunity. Sir, my question was to continue with TDI, recently BASF had shut down its plant in Germany, any update on actually whether they are going to restart, or it is going to be remaining in the next fiscal year it will remain shut only? And in terms of better utilization, how much does it improve the profitability for FY '24 vis-a-vis FY *23?
I am Jiten Desai from Marketing. I will reply to your first question about BASF shutdown. As far as market reports they have shut down the plants permanently and they will not going to restart it. About the profitability link, with the capacity utilization, Parikh sir, will...
As far as profitability is concerned, TDI is still into losses. Mainly because of the two reasons one is the lower overall capacity utilization and the second is not recovery of the fixed cost. We have supported the customer at times even at the cost of contribution.
Assuming that current prices are say INR210, at what level actually you start making money in terms of TDI prices?
See it depends on two factors. One is sale price and second is prices of raw material. Basically, a contribution level. If feedstock prices are moving in tandem with market price, then we might continue situation like this.

My second question is given current prices in all the chemical products; how does it impact the revenue for FY ‘24 vis-a-vis FY '23?7 Will we see revenue growth, or will there be de-growth in FY 24, as compared to FY *237? If you can give just some ballpark percentage basis?
See this is the start of the year it is very difficult to say, when we are just into half month of operation. It will be like assuming the current prices for the next 10 months.
But assuming the current prices continue at least for first half, how does it impact the revenue in terms of percentage basis?
That I leave it marketing team to respond.
I think it is very difficult to predict actually. The situations are so dynamic always that it is not good for presuming anything or estimating anything on this type of question.

Rusmik Oza:
Jiten Desai:
Manish Maheshwari:
D.V. Parikh:
Manish Maheshwari:
Jiten Desai:
Manish Maheshwari:
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Manish Maheshwari:
Jiten Desai:
Manish Maheshwari:
D V Parikh:
Manish Maheshwari:
D V Parikh:
Manish Maheshwari:
D V Parikh:

If I can just ask one more last question BASF had a total capacity of 3 lakh tons, [think and we have around 68,000 tons, who are the other major players who make TDI with some capacity figures if you can share, it will be helpful. Thank you, sir.
Covestro is the other major producer. Covestro is Ershw

ill Bayer, and they have plant of 3 lakh
tons in Germany and 3 lakh tons in China apart from 2 plants of 120,000 in USA other major producer is Wanhua of China they are operating 3 lakh ton plant in China, and they have taken over Bolshok of Hungary who has capacity of 240,000 tons.
Sir, could you give us some numbers in terms of the treasury investment that we have made in the last financial year?
Out of the total cash balance of INR2,831 crores INR8OO crores is in the inter corporate deposit and the rest are in bank fixed deposits.
Sir, on the ammonium nitrate business, what is the outlook?
Ammonium nitrate is predominantly used in exclusive manufactures that is used for mining activities. And I think demand will persist and in fact as per the coal India estimate it is growing around 6% per annum.
So, the demand is expected to remain consistent?
Yes, it is regularly, consistently increasing.
And what is its contribution to the chemical segment as a percentage of revenue?
Percentage of revenue is -- the turnover of the chemical sector is around 6500 per annum out of 10200 Ammonium nitrate is 20% in last year.
Specifically, again with respect to your treasury investments INR2,080 crores is what I have picked up from the cash flow. So, you said that INR80O crores is passed in ICD and remaining about what number you gave For FDs, fixed deposits?
Yes, with banks.
And sir what sort of XIRR are we making from our treasury investments on an average?
Around 7.2%.
7.2% Pre-tax or post tax?
Pre-tax, interest is always pre-tax.
Sir any updates on share buyback or stock split or bonus? Thank you.

Ashwin Shah:
Nirav Jimudia:
Jiten Desai:
Jiten Desai:
Nirav Jimudia:
Jiten Desai:

Nirav Jimudia:
Jiten Desai:
Nirav Jimudia:
D V Parikh:
D V Parikh:
Nirav Jimudia:
J I Desai:
D V Parikh:
Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
About the proposal I just, in the previous question We have explained that the Board may consider at appropriate time the proposal as suggested in the guidelines by the government of Gujarat. At the moment it is quite premature to comment on any of them and that too being price sensitive as we all know. Thank you.
Yes, sir, thanks for the opportunity again, Sir, two questions If you can share the average prices of WN and CNA for us for FY ‘23 and Q4 of FY ‘23 that would be helpful?
Q4 of FY23, average price.
I don't have the quarter wise figures.
For the current rates and the yearly figure would also help, if you can?
100% basis it is around INR 55,000 per metric ton in last financial year.
For WN?
It is INR55,000 in FY “22-23 and INR39,000 in last year on a full year basis.
Sorry to clarify So 22,000 for WNA prices for FY ‘22 which was INR39,000 in FY ‘23 right?
On 100% basis?
Yes, 55 versus 39. ‘22 versus ‘21-22
22-23 versus ‘21-22.
Got it. And if you can share for CNA that would be also helpful?
CNA is around 61,000 in 22-'23.
61 versus 44,000.
Sir, you mentioned that we haven't done enough production of aniline in FY ‘23 So was the user industries in India not supporting or the raw material prices were higher and we decided to sell more of nitro benzene in the market in FY ‘23 So what was the reason for aniline not operated at probably optimum levels in FY ‘23 if you can share your views sir?
Tam D. V. Parikh, yes, your understanding is right it is mainly because of the input prices were so high that the margins as compared to the opportunity margins were lower and that was not operated. If you see the figures which are available in the public domain up to February ‘22 anilines worth 101,000 metric tons have been imported.
Okay, got it. So have we sold more of nitro benzene in FY ‘23 instead of converting that into aniline and selling in the market?

D.V. Parikh:
Nirav Jimudia:
D.V. Parikh:
Naitik Mohata:
D.V. Parikh:
Naitik Mohata:
Jiten De

sai:
Chirag Shah:
D.V. Parikh:
Chirag Shah:
D V Parikh:
Chirag Shah: Gujarat Narmada Valley Fertilizers & Chemicals Limited
May 22, 2023
It is not only nitro benzene, nitro benzene's demand is limited. If we sacrifice it cannot be sold to the full extent. The comparison is done between nitro benzene as well as CNA both taken together.
So instead, we have decided probably to sell more CNA in the market rather than producing nitro benzene and selling in the market?
Yes.
Thank you for the opportunity, sir. Just ammonium nitrate, you said that is the most profitable product for us during FY ’23. So, could you just help us with the volumes of ammonium nitrate that we produced in ‘23 vs ’22?
Yes. [tis last year last year it was 197,000 and previous to that it was 185,000.

Okay. And sir could you also share some insight on what is basically the difference between ammonium nitrate and technical ammonium nitrate that will be my last question?
it is same I am Jiten Desai answering question. Technical ammonium nitrate and ammonium nitrate what we call is same actually.
Yes, thank you for taking my question again. Sir, just wanted some again on TDI -- on TDI so if our TDI plant II is expected to work at a better utilization, then we expect that plant to also make money what is that utilization level at which we start making money?
Both are actually -- [am D. V. Parikh both are connected any plant which is running at a full load will of course have impacts on its operating cost so it will always be beneficial having said that the positive impacts on the margins, which is a variable margin may not necessarily turn into profit. It is a dynamic between what kind of margins we are getting. Finally, from two sides. One is from the yield side which is a direct impact on the plant operation and second is the price side of it.
So, this is a dynamic involved and depending upon the movements there the precondition always is for a better and profitable operation, the precondition is the plant operates regularly at full load. Having said that it may not be possible to make profit out of it. Because there are other variables, especially the input cost part of it.
Okay. Let me reframe my question, so what is the fixed cost for our TDI plant II per ton broadly speaking not exactly, but broadly speaking?
At full load it is INR50,000 per ton.
INRS5O0 per kilo broadly speaking INR50,000 rupees per ton you said, correct?

D V Parikh:
Rohit Sinha:
Y N Patel:
Rohit Sinha:
Y N Patel:
D.V. Parikh:

Correct.
Yes. Thank you for the follow up. So again, [mean, looking at the comment at TDI that we are still making losses. So just wanted to understand how we should see going forward maybe the top 3-4 products which should be contributing to the you can say making maximum to the top line and what would top 3-4 products would be contributing to the profit for the company? Because ultimately there are few products which are still on the negative or maybe on the breakeven side there are only few products who are contributing on the positive side so mainly on the chemical segment [would say, where we should see and how we should you can say track or understand that where these segments are where all products are going to make a turnaround for the company?
See in chemicals all products are contributing except TDI-IL
Okay. And that is what [mean we are seeing that overall, the utilization level needs to be improved in order to get that profitable thing right?
Yes.
Thank you very much. I will request our company secretary for the closing comments. Thanks.
Thank you on behalf of GNFC management, I extend our sincere thanks to the participants who made this conversation live and fruitful also would like to extend thanks to Anurag Services LLPP for arranging this con call meeting with the investors and all other

people who directly or
indirectly contributed to the success of this con call meeting. Thank you very much one and all. Thank you, bye.

Call: Aug 2023

: 4G Y Gujarat Narmada Valley
= 4 G28 == Fertilizers & Chemicals Limited
GNEFC oe Fo-ivo] CIN : L24110GJ1976PLC002903
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August 12, 2023 E-Mail: acshah@gnfc.in
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Rotunda Bldg Bandra-Kurla Complex, Bandra (E)
PJ Towers, Dalal Street, Fort Mumbai — 400 051
Mumbai-400 001
Co. Code: BSE - "500670" Co. Code: NSE- "GNFC EQ"
Sub.: Transcript of Investors / Analysts meet through Conference Call.
Dear Sir,
We had vide our letter dated 05%" August, 2023 intimated the Stock Exchanges about
the schedule of Investors / Analysts meet through Conference Call on Monday, 07"
August, 2023 at 3.30 PM IST through Conference Call.
We send herewith a copy of Transcript of Investors / Analysts meet through
Conference Call which took place on 07" August, 2023. The said transcript along
with the audio is also uploaded on the Company's website i.e. www.gnfc.in
We request you to kindly take note of the above.
Thanking you,
Yours faithfully,
For GUJARAT NARMADA VALLEY FERTILIZERS & CHEMICALS LIMITED
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“Gujarat Narmada Valley Fertilizers & Chemicals
Limited (GNFC) Investors’ Meet To Discuss The
Financial Performance For Q1 FY2023-24 Earnings
Conference Call”
August 07,2023
(\) ACK)
GNFC Be 2 dig soo
MANAGEMENT: MR. D V PARIKH — EXECUTIVE DIRECTOR & CFO
MR. Y N PATEL — HEAD OF OPERATIONS &
MAINTENANCE
MR. A C SHAH — GENERAL MANAGER & COMPANY
SECRETARY
MR. MANISH BILLORE — FERTILIZER MARKETING
HEAD
MR. MANISH UPADHYAY — IP MARKETING
MODERATOR: MR. NITESH VAGHELA — ANURAG SERVICES LLP
Page 1 of 12
GNFC
Nitesh Vaghela:
A C Shah:
D V Parikh: Gujarat Narmada Valley Fertilizers & Chemicals Limited
August 07, 2023
Thank you and good afternoon. Welcome to the Q1 Financial Year 23-24 Earnings Conference
Call of Gujarat Narmada Valley Fertilizers & Chemicals Limited hosted by Anurag Services

LLP.
From the Management, we have Mr. D V Parikh — Executive Director & CFO, Mr. Y N Patel — Head of Operations and Maintenance and Mr. A C Shah — General Manager & Company Secretary and other senior members from the management.
I would like to thank the management for giving us the opportunity to host this call. We will begin the call with opening remarks from the management, post which we will have a question and answer session. Thank you and over to you, sir.
Thank you, Mr. Nitesh. Welcome all investors to this Con-Call Meet for the Interactive Discussion Session on Quarter 1 Financials of the Financial Year 2023-24. The Management Team is here at the Gandhinagar GIFT City office and some Senior Executives have joined from our GNFC Bharuch Office.
I now request our Executive Director and Chief Financial Officer — Shri D V Parikh, to have the opening remarks on the financial performance of the company for the quarter.
Good afternoon, everybody and thank you Anurag Services for holding the call. The results as well as presentation are out in the public domain and most of you must have had opportunity to look at it personally at least. I would like to take you through the both domestic and international scenario operating currently as well as the financial and operating performance of the company along with outlook thereof.
If I start with the domestic and international situation prevailing in Quarter 1, most of the companies in chemical space have faced difficulties because of either d

emand reason or input
cost reason and everybody has faced the issue of margin erosion due to the price reductions. This is a phenomena which is witnessed across based on what are the results are announced by both domestic and international companies, which are available in the public domain. In case of GNFC, like in Q1, we had undertaken annual turnaround which lasted for total 32 days and therefore practically little over one month’s production is affected. Apart from this shutdown, there are shutdown related impacts in terms of repairs and maintenance cost as well as in productive cost which is on higher side which is weighing on the margin of the company.
As far as segments and margins are concerned like chemical continues to be profitable, although it is having the impact of both volume and prices as compared to Q4 as well as Ql. As compared to Q4, the impact on sales price is moderate, whereas as compared to Y-o-Y Ql basis, the impact is substantial because of the international matters.

Ankur Sanwal:
D V Parikh:
Manish Billore:
Ankur Sanwal:
Manish Billore:
Coming to fertilizer, the fertilizer continues to be in losses, mainly because of the reduced NBS rates announced by government sometime around May, effective April as well as Urea energy norms and repairs and maintenance costs, which is on higher side. The 4th plant of concentrated nitric acid became operational around 22nd of July and it has achieved its full capacity production which is little over more than 150 metric tons per day. This should augur well for the company in terms of contributing to revenue and margins both. The company has also launched Nano Urea under Narmada brand name.
So, coming to the outlook part of it, most of the IP marketing products, which is industrial product, chemicals particularly, seem to have bottomed out in terms of the prices and therefore going forward, we expect the margins to improve. Demand is already on a recovery path and input costs are more or less getting contained. With this, we hope to see better revenue from operations as well as better margins in quarters to come.
With this, I leave the session open for question and answer. Thank you very much.
Would like to know about Nano Urea, whether this is a technology transfer from IFFCO or we have started manufacturing Nano Urea on our own technology?
Primarily, we don't have our own technology. However, it's a marketing tie up. The manufacturer is a company other than IFFCO, more I would request our Fertilizer Marketing Head, Mr. Billore to give some snapshot about it.
This is Manish Billore. The Nano Urea technology is available with couple of companies like IFFCO. There is another company which is Gujarat based company and they have developed the product which is being categorized on the same scales as is being given to the IFFCO at present and this company has given us a marketing arrangement and we will be doing a co-marketing of product in our brand name. So, they will be supplying us manufacturing and technology transfer has not been done, but this definitely is a different technology what [IFFCO is having.
My second question is regarding Nano Urea again. Sir, the effectiveness of Nano Urea is as good as Urea?

See, there are certain things it was promoted like this. Technically speaking, yes, but when you go to the practical approaches of it and you actually use it in the field conditions, there is a little difference. The Nano Urea gets entered into the plant by way of foliage, the leaves, whereas the conventional Urea goes through the roots, so there are no wastages if it is practically at an opportune time is applied into the crops. There are all possibilities of conventional Urea getting replaced by it. So, the foliage has to be of that stage, the application and concentration should be like this and it should be given at the rig

ht time for which the farmers are being educated.
This is how there is a push from all sectors for promoting nanotechnology here

Sanjana Jain:
Yogesh Patel:
Sanjana Jain:
Yogesh Patel:
Sanjana Jain:
D V Parikh:
Manish Upadhyay:
Sanjana Jain:
D V Parikh:
Sanjana Jain:
D V Parikh:
S Ramesh:
Could you just tell us what are the utilization levels for the TDI plant?
See, we have two TDI plants, TDI-I which is smaller at Bharuch with 15,000 capacity. Its capacity utilization is 97% for this quarter and TDI-II, Dahej plant is operating well with 104% capacity utilization.
Acetic Acid?
Acetic Acid capacity utilization is 137%. This is for the quarter up to June.
Right. So, could you also just tell us what is the market scenario for Weak Nitric Acid? We're seeing their prices having been cut in the recent days and weeks. So, what is going on with the Weak Nitric Acid scenario?
Our person, IP Marketing person, Mr. Manish Upadhyay, will respond to this.
I'm Manish Upadhyay. Basically, Nitric Acid price has gone down on the ground of ammonia price, which last year it was almost $1000 and now it has started going down. It is reduced to almost $250 to $300. So, that is the main reason why this price has gone down. Plus there is some surplus quantity and import also arrived because of the difference between the Indian price as well as the international price. So, that is the second reason why there is a competition in Nitric Acid, but ammonia price also has shown the upward trend and we are hopeful that price will be a little steady after some time and it will likely increase further.
Also, could you just quantify the shutdown related cost, how much has it impacted our profitability in this quarter?
Shutdown related cost has impacted to the tune of around Rs. 140 crores. These include repairs and maintenance cost as well as unproductive costs.
And this is an annual shutdown. So, we can expect a similar shutdown again in the next year as well?
Normally at Bharuch, we take once in 2 years and at Dahej, normally it is every year.
Can you explain the reason for the loss in the fertilizer segment and how much of it is because of the impact of the reduced subsidy for the fourth quarter and how much is it because of the inventory loss? And secondly, what is the kind of sense you have in terms of the chemical segment as to when the margins and the topline can recover because the margins have come down because the topline has gone down. So, when you see the pricing and margin recover to reasonable levels over the next few quarters?

D V Parikh:
Manish Upadhyay:
S Ramesh:
Manish Upadhyay:
D V Parikh:
S. Ramesh:
D V Parikh:
S Ramesh:
The first part on fertilizer loss, I'll respond. By that time, I'm requesting Mr. Manish Upadhyay

to respond on the second part which is on the chemical front.
Yes, I'm Manish Upadhyay. As Mr. Parikh has conveyed, price is almost at bottom in June, May end to June and now it has started recovering, price has already started. Normally in monsoon, it is lowest price. But this time it has started little early. And again, prices started going up and we are hopeful that normally Q3 will be always better for industrial product. It is always on peak, so we are hopeful that quantity as well as the realization both will be improved drastically in coming days.
So, in the chemical segment, [might add a follow up. Is there any inventory loss because of the high cost inventory and what is the sense you have in terms of material coming out of China which also seems to be putting pressure on prices?
Yes, it is already there, but there is not much inventory is there and because of the shutdown that was practically no inventory and we have started with almost practically very negligible
in

ventory. Chinese pressure is always there. There is always dumping from the China for almost salt chemicals. And not only that, China has also one certain product from Indian side, they also impose some antidumping duty from Indian chemicals. So, this has impacted our export to the China and some price problem and because of the shutdown, people have imported little bit more quantity considering that shutdown may go even more so, so they would have taken more quantum and this has affected in first quarter. Thank you.
On the fertilizer side, like there are a couple of things which are impacting. One is in respect of like we have two fertilizers, one is Urea and second is complex fertilizer called (ANP) Ammonium Nitro phosphate. In case of Urea, it is basically the urea energy norms which have been higher and it is normally higher during the course of shutdown. The second is the volumes are not there. We lost almost a little over a month in Urea production. The third aspect is the Ammonium Nitro phosphate. The change which is affected by government in the nutrient based subsidy rates has impacted to the tune of around Rs. 31 crores as compared to Y-o-Y QI and as compared to sequential quarter basis; it is about Rs. 5 crores. So, these are predominantly the reason. The main reason seems to be the volume and second is NBS subsidy and third is the repairs and maintenance cost relating to the plant shutdown.
So, apart from this, NBS subsidy impact, is there any inventory loss because of the high cost inventory carried over from both quarter in fertilizer segment?
See, NBS rate correction happened effective 1st April and we already took a provision during last year. So, that impact has not much differential.
So, most of it is because of the inventory impact?

D V Parikh:
Manish Billore:
D V Parikh:
Ashish Agarwal:
Ashwin Shah:
Ashish Agarwal:
D V Parikh:
Ankur Sanwal: Gujarat Narmada Valley Fertilizers & Chemicals Limited
August 07, 2023
No, not major, material enough.
So, if you look at this Rs. 31 crores impact, because what we hear from the industry is there is an impact on the reduced NBS rates and there is some impact because of the higher cost inventory. So, if you can help us understand how you arrive at the Rs. 31 crores will be useful?
See those companies which have not made provisions in the last quarter of last financial year will have these two impacts whereas those companies who have been conservative enough to take based on possible reductions where we are one of them, the impact is not major. Now let's look at the Rs. 31 crores. What is Rs. 31 crores? Rs. 31 crores is a price difference on a Q1, Y-o-Y basis. As you may know, the last year the subsidy rates were very high. And they are corrected in our case by around Rs. 10,000 per metric ton this time. We already have taken a provision of around Rs. 9,000 per metric ton on our closing inventory. Mr. Billore will confirm what is the provision exactly given per ton, but this is what is my recall of Q4. So, this is how the Rs. 31 crores is quantified. Manishji, any idea about what is the provision part I'm given?
The same sir Rs. 10,000 a ton for the last year, yes.
So, it is more or less the same. So, in our case, therefore, there is no impact on the opening carry over stock.
So, basically I just want to check on the restructuring bit. [know we are not answering this given the sensitivity around price etc., but only want to understand is this on cards, has some meeting happened or not on the buyback piece or other corporate restructuring that company wants to take up?
Yes, this is Ashwin Shah here. On the buyback front, the matter will be taken up and considered by the Board of Directors at appropriate time. At the moment, it is still under consideration.

So, this margin hit, which I heard was to the tune of Rs. 140 crores on account of say productivity loss of the cost for maintenance. But how do we

explain other, I mean the complete hit that we
have got in the quarter versus the previous quarter?
See, out of the total change in the PBT from Rs. 417 crores to Rs. 116 crores on a sequential quarter basis, the Rs. 61 crores is attributable to the price variance, which is the re-evaluation part. The rest is all volume related variants, including the end productive cost we spoke about. Andon Y-o0-Y QI basis as compared to Rs. 761 crores, it is Rs. 116 crores. There, the bifurcation is equal around Rs. 300 crores- Rs. 315 crores each for volume and price respectively.
Sir, in the opening remarks you discussed about chemical segment margins going to improve in coming quarters. Can you give a detailed overview about the same?

D V Parikh:
Manish Upadhyay:
Ankur Sanwal:
Yogesh Patel:
Manvardhan Baid:
D V Parikh: Gujarat Narmada Valley Fertilizers & Chemicals Limited
August 07, 2023
We request our IP Marketing Head to answer this question.
Yes, I'm Manish Upadhyay. As I conveyed recently, ammonia price was a main role because of the $1000 last year and this year it has started with $250. These prices started going up and if you see, internationally Urea prices started going up. Internationally last year compared to last year, our production of the TDI is steady. So, I think we are hopeful that we will be able to get a good price in coming days. TDI, which we have observed that normally we are selling, we have to export the product and lot of import was coming. This time we are concentrating more in the domestic market. So, the domestic market, we are able to fetch a better price. So, we are hopeful that this price because we are getting a good revenue from the 2-3 products like TDI, TG Urea, Ammonium Nitrate, Nitric Acid based production. So, Ammonium Nitrate, of course we are struggling at moment, but still price is likely to go because in monsoon it is the lowest height. So, we are hopeful that within one month time, it should start picking up. Demand will also pick up and price also realization will be better. This is our expectation and this is based on our past experience also. Thank you.
Thank you, sir. Any development about polycarbonate plant?
I'm Yogesh Patel answering your question. Polycarbonate, it is under active consideration. We are in touch with technology supplier and license supplier. Right now, feasibility studies about to close within a month or so, which is taken up by EIL. So, we are awaiting outcome of that study report, then we will approach Board for further approvals and all that.
Wanted to understand maybe if you could give us a brief background as to why such a sharp correction in prices for certain chemicals took place and where do you see the trajectory for those prices? For example, ammonia you mentioned and that way its key and which one is the aberration and what is the level, which one should consistently 24:48 chemicals?
I'm D V Parikh answering your question. See, out of the total correction, more than 75% of the price correction is attributable to just three products which is Weak Nitric Acid, Ammonium Nitrate (Melt) and Technical Grade Urea. The reason being, if you look at the import statistics also, there is a 52% reduction in the prices of ammonia, 56% reduction in the price of urea which also includes Technical Grade Urea. Now these are international phenomena. If we talk about why the ammonia prices have decreased, most of the facilities of ammonia are gas based facilities across the globe and gas prices are also sharply corrected, if you recall, as compared to the previous year this year. Even if you go by the MCX quotes from around the levels of 700, it is hovering at below 200 in recent past. So, these are basically the reasons of corrections in the prices. It has not only impacted us, if you look at the other companies' results domestically, which are already declared, they are impacted sharply on the prices even w

hen there is no annual
shutdown. Let's look at the international companies which are quoted on the bourses and their data also, they're impacted substantially at times by more than a half. So, this is what the overall scenario on the price front.

Manvardhan Baid:
D V Parikh:
Manvardhan Baid:
Manish Billore:
Sanjana Jain:

D V Parikh:
Sanjana Jain: Gujarat Narmada Valley Fertilizers & Chemicals Limited
August 07, 2023
Fair point sir, that observation of yours about others getting impacted is very true. In fact that since some of them had declared their results earlier, this was on expected lines. But [mean, still the pace of correction has obviously been steep and thus one wanted to understand it in more detail.
So, apart from the pricing in our case what has happened Is that Annual shutdown coincided and therefore it has taken away almost a month's quantity. So, there is a double impact, one because of the price and second because of the volumes not getting out from factory in terms of sales realization and therefore the margins. So, anybody looking at this will see this correction in the profitability.
And also maybe if you can also update us on the new, I mean [think you've launched a Nano Grade Urea. So, if you could update us on that particular aspect, what is the potential for that product and sort of the impact that it might have on the fertilizer segment, which has been a drag for a while?
See, the Nanotechnology, if you can see the push by the government side, we can very well understand that there is something in the technology. Whenever agriculture goes through some kind of a renovation, there is some time which is required because the ultimate consumers and the stakeholders are farmers, which do take some kind of a time to change. Nanotechnology has proven after a lot of experimentation and after lot of technological developments only these products were brought. Nano Urea or other Nano fertilizers are also there. Nano DAP has also been launched. So, we hope that going forward we may be having some market appearing. There are certain other aspects. We cannot straightaway relate it with the technologies and transfer of that only, there are pricing differences also. The moment government takes some chances to increase the prices of Conventional Urea, there are likely chances of that Nano Urea is going there. As I already have answered in one question, the technology is good and we can always compare it with the Conventional Urea and there is a potential possibility of us having a right kind of an input using this product also. So, this is how we wish to be there in this segment for some time, experiment ourselves and see that if product goes there in the same way depending upon the take of the government on the pricing front for the Conventional Urea, we are looking forward for having some kind of a profitability and revenue growth here. Thank you.
So, if you can just give us an update on what is the revenue mix between these products, especially the chemical segment?
[am D V Parikh answering your question, it's already part of the segment report. If you see, it is practically 1/3:2/3 between fertilizer and chemicals.
If you can give a little more detail between the chemicals like TDI and Acetic Acid, how much percent of the revenue booked on these chemicals?

D V Parikh:
Sanjana Jain:
Yogesh Patel:
Sanjana Jain:
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Sanjana Jain:
D V Parikh: Gujarat Narmada Valley Fertilizers & Chemicals Limited
August 07, 2023
We don't provide the product wise breakup of revenue, ma'am.
Sir, I have a question on the prices. So, GNFC on their website provides an ex-works pricing for their products. There is a product pricing sheet on the website?
Correct, it is there.
And then at the end of the quarter, we also give out our reported prices in the presentation. So, if

you could just help me reconcile some of these prices like what is the difference between these two prices?
'Which individual prices you are referring to in the presentation?
In the presentation like we get TDI and Toluene, so TDI prices in the presentation we have given for this quarter 194 per KG.
No just a minute that is a spread the presentation slide of spread you are referring to. So, spread if you see, these are the weighted average price for the quarter. And these are the weighted average costs, it's a spread between Toluene and TDL Like 194 which you see is this actual

spread.
So, ex works prices is approximately 207 for the quarter based on the website pricing sheet and then our actual set comes at 194.
For your understanding, see out of the prices which are mentioned on the website, there are a few filters like discounts after which the net realizations come to the kitty. What you see in the presentation is a net realization for the quarter. If you see down below, it must have also been mentioned that it's a company source.
So, generally in the past two quarters, we have the trend that we face with the reported price. The actual realization is generally higher than the website price. But in this quarter, the TDI specifically, the reported price is lower than the website price. So, what is the reason for that?
Madam, any price which is on the website of the company is as on date operative price. We make so many price changes from time to time. Let's take the case of quarter. There could be end number of changes in product prices over period of quarter. So, if you compare that price which is the latest price with the weighted average realization of the whole quarter, it will never match. But let me give you an example. There is a price on 1st of April, X many quantities are sold at that price. There is a different price on 10th of April. Few other quantities are sold at that price, all taken together minus discounts are the net realizations. So, if you look at it, only one price at a particular point in time and try to relate with this chart, which is a factual based on the financials, it will not match. All the volatilities will get reflected in the actual prices, actual

Sanjana Jain:
Yogesh Patel:
Sanjana Jain:
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D V Parikh:
S Ramesh:
D V Parikh:
realization including the discount whereas what you see on the GNFC website is the last price which is an operative price for the current sales.
Sir, one last question on the CAPEX part. So, we have commissioned out of the Rs. 2,200 crores CAPEX plan that we had, we already commissioned the Nitric Acid plant. For the remaining plant, we have provided an update in the presentation, but specifically for the Ammonia expansion and the Weak Nitric Acid expansion, there have been some delays. So, I just wanted to ask, what is the status on that?
Ma'am, I'm Yogesh Patel answering your question. See CNA4, we have already commissioned now. Even Formic Acid plant, we have commissioned before this quarter. So, two projects we have already commissioned. Now regarding ammonia makeup look, it will take at least three more years to implement. So, we will be adding 150 metric ton production of ammonia for which we have already awarded a job of engineering to hold it up so who is the licensor and the technology supplier. So, that work has already started.
And how much of the CAPEX have we already spent?
See around Rs. 1,100 crores we have already committed.
And what is our expected return on this project?
Expected return is around the design all our projects around 12% to 14% IRR.
So, just a couple more thoughts. If you're looking at the current production and the realizations, is it possible for the company to come close to what you achieved in the period July 22 to March 23 in terms of PBT? What

is the kind of sense you have in terms of the production and the
realizations?
I'm DV Parikh answering questions. See, we are hopeful, but like quantifying in terms of number exactly depends on some forecast about the prices both input and output which given the current volatility, it's not possible to say with some exactitude, but we are hopeful of at least coming closer.
And secondly, in terms of your long term capital allocation, what is your thought on green hydrogen and green ammonia in terms of the capacities and the allocation? And given that your cash flows are under pressure in the first quarter, is there any need to raise debt for the CAPEX this year and next year?
I'll answer the second part of the question and thereafter Mr. Yogesh Patel will answer your first question regarding green hydrogen. See, company has enough reserves. So, there will not be any

Yogesh Patel:
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Rusmik Oza:
D V Parikh:
Rusmik Oza:
need even if the cash flow is under pressure in Q1 to resort to any borrowing as such in the near future. On the green hydrogen, now Mr. Yogesh Patel will respond.
See green hydrogen, we have a plan to go for 2.16 metric ton per day of green hydrogen and equivalent green ammonia. But right now, because of there are regulatory hurdles, we are not moving with the full speed. So, we are waiting for some clearance or some clear cut guidelines from the government then only we will move ahead. But we don't have very large CAPEX plan like other very big organization. This will be only one pilot scale because we still think this is an emerging area and it will take long time it becomes reality.
So, if you can give us some sense how much Green Ammonia can you produce from one ton of hydrogen and what will be the cost from Green Hydrogen to Green Ammonia in terms of the CAPEX cost?
See right now our CAPEX is if you take renewable energy also, then our CAPEX will be around Rs. 308 crore for this project.
This is for the electrolyzer and the Green Hydrogen project?
Yes, it is the cost of electrolyzer well as this solar power plant also.
Yes, understood. So, I'm just trying to get a sense in terms of the downstream from Green Hydrogen to Green Ammonia, if you can give us some sense in terms of the conversion norm as to how much of ammonia you can get from one ton of hydrogen and what is the cost?
Two to three normally, it's a stoichiometric ratio, it is very simple.
Three tons of ammonia per ton of hydrogen. And what will be the capital cost?
Capital cost, if I put solar power cost also, then it will be Rs. 300 crores.
From Green Hydrogen to Green Ammonia?
Yes.
Just wanted clarification this impact of Rs. 140 crores you mentioned because of the shutdown, is it on the EBITDA or on the profitability?
It is on PBT level.
And some related questions. Sir, did you take any shutdown last year and in which quarter did you take it?

Yogesh Patel::
Rusmik Oza:
Yogesh Patel::
A C Shah:
Till last year, we had no shutdown. We took a shutdown before two years. So, in earlier time, before a decade also, we used to stop our complex for about 25 days every year. Now over period of time, now we have plan to shut down our plant alternate year.
So, is it safe to presume that the next shutdown will be taken only in FY26 now?
Yes, we are doing this with all safety precautions. No, it will be on now April 25, next shutdown.
Thank you. This is Ashwin Shah, Company Secretary from GNFC. I, on behalf of the management team of GNFC extend our hearty thanks to all the participants and also to this organizer of this con call meet, Anurag Services LLP on behalf of GNFC. Thank you one and all. Tha

nks a lot. We declare this con call meet as closed with thanks to everyone.

Call: Nov 2023

Y G Y Gujarat Narmada Valley q - , Ws G28 7== Fertilizers & Chemicals Limited
GNFC Ratal AmritMahotsav CIN : L24110GJ1976PLC002903
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Corporate Relationship Dept Exchange Plaza,
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Rotunda Bldg Bandra-Kurla Complex, Bandra (E)
PJ Towers, Dalal Street, Fort Mumbai — 400 051
Mumbai-400 001
Co. Code: BSE - "500670" Co. Code: NSE- "GNFC EQ"
Sub.: Transcript of Investors / Analysts meet through Conference Call.
Dear Sir,
We had vide our letter dated 23th October, 2023 intimated the Stock Exchanges about the schedule of Investors / Analysts meet through Conference Call on Thursday, 09" November, 2023 at 3:30 PM IST through Conference Call.
We send herewith a copy of Transcript of Investors / Analysts meet through Conference Call which took place on 09!" November, 2023. The said transcript along with the audio is also uploaded on the Company's website i.e. www.gnfc.in
We request you to kindly take note of the above.
Thanking you,
Yours faithfully,
For GUJARAT NARMADA VALLEY FERTILIZERS & CHEMICALS LIMITED
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CA ASHWINKUMA ASHWINKUMAR
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MANAGEMENT: MR. D. V. PARIKH — EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER — GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MR. Y. N. PATEL — HEAD OF DEPT. (O&M) — GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MR. A.C. SHAH — GENERAL MANAGER AND COMPANY SECRETARY — GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MODERATOR: MR. NITESH VAGHELA — ANURAG SERVICES LLP

DL
D.V. Parikh: Gujarat Narmada Valley Fertilizers and Chemicals Limited
November 09, 2023
Good afternoon and thank you for holding this call. We welcome all the analysts and investors to this call on the quarter 2 performance of GNVFC. We will first begin with the overall environment in which we are working and thereafter we will touch upon the operational and financial highlights thereof. And this will be followed by some discussion on certain

announcements which we have made.
So, to start with the overall environment, as far as fertilizers and chemicals segments are concerned, they continue to be under margin pressure across India as well as outside. Chemical sector scenario outside also is very challenging in terms of the margin pressures. Like you see in quarter 2, there is a good volume performance, but that is far offset by the margin pressures on account of the realizations which we are receiving on the output fronts.
On the operational part, quarter 2, there was no shutdown or any other outages by and large, whereas quarter 1, there was annual shutdown. Last year, the figures are without any shutdown. So, H1 and Q-0-Q are really not comparable. However, the plants have run fairly well wherever the economics have made the sense.
Coming to the very same operational part on the project fronts, the Concentrated Nitric Acid with 50,000 metric ton of capacity has been commercialized sometime in July. And the progress on co-generation power plant at Dahej is on, which is an investment of roughly INR613 crores. The rest of the updates on the projects and the strategy side will be covered by our colleague, Mr. Y. N. Patel, with the analyst. As far as financial performance is concerned, like this quarter,

although the profit relatively has gone up as compared to the previous quarter, the previous quarter was impacted from a volume perspective.
When we compare HI as well as Y-o-Y Q2, the margin pressure is clearly appearing. We have shared the investor's presentation also with everybody and it is uploaded on the website. Both on HI and Q-0-Q as well as Y-0-Y Q2, it is the same situation. And the drops are very sharp when it comes to chemical. When it comes to fertilizer business, as you know, we have two products where one of them is a complex fertilizer and government subsidies are continuously reduced on account of those subsidies. And therefore, the business is becoming more challenging and our losses have also increased in case of fertilizer, mainly because of the subsidy impact.
On a full-year basis, that is YTD H1 basis, since there was a shutdown, the urea energy needs were also higher as compared to the last year. And on a pet basis, we are still higher than the threshold, which is there. So, we will say that this is a fair performance as compared to what is going on in the market because of the combination of various factors and the kind of product portfolio we have.

Nirav:
Y. N. Patel:
Nirav:
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Y. N. Patel:
D.V. Parikh:

As far as TDI is concerned, TDI2 ran well and with quite sort of reliability. The H1 production numbers have been encouraging. We produced close to around 27,000 metric ton in Hl TDI2. So, that is an encouraging sign and that has reduced the TDI losses from close to INR 180 crores to INR95 crores in H1 so far.
Coming back to the announcement which the company has made, it is already now in the public domain. The company is purchasing back its shares at the rate of INR770, which is roughly a 10% premium over the recent prices. And if we see the price of 21st of October, the premium works out to around 17%. We understand that the margin that is the premium should increase over a period of time. And let us see how it settles as far as market price versus the offer price is concerned.
So, with this, I conclude my opening remarks and leave the floor open for any question-and-answer. Thank you.
Yes, I am Nirav here from Anvil Research. So, sir, two, three questions from my side. Sir, one is on the ammonia production which we have clocked in H1 of FY ‘24 through the oil route. So, if you can just walk us through that, how much of the ammonia we have produced through the oil route? And let us say if we consider last year, how much of the oil we would have bought from the outside market so that we could produce those ammonia for the chemicals that we produce?
I am Yogesh Patel answering your question. This ammonia plant, if we talk up to October, we have already produced 3,45,000 metric ton of ammonia. Out of this, the gas-based ammonia is 2,02,000 and the rest of it is oil-based ammonia.
And sir, how much raw material is required to produce the ammonia through the oil route?
The oil route consumption varies around 0.72.
0.727
Yes.
0.75. It ranges between 0.720 to 0.735 per metric ton of ammonia.
Finish good. Yes. So, sir, why do we choose to produce ammonia through this route? Does there

is a substantial difference between the cost of production of ammonia from the oil route as well as the gas route because with the gas prices also now coming down, doesn't it make sense to produce the ammonia for the chemicals through the gas route or the plant is such that we can only produce ammonia for the chemicals through the oil route only?

D.V. Parikh:
Nirav:
D.V. Parikh:
Y. N. Patel:
Nirav: Gujarat Narmada Valley Fertilizers and Chemicals Limited
November 09, 2023
Yes, [am D. V. Parikh. Actually, it is the way plant is set up. The gas-based ammonia plant is exclusively meant or dedicated for urea only. And the other one can only manuf

acture through
the oil route.
But sir, if we see the players globally or the players outside India who are producing let's say, acetic acid or ethyl acetate from ammonia, generally they may be using gas for their ammonia production. So, at some point of time, does it give us an advantage in terms of our ammonia coming at a lower cost and that gives us some sort of leeway in terms of margins when we compare those players outside India who produce ammonia through the gas route and hence producing those downstream products?
Okay, [am D. V. Parikh answering your question. See, there are varying dynamics between oil and gas over a period of time. Changing feedstock is not an easy decision. It requires time, it requires investment. At the end of the day, in spite of that, what happens when we compare about the landed cost, as we know, if you refer to the PPAC website, we are a net importer of both gas and oil substantially. Okay. So, what happens is even if somebody is using outside because of the closer availability and lower cost, end of the day when you import, it comes at a market price and dynamics keep on varying. So, therefore, we choose to keep oil as a means of producing ammonia, point number one.
Point number two, when you use oil, it is more-rich in terms of hydrocarbons and therefore, it supports various chemical streams. If we use gas, then there could be some issues in terms of matching those frequencies or requirements of various types of gases. So, basically, it is a techno-commercial issue because of which we are continuing with the oil-based ammonia production.
More, I will request my colleague Mr. Y. N. Patel, who is from a technical side to explain.
See, [am Y. N. Patel. Right now, we can augment production of oil-based ammonia to a larger extent, but we cannot increase our design of our plant setup. Both the ammonia, gas-based and oil-based ammonia is such that we cannot modify our gasification unit, basically, which is supplying this oil-based ammonia. So, we have to go for major modification if we want to convert into 100% gas-based facility. So, that is, right now in this existing setup, it is not possible.
And secondly, we have certain advantages as Mr. Parikh has pointed out that when we do gasification of oil, we are -- along with the hydrogen for syngas production of ammonia, we are getting CO and other composition, which is useful us in producing industrial chemicals, that is, formic acid, acetic acid, TDI, etcetera. So, right now, we are in a better position and we do not have any intention to modify our existing design of ammonia plant.
Got it. And sir, this oil is similar to the fuel oil prices, which we generally get in the market or it is something different, what we use, which comes from the refinery?

D.V. Parikh:
Nirav:
Y. N. Patel:
D.V. Parikh:
Nirav:
D.V Parikh:
Nirav:
D.V Parikh: Gujarat Narmada Valley Fertilizers and Chemicals Limited
November 09, 2023
It is related to crude oil Index. Some Index we follow. So, based on that formula, price varies.
Sir, is it possible to quantify the cost of fuel oil, which we would have incurred in quarter 2 as well as in 1H of FY 247
Yes, we can give that. Offline, you can ask us and we can give further details about this. To respond to your question, see the normal oil and this oil is somewhat different in terms of the sulphur content. What we use is a lower sulphur content oil and therefore, we pay some premium and this is how the pricing formula is designed with the supplier.
Got it. Sir, my second question is on technical grade urea. So, I believe that is a non-regulated

product, correct me if I am wrong, but when we see our total urea production of, let us say, close to 8 lakh tons, 8.5 lakh tons, if you can let us know what is the production as well as the sales for technical grade urea? And if you can talk something about the contribution to the EBITDA in FY 23 as well as in 1H of FY

‘24 because I guess with the increase in the prices of urea in
the international market, we also do increase the prices of technical grade urea. So, if you can just talk about that product in a bit, that would be very helpful?
See, regarding production part, I will cover. See, out of around 8,50,000 we produce, we are bound to supply minimum 6,36,900 to DOF. That will be made for neem-based urea, neem-coated urea, that is a fertilizer-based urea. Balance, we can divert it to technical grade urea, but normally we give some commitment slightly on higher side, so 6,40,000, 6,50,000 depending on our budget in the initial period and balance, we take it to technical grade urea.
Now, the contribution part, you know.
Okay. First, we touch the financial part, like we make it clear every time that product-wise contribution levels is not something which we discuss outside of the company.
Okay. Sorry. But, sir, is it a deregulated product where we can?
It is a fact, it is a deregulated product and nowadays what government has done is, it has also designed a separate HS code under which the imports are being reported. So, since last few months, the imports, if you see the data which is available on the Department of Commerce website, it is reported separately for technical grade urea. And it is showing up what is there for the market size. It is much more than what used to be earlier.
Correct. And the usage is similar, it is sold to the farmers only or does it have any other uses apart from?
It has multiple uses, which I will request our Marketing head, Manish Upadhyay to talk about that application of...

Manish Upadhyay:
Management:
Manish Upadhyay:
Nirav:
Manish Upadhyay:
Arushi Shah:
D.V Parikh:
Arushi Shah:
D.V Parikh:
Manish Upadhyay:
Manish Upadhyay, major application is for DEF manufacturing. Our product is suitable to DEF manufacturing. So, the DEF manufacturer, diesel exhaust fluid is called as a [DEF]. DEF market is increasing. So, it is being used for regulating the NOx content, NOx emission from the diesel vehicles. So, now it has started and it is growing by almost 20%- 25% every year.
And we expect that this demand will continue and demand is definitely is going up. And total last year we have sold almost 1,96,000 ton material, that production was there. And this year also we are going to sizeable quantity will be selling, maybe around 1.8 lakhs tonto 1.2 lakhs of ton we are likely to sell the product.
Technical grade urea.
Technical grade urea. And this will be definite. And second use is plywood industry, remunerated industries, some chemical industries, these people are there, CPC manufacturing, there is dye intermediate product. Cattle feed also they are using. Almost all dairies are using for cattle feed manufacturing.
Got it, sir. Sir, I have few more questions, but [will join back in the queue.
Okay, thank you.
Yes, sir, just one question. When see our spreads in our presentation, just wanted to understand, for this, the benzene and aniline spreads, they have been around 66 and around the lowest levels in the September month. Is there any kind of seasonality which will be impacted by it?
We lost you, madam, in last couple of sentences.
Yes. So, in terms of benzene and amyloid if you see the feedstock threads, we have touched the lowest in like in the month of September. So, do we get impacted by certain kind of seasonality or something? That is why the spreads are lowest there. Is it something like that?
No, spreads are lower because of the margin pressure. It is one of the lowest in our presentation which is sent out. That is the spread between benzene and aniline. Another spread which is also one of the lowest is that of the Toluene TDI. As far as aniline benzene aspects are concerned about the spreads and what impacts the margin profile, Mr. Manish Upadhyay will talk abou

t it
as to what is the scenario in case of aniline on the market front.

Manish Upadhyay. Aniline largely is being exported from China. China is very aggressive. Consumption in China is very less. It is reduced now. And they produce less MDI. Aniline is being used to manufacture MDI. And MDI production is where they start dumping nearby areas. So, India is one of the destinations to sell the product. And we are one of the largest consumers of the aniline in this area, surrounding area.

Arushi Shah:
D.V Parikh:
Arushi Shah:
D.V Parikh:
Yogesh Patel:
Arushi Shah:
So, they export to India at a very cheap rate and we have to compete with them. It is difficult because their raw material cost is very less. Their gas price is high, their coal price is low compared to the Indian prices. So, it is very difficult to compete with them. But still we are able to compete comfortably.
Okay, sir. Thank you. That was really helpful. Sir, one more question. Your year-on-year your revenue has reduced and there is a huge jump in other income, any one off in the other income and the other part of the question would be, what have you really done something so differently that our margins have come on this [inaudible]? And hence, what do we plan to do differently, to recover those margins and our revenue? If you could elaborate on an overall standpoint?
So, a couple of things we have understood that the, in case of other income, there are no one-offs. The other income has increased because of primarily two reasons. We hold several investments where the dividend payout has been significantly higher as compared to last year of INR10 crores, we have received around INR29 crores as dividend income.
Second most is the interest on the various deposits we hold with the internal accruals coming, there is a sizable deposit, which has increased the interest portion of it. So, therefore, there is an increase in the other income, there is nothing which is one timer in nature in the other income.
Now, regarding the question of, what we are doing to recover and all. See, we respond to the market realities and by configuring actions, including the production mix, etcetera. So, this is what at company level we do for the challenges of various products.
Okay. So, [mean, I think we can see a recovery coming back on track, like if not numbers, like in terms of a timeline, that, when can we really see our volume growth not being, set off by our margin pressure?
That's a price scenario, it will be very difficult to predict the price scenario. As far as volume scenario is concerned, our O&M Head colleague would throw some better light on both the operations.
See, operations side, we are, already doing very good. And the capacity wise, we don't have any margin, to compensate what we are losing on valuation side. So, there is no asset, there is no loss of production on at present on any technical visible things. So, our volumes will remain at the same level and there is no scope that we can increase volume without any project, no installation or conceiving any production. So, right now, the volume will remain same and we are already operating at very high level.
Okay, sir. And so, do we have any capex plans or have we even undertaken a buyback? So, like, would that impact our cash flows? Would that plummet our cash flows? And in a way, do we have less capex plan, if you could shed some light in the coming years?

D.V Parikh:
Arushi Shah:
D.V Parikh:
Yogesh Patel:
Arushi Shah:
Yogesh Patel:
Arushi Shah:
D.V Parikh:
Arushi Shah:
D.V Parikh:
Arushi Shah:
Jainam Ghegyami:
D.V Parikh:
Jainam Ghegyami:
D.V Parikh:
These are the considerations which are already factored in while declaring the size of the buyback as to what is the current ca

pex, what is the future capex. And what will be the
requirement for the operating cash These are the deliberations which have already happened yesterday and after that the announcement of around INR652.81 crores is made.
Okay. So, any number in terms of the capex for coming years?
Yes. Our colleague from business strategy will respond on this.
See, we have already outlined the capex of INR4,800 crores in the next five years.
Okay, sir. And that can be more or less, equivalently distributed or do we have some big plans in short term or a long term?
See, if you want, roundabout figures, current year will be planning for around INR200 crores, next year will be INR700 crores, then around INR1500 crores in 2024- 25, 2025- 26 and 2026- "27. This is now tentative distribution.
Okay, sir. Thank you so much and best of luck. Thank you.
Madam, if you would have referred the presentation, it is already part of it.
The capex figure?
Yes. Along with the timeline.
Yes. So, timeline was there, but [wasn't really able to find the capex amount. So, that is the reason [asked. Yes, thank you so much.
Hi, sir. Thanks a lot for this opportunity. So, sir, I just had one question. So, have we taken the provision for the reduction in subsidy? And if so, what is the amount that would be affected? Thank you.
Okay. See, the subsidy reduction is on account of two parts. One is urea and second is the complex fertilizer. One that has affected is that of a complex fertilizer, which is the ammonium nitrophosphate in our case. The impact is around INR8S crores in the books of account because of the change in the subsidy rates as compared to the previous corresponding period.
So, have we accounted for that in this quarter or will that come in quarter three?
No. It's already accounted for. See, what happens is when we are expecting some reduction, normally we make a provision based on the estimates given by marketing. It so happened that whatever was announced was very close to what was given by way of a provision. So, it is already factored.

Jainam Ghegyami:
D.V Parikh:
Nirav:
D.V Parikh:
Nirav:
D.V Parikh:
Nirav:
D.V Parikh:

Okay. Thanks a lot. Thank you, sir. And wishing the whole team a happy Diwali in advance. Thank you.
Hi, sir. Nirav here. Sir, previous participant question on INR8S crores of subsidy provision. This was in H1 of FY "25, which you have provide, right?
It's not the provision of INRS8S crores, it's a differential additional loss, which we have taken on account of subsidy over this period of H1.
Correct. So, sir, if we see on a normalized basis, excluding all these provisions and everything or the one-time hit, which we have to take because of the reduction in the NBS rates by the government and because for urea our energy consumptions are slightly higher, what sort of sustainable run rate of profit or loss could happen for the fertilizer division on a quarterly basis if we take the situation as it is from currently?
It is not that straight to understand because let's understand the complex fertilizer. Okay. Apart from the rates of subsidy, there are input parameters like weak nitric acid, ammonia, etcetera. So, there is an interplay of more than one factor which will affect and therefore, one cannot predict that what will happen to the fertilizer segment on a standalone basis because it will all depend with the moving parts floating around as to where it settles from period to period. As far as urea is concerned, yes, we can say that urea is not going to be profitable anytime soon because of the under-recoveries mainly of the fixed cost and energy.
Correct. What is that amount if you can quantify, sir? What amount of extra under-absorption we undergo every quarter because of which the urea business is under pressure?
See, energy norms under recovery depends upon the prices of g

as. Okay. Like in Q1, we lost
close to around INR30 crores or so in the energy norms because of the shutdown, the norms were very higher. In Q2, the norms have been quite lower, so it has caught up. So, the losses reduced to around INR7 crores. As far as fixed cost under-recoveries are concerned, see, we get roughly INR2,629 on a per metric ton basis in case of urea. We spend close to INR1,000 more on the various fixed costs in case of urea. So, that is the impact. If we see, we manufacture

roughly INR6,40,000 taking the figure a little above the reassessed capacity and that is a number which will continue to occur regularly till the time fixed costs are revised by the government.
Yes. Correct. Sir, second question is on the concentrated nitric acid. So, if we see Indian market, I think we are the predominant player after Deepak Fertiliser. So, if you can just help us understand how the pricing of CNA is done. So, is it ammonia plus some premium of ammonia and a fixed margin to produce CNA or CNA prices are more dependent upon the market dynamics in India because CNA cannot be imported in India.

D.V Parikh:
Jainam Ghegyami:
D.V Parikh:
Jainam Ghegyami:
Y. N. Patel:
Jainam Ghegyami:
Y. N. Patel:
Jainam Ghegyami:
D.V Parikh:
Jainam Ghegyami:
Normally, it is market driven. However, for a limited time, we do a fixed price contract also depending upon the situation.
So, there probably the volatility in terms of margins could be more because prices of CNA have corrected a bit as compared to that of last year. So, there the volatility in margins which we have seen in our numbers also could be, one of the reasons could be this also, where because we sell in the spot market, we do suffer when the prices move down substantially.
That is true for any product.
Correct. Sir, you mentioned about the TDI part that TDI-II, we have produced close to 27,000 tons in H1. I think Q1, we had some sort of shutdown at our complex. So, if you can share the production numbers in Q2 and how do we see TDI-I and TDI-II for FY'24 because last year, if [am not wrong, we have produced close to 56,000 tons. So, if you can share this and then [have one more associated question to this?
Tam Y. N. Patel answering your question. See, TDI-I so far, we have already produced 10,000 up to October 23 and TDI-II also, we have produced 31,000. And right now, capacity realization is first time we are operating at higher level than 100% throughout this first and second quarter. The shutdown which you are talking, it was for Bharuch complex for TDI-I. TDI-II was running at least not a planned shutdown was there. There were certain unplanned shutdowns were there. But right now, both TDI-I and TDI-II are running very nicely. And capacity realization of TDI-[is 124 around. But this outlook for TDI-II production scenario for this current year is very good. So, we have achieved that stability.
Correct. And that is why probably our losses have reduced if we compare HI versus H1 of last year.
Yes.
So, if you can share the fixed cost which we incur for TDI-II plant because I think that is a higher proportion of the entire volume. So, what is the annual level of fixed cost we incur for our TDI-II plant?
See, this was already covered in the last con call. But for your purpose, roughly it is about INR50,000 per metric ton. And if we talk about the annual number, it will be close to around INR300 crores for the Dahej plant.
Sir, last question is on ammonium nitrate. So, what we could hear is that the government have lifted some restrictions on the export of ammonium nitrate, which they have imposed at the start of the year. So, if you can share the scenario of ammonium nitrate currently and how is V placed in terms of the H1 performance for ammonium nitrate, some sort of understanding there?

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Manish Upadhyay:
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inam Ghegyami:
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D.V Parikh:
Jainam Ghegyami:
D.V Parikh:
Priyans:
D.V Parikh:
Yes. From marketing side, this question will be covered.

[am Manish Upadhyay. Ammonium nitrate in India is a short supply. Rather short supply means India is in need of the ammonium nitrate. Ammonium nitrate is being used for manufacturing of the explosives, commercial explosives and it is mainly used by the coal India. There is a net import around INR2 or INR3 lakhs, three lakh ton material every year. Some small quantity, a special grade product is being sold by the depot fertilizer in the market. Otherwise, the market is growing because coal India's consumption is increasing and the market is growing.
Thank you. Mr. Patil, [can understand that it is not possible to share product-wise details, but let us say if we take H1 of FY24, if you can just list in order of contribution, which products would have contributed better in terms of the profitability from the chemical division? Top three or four could help, sir.
Acetic acid. In terms of profit per unit.
yes, okay. And nitric acid.
These are the three products which contributed. As far as TDI is concerned, it has contributed to positive contribution as against negative contribution last year and therefore reduced the losses. Although we are still not in profit in TDI too, but it has substantially reduced the losses because of this.
Got it, sir. Got it. Thank you so much, sir, for answering the questions in detail and festival wishes to the entire team of GNFC.
Same to you.
Yes, first of all, thanks for the board for the approving the buyback, but I just could see that in the buyback announcement, it is not mentioned, no way it's mentioned that whether the promoter companies are going to participate in the buyback or not. It is a step perspective that whenever any company announced buyback, they categorically mentioned that yes, that the promoter has expressed their willingness to participate in the buyback. So shall we assume that the promoter companies will not participate in the buyback?
Your understanding is partially correct in terms of normally what is the practice. We cannot answer whether promoters will participate or not at this point in time. It will be part of the public announcement which will be made. And every company works in this way at the time of making the public announcement only after the board meeting takes place, there is a scheduled time of making the public announcement. And in that public announcement, the total shareholding cost thereof and the participation intent, if any, is mentioned. This is true across India. No company mentions at the time of intimating the board decision.

Priyans:
Ashwin Shah:
Priyans:
Ashwin Shah:
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D.V Parikh:
Priyans:
No, sir, this is not true. [mean say, since this subject is already like a part of the agenda, so the promoter company already knows and we can share you end number of announcements after approval of the board meeting where it is mentioned that the promoter has expressed the intention to participate in this one. So this is number one.
And number two currently means like considering this, for example, this raw material prices and our product prices, how is the business going on in say, for example, October, November month vis-a-vis the Q2 September?
I am Ashwin Shah, Company Secretary, replying to the first part of your query. In fact, the statutory requirement is to publish the public announcement. E plus two is the deadline. So companies which receive the confirmation or consent for participation in the buyback process from the promoters, they can make such announcement upfront also while filing their outcome proceedings of the board meeting.
In our case, we are in the proce

ss of getting the final consent from the promoters as regards their
consent to participate in the process. So we intend to publish the public announcement in the newspapers tomorrow. So it will be available in the public domain about the intent of the promoters to participate or otherwise in the buyback process.
First of all, let me compliment you for the logical answer instead of vehemently refuting. Thank you so much, number one. So while you will be publishing public announcement, maybe you will be announcing in your local newspaper and so on. So we will not have access to that one. So I'm sure that you will also be submitting a copy of the announcement to the stock exchange so that the public at large can just browse and see it?
Yes, it will be published in one English national level English language newspaper, one national level Hindi language newspaper, and one local newspaper of Baruch. And it will be also uploaded on the stock exchange websites where our shares are listed, that is BSE and National

Stock Exchange, and also on the company's website.
My second question is that, like with regard to this policy announced by the Gujarat government during sometime in April or sometime this year, early this year. So now we have given a handsome dividend of INR30 per share and now we announced this buyback. So after these two major steps, how much like corpse is still lying, which has to be further utilized within the finance sector, for example, either in terms of a bonus or dividend, whatever?
We understand you intend to know the cash which would be lying.
No. Since you are like, you are a company promoted by Gujarat government. So Gujarat government has announced a policy for the distribution of surplus funds or whatever it is. So like, I think I don't remember the number, but 70% something like they announced that a

D.V Parikh:
Ashwin Shah:

company has to pay back a certain portion of their return earning either by a dividend, buyback, bonus, whatever.
So now after that policy, the company has given 30 rupees dividend, which was, like a first time such a high and then now it is a buyback. So what I'm asking that whatever was your obligation to distribute like to the shareholders from the return earning as per the Gujarat government policy.
Out of this, how much has been consumed by the dividend of INR30? We like generally suppose we give you a dividend of INR10 rupees for this or additional dividend of INR20, for example, and how much will be consumed by this one buyback and what will be the remaining portion which the company has to still distribute to the shareholders?
Okay, I'm D. V. Parikh answering your question. On account of dividend, the total outgo is INR466 crores. As far as buyback value is concerned, value is already part of the public announcement, INR652.81 crores. Now, remaining amount is not exclusively meant for the other options. Remaining amount is meant for the capital expenditure pipeline, meeting some of the requirements for challenging times, working capital needs and so on. So it is not that whatever it is there is available for rest of the options.
Yes, I'm Ashwin Shah. I would like to just supplement what Dilip bhai has said. That first of all, I would like to just clarify that there was a guideline issued to all the companies promoted by government of Gujarat and there is no policy as such. Let us be very clear. And as per that guideline, the companies are expected, not directed, companies are expected to act depending upon the host of internal and external factors in which the company and the environment in which each company is operating. As you know, the government has promoted the companies in various sectors like chemicals, fertilizers, then energy, right. So nothing is mandated. It is at the option of the company, depending upon host of circumstan

ces and the factors. I think so...
So, sir, thank you for the clarification. But we are public shareholders and we do not have the access to the raw documents of the PDF or whatever governments have regulated. So maybe [will request the secretary to send a copy of the notification, which is issued by the government. But in the meantime, we have access only to the financial newspapers. I'm just reading from Money Control itself, say that is that State of Government of Gujarat has mandated a minimum of 30% of net profit or 5% of net worth whichever is higher to be a minimum level of dividend declare for the shareholders. Says like this, so we at public understand that is a mandated and it says then Gujarat announce a new policy of dividend on bonus share beside policy.
And it says that the Gujarat Government said there is now policy or minimum dividend distribution of bonus — state public distribution also give better clarity to minority shareholders and it includes the forms that can issue to investor to so on so. Besides, the directive will force the state PSU to put their ideal case to good use.

Ashwin Shah:
Priyans:
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D.V Parikh:

November 09, 2023
Sorry, please continue.
Yes, so it's like and then it says that the state government has mandated a minimum of 30% net profit or 5% net profit, which is higher to be a minimum level of dividend declared for shareholders. However, it has been mentioned in this order that this is the only minimum level and maximum permissible level of dividend should be declared. So what you are saying, sir, and what is available in the Money Control is totally contradicting. So I would say this one.
Okay. I'm Ashwin Shah answering to your point. In fact, we do not know where from Money Control has got the information. Point number one. Point number two, we have not and we cannot share this circular to any of the stakeholders because it is an internal circular issued by the Government of Gujarat to its companies promoted over a period of time. So the authenticity we do not know.
But as such, the intention of the Government of Gujarat is to get a positive note and positive intention. The Government expects the companies to give a good return to the shareholders to also ensure that the activities and the corporate actions are done in such a way that the shareholders wealth improves over a period of time. That is what our perception is.
Okay.
Thank you.
Okay. So coming to my other question that considering the prices of raw material during this Q2 and currently and considering the prices of, for example, the product which we manufacture during Q2 and now, how do we see the scenario like that? Are we positive or are we negative during the current quarter?
Okay. [am D V Parikh. As far as volume is concerned, it is stable.
It is bad. No, sir, your word is missing. So far volume is concerned, it is?
Stable.
It is stable. And prices, there are ups and downs, but no major corrections which we have witnessed. And this keeps on changing from period to period, day to day. So making a prognostic for the whole period is not right when it comes to price. Volume part, our Head of O&M has already explained that there are no practical issues from the plant side, operation side.
And the raw material prices have softened or like are stable?
As compared to last year, softened, yes.
No, no, Q2, Q2 September?

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Manish Upadhyay:
Arushi Shah:
Management:
Arushi Shah:
Management:
D.V Parikh:
Arushi Shah:
D.V Parikh:
Arushi Shah:
As compared to Q2, more or less,

same.
And did we take any price hike from October 1 till now for any product?
Output product?
Did we take any hike in the prices of any of our product from October 1 till now?
Output product?
Did we take any hike? Did we increase the price of any of our product from October 1 till now?
So we want to clarify, is it output product or input, you are asking?
No, no, no, sir, [am saying the price of a finished product.
This is what [am saying, output product is finished product.
Output finished product.

Our marketing colleague will answer that.
Please, sir. Please, sir.
Sir, not increase in any product so far, because raw material prices going down and we have kept our price almost at the steady or slightly reduction side.
Thank you for the follow up opportunity. Just one question, what, I mean, could you give any idea regarding the asset turnover we are looking at?
Asset turnover?
Asset turnover ratios.
Asset turnover ratios.
So, last year it is already in the annual report.
Okay.
This year, it's going to be less than that, depending upon how we fare in terms of the revenue side.
So like, once all our, capex plans, they, start coming into play like, say, from FY25, 26, can we see an increase in the turnover? Like, and if from what, if you could guide a timeline if possible?

D.V Parikh:
Arushi Shah:
D.V Parikh:
Manish Upadhyay:
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Arushi Shah:
Manish Upadhyay:
Arushi Shah:
D.V Parikh:
Arushi Shah:
Y. N. Patel:
Jigar Shroff:
Y. N. Patel:
Jigar Shroff:
Y. N. Patel:
What kind of timeline?
So like, in case we, as you said, we might take a dip in the asset turnover in the current year. So when can we start seeing the improvement in the gross asset turnover or net asset turnover as you would, say, FY26 or 27? If briefly, if you could give some color on that?
Forecasting the marketing projections. So, okay, I'll request our marketing colleague to tell us the scenario up to FY 26, 27. Normally, in a chemical sector, it is difficult, but let's see.
Manish Upadhyay. Normal chemical market is normally growing.
Okay.
Normally growing. Of course, it all depends on the raw material price. So how price is going to behave depends on the raw material prices. So it's not difficult to predict at the moment how will be the scenario.
Okay.
Yes.
Okay, okay. So my question basically was that once we place, you know, our new expansion plans in place, once they are in place and our revenue starts to increase, when can we see such an improvement? Optimistically from, say, FY26, 27 or, you know, four, five years hence is what my question is.
So, you are asking about the project revenue when they start coming in?
Yes. And what are the peak revenues they canreach?
Yes, it will be, you know, beyond 26 only, you know, we'll be seeing that, you know, real increase in revenue.
Thank you for taking my question. I missed the capex plans, you said it's INR4,800 crores for the next five years. What was the year-wise breakup? You said FY24, current year 200, FY25, 700. After that I missed, if you could please repeat.
Subsequently, it is 1500 and 1200, 1200, you can say. These are tentative figures.
Okay, but this is for all the 4 megawatt solar power plant till the Ammonia expansion, which is mentioned in the presentation, correct?
Yes, that also includes, you know, our project for which, you know, bidding is going on, that is, you know, weak nitric acid 3 and AN well 2. And also...

Jigar Shroff:
Y. N. Patel:
Jigar Shroff:

Y. N. Patel:
Jigar Shroff:
Management:
Jigar Shroff:
Y. N. Patel:
Jigar Shroff:
Y. N. Patel:
Omkar Kamtekar:
Manish Upadhyay:
Omkar Kamtekar:
Manish Upadhyay:
Omkar Kamtekar:
That is there in the presentation.
Pardon?
That is there in the presentation.
Yes,

yes.
So, the ongoing project is 4 megawatt solar power plant, coal-based cement power plant, TDI 1, 2, then 10 megawatt electrolyzer-based green hydrogen project, weak nitric acid, ammonium nitrate prints and Ammonia expansion. These six projects, correct?
Yes.
And, sir, the real impact of the increase in revenue will be only from FY27 or FY28-29, according to you?
Beyond 26, you will be able to see.
Beyond 26, so from FY 27?
Yes.
So, with respect to the spreads across the products, say for example, TDI is one of the lowest ones and the Methylalanine Acetic Acid is at the highest one, one of the highest ones. So, will these spreads remain volatile? So, for example, Methanol Acetic Acid has more than doubled over the last three months. So, the Acid prices, Acidic Acid prices also have been very volatile. So, is this sustainable or it will go back to normalized levels?
Manish Upadhyay from Marketing. Normally, raw material cost is different and finished product price is also different. Spread sometime may go narrow down or sometime it may increase also, decrease also. It all depends on the volume of the import because all products are more or less we are competing with the import.
Okay. So, it will be as dynamic as it is. So, we might see a drop maybe in the next quarter or...
We are hopeful that normally this, whatever the ratio we have seen at the moment, definitely likely to be maintained. Or it may improve also. Okay. Because the last, this year, this particular financial first half year is not very encouraging. This year can be improved.
Okay. And one of the earlier participants had asked a question with respect to CNA and how its market dynamics are. So, my question is on a similar line with respect to the entire product portfolio. So, during the first half and especially in quarter one, we saw a lot of impact from the China dumping, China being aggressive in its pricing of its products. So, it seems that it has

Manish Upadhyay:
Omkar Kamtekar:
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D.V Parikh:
receded to a certain degree. But I would like to get a sense from you, are we still chasing it at a substantial level and will it continue or will it recede further?
There are chances of the improvement because last, first quarter, first half, there was a hit because of the high price of the, low price of the urea, low price of the ammonia for the world. So, one, they made, this ammonia is the main raw material for the CNA. So, CNA price and nitric acid price was on lower side. These are, it has already started improving and we are hopeful that it will likely to go up now.

Okay. So, by improving you mean the market dynamics will improve in our favor and not that the China dumping will work?
Price will definitely, it would like to improve.
So, it will be favorable for us?
Maybe short term, maybe not improving, but if you see the second half totally, there are possibilities of the improvement because of the improvement in the ammonia price internationally. Okay.
So, that would be kind of favorable, in our favor also? Okay. And with respect to the oil price also, I think it was explained, but I did not understand properly. So, the gasification of the oil, the oil-based gas that we produce of ammonia, how is that priced? I was not able to understand that logic properly. It is not proper crude oil, the normal oil. So, how is that?
Okay. See, we source a differently value added kind of an oil, okay, known as FOHV. It is a variant of an oil with a different sulfur content and therefore, the pricing formula is configured accordingly and with some premium over the normal oil.
Okay. So, that is because of the sulfur content or is it something else?
Mainly sulfur content, tailor-made t

o our requirement.
Okay. And because we are also using that gas, [heard late, right, correct me if I am wrong, this also helps us in other chemistries also, in industrial chemistries because the output products are also used in other chemicals?
Yes, this is how it is configured.
So, going on, we would be trying to shift towards that and, you know, move away from the gas-based. Will that be?
We have two independent facilities. Gas-based is meant for exclusively urea and the rest is for chemicals and complex fertilizer both.

Priyans:
Y. N. Patel:
Omkar Kamtekar:
Y. N. Patel:
Ashwin Shah:
Okay, okay. So, it will be case-specific, use-specific?
See, the ratio will remain same. There won't be any change.
Okay.
Our plants are designed like that.
Yes, I'm Ashwin Shah, Company Secretary. I would like to extend our sincere thanks from GNFC management side for all the participants who actively participated and made this con-call of the investors a success. Also, we extend our sincere thanks to Anurag Services LLP for arranging this con call meet with investors to have exchange of information and get idea about the scenario about working of the company.
I also personally thank the representatives from the management, various verticals, head of the departments for actively participating and nicely responding to the queries raised by the investors. Thank you. Thank you one and all.

Call: Feb 2024

Gujarat Narmada Valley
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Mumbai-400 001 Mumbai — 400 051
Co. Code: BSE - "500670" Co. Code: NSE- "GNFC EQ"
Sub.: Transcript of Investors / Analysts meet through Conference Call.
Dear Sir,
We had vide our letter dated 25" January, 2024 intimated the Stock Exchanges
about the schedule of Investors / Analysts meet through Conference Call on
Thursday, 08" February, 2024 at 3:30 PM (IST) through Conference Call.
We send herewith a copy of Transcript of Investors / Analysts meet through
Conference Call which took place on 08" February, 2024. The said transcript along
with the audio is also uploaded on the Company's website i.e. www.gnfc.in
We request you to kindly take note of the above.
Thanking you,
Yours faithfully,
For GUJARAT NARMADA VALLEY FERTILIZERS & CHEMICALS LIMITED
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R CHIMANLAL CHWANLAL St Date: 2240313 SHAH T3r04 0530
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COMPANY SECRETARY & GM (LEGAL)
“Gujarat Narmada Valley Fertilizers & Chemicals
Limited Q3 FY24 Earnings Conference Call”
February 08, 2024
MANAGEMENT: MR. D. V. PARIKH — EXECUTIVE DIRECTOR & CFO
MR. Y. N. PATEL — HEAD OF THE O&M
MR. A. C. SHAH — GENERAL MANAGER & COMPANY
SECRETARY
MR. MANISH BILLORE — GUJARAT NARMADA VALLEY
FERTILIZERS & CHEMICALS LIMITED
MR. MANISH UPADHYAY — GUJARAT NARMADA
VALLEY FERTILIZERS & CHEMICALS LIMITED
MODERATOR: MR. ANURAG HALAKHANDI — ANURAG SERVICES LLP
Page 1 of 12
Anurag Halakhandi:
D. V. Parikh: Gujarat Narmada Valley Fertilizers and Chemicals Limited
February 08, 2024
Thank you. Good afternoon. On behalf of Anurag Services LLP, I welcome the management of ‘Gujarat Narmada Valley Fertilizer and Chemicals Limited for Earnings Concall.
From the management, we have Mr. D. V. Parikh - Executive Director and CFO; Mr. Y. N. Patel - Head of the O&M: Mr. A. C. Shah - General Manager and Company Secretary and other senior members from the management.
We will begin the call with the “Opening Remarks” from the Management post which we will have a question-and-answer session.
Thank you and over to you, sir for “Opening Remarks™.
Good afternoon. Good afternoon to Anurag Services for holding this call and warm welcome to the participants. On the industry scenario, if you start with their results which are declared by different companies, both domestic and international, the results are subdued in nature as compared to the last year as well as quarter-on-quarter. Basically, if we talk of fertilizer and chemical, both industries are impacted. The fertilizer industry is impacted mainly because of substantial reduction in the complex subsidy levels even if the operations are stable in most of the units. Apart from that, if we talk about urea as a fertilizer, urea has been suffering with under recoveries of fixed cost since quite some time and there is some sort of energy under recovery also in that business, so overall fertilizer industry is getting impacted because of these reasons.

As far as chemicals are concerned, the margin pressure is observed mainly because of the disproportionate impact rather on the realizations as compared to the inputs. Although, both have gone downward, the proportions are different, which is impacting most companies, including GNFC, as the case may be.
The key highlights of Quarter 3 would be like in case of GNFC it has completed

the buyback
with a response of close to 3x which is about 300% and with extinguishment of around 8.4 million shares. Now, the share capital is reduced by a factor of around 84 lakh shares. It has changed the composition of the sharcholding pattern of promoters, which was carlier 41.18, which has gone up to 41.3% for both the promoters taken together.
During Quarter 3, the long-term settlement also is also completed with the employees and the same is settled with a minor impact since most of the amounts were provided. Apart from the margin pressure, what is unusual in this financial year is there has been a shutdown which has created an impact both on the topline and bottom-line, which is substantive because the days were close to a month in early April which has impacted. If you talk about the operation from chemical perspective, the production levels have been a little lower as compared to Quarter 2

Nirav:
D. V. Parikh:
Manish Upadhy
Nirav:
Manish Upadhy:
Nira:
D. V. Parikh:
Nirav:
D. V. Parikh:

whereas if you compare with Quarter 3 and Y-o-Y basis, Quarter 3, the production levels are higher and ona Y-0-Y basis the production levels are lower mainly because of the shutdown. In the case of sales, there has been the stock built up at the end of period because of which the sales overall are affected. The inventories are increasing, mainly that of TDI, which was the highest at the quarter end if we compare the last 3-4 quarters. TDI as far as the production part is concerned, has done extremely well especially the Dahej plant, there is a reliable production which has exceeded the annual production of last year.
In terms of the financials, it is before you, the financials as well as the press release are loaded on the Stock Exchange followed by the presentation, so number part we will take more questions rather than elaborating on that.
With this, I close my opening remarks and invite questions from the participants. Thank you.
I have few questions. Sir, first on the TDI plant, I think last quarter you mentioned that plant was operating at optimum levels, even this quarter the plant has exceeded our expectations. So, if you can just share the sales number for both the plants separately till 9 months of FY24?
Mr. Manish Upadhyay, if you can please respond to this query with sales numbers.
Total figure, Tam just giving at moment, April to December total 50,800 and we already crossed. Last year it was almost 37,000 ton, so this is the total and in Dahej we almost crossed almost 60,000 tons so far.
Sorry, sir, come again, for Dahej how much it was?
Dahej, production is 55,822, 61,023. Sales is almost 50,500 so far.
50,500 so balance is from the Baruch plant. So, total sales is 58,800 of which the Dahej is 50,500 and balance is from Baruch plant, correct?
Total sales is 51,000 divided into two parts, Bharuch is 13,000 and Dahej is 38,000. These are the numbers of sales.
And sir, last time you mentioned that the losses from the TDI on a half yearly basis has narrowed down toRs. 95 crores, s0 how much it was now for 9 months of FY24?
See the total loss has gone down by half.
So, it is now Rs. 47 crores for 9 months?

D. V. Parikh:
Nirav:
D. V. Parikh:
Nirav:
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Nirav:
D. V. Parikh:

Nirav:
Y. N. Patel:

See for 9 months there was a loss of more than Rs. 350 crore last year. It has gone down half. It is now Rs. 175 crores?
Yes.
Sir, second question is on our power and fuel cost. So, when we see our quarterly results, T think it is around Rs. 400 crores run rate. Last quarter it was also on the similar lines. So, if you can just help us explain what feed we actually use for the production of chemicals like, is it the same which we use for the production of

ammonia for our chemical business like the fuel oil which
you mentioned last time and if yes, how much do we annually consume fuel oil for our chemical business, for the power and fuel part?
For the power and fuel part practically no fuel oil is used. For power and fuel, there are three sources, one is coal-based facility, second is the gas based facility and third is the import of power which is from the state electricity gate. Depending upon the operational and financial feasibility, we operate within these three lines. The total requirement of power and fuel,its range is little above 50 megawatts per day and the mix is decided based on the cost and reliability part of it.
Sir, you mentioned 15 MW.
50 plus MW. It ranges depending upon the production level between 51 to 55.
So, let s say the coal cost is currently pending down as per the presentation. So, let us say even if you share the figures for 9 months, what was the mix in terms of our consumption of power for this 9 months of FY24 that would be helpful, sir?
What exactly do you want in terms of?
No, sir, this 50 MW of consumption which we require on a daily basis for our chemical production, if you can just break it down in between coal, the natural gas and the power which we purchased from the grid?
T am Yogesh Patel answering your question. As Mr. Parikh has narrated we do variation based on the variation in the rate of fuel as well as power we draw from GEDCO Grid, but approximately you can take one third cach component.
So, sir, when we see our presentation, I think you have been showing the data for oil, natural gas and the imported coal. So, when we see, let us say Q1 of FY24, the natural gas cost was like Rs. 41 and the coal price was Rs. 12, which is now also at similar levels more or less, but when we

D. V. Parikh:
Nirav:
Atul:
Nirav:

see our power cost, Q1 was like Rs. 340 crores and now it is at around Rs. 400 crores. So, is it because of the increase in the production of chemicals, this increase has happened or because of the higher consumption or higher takeoff from the grid that has increased our power cost?
So, as compared to Q1, there was a shutdown. So, the consumptions were less, if you compare QI versus any other quarter, whether Q2 or Q3. you will find the difference because of the shutdown period.
And sir, the last question before T again join back in the queue, what was our ammonia production in 9 months of FY24? And if you can just bifurcate between how much was meant for urea and how much was for chemicals?
Ammonia production, if I give you figure up to December, it was 463,512 out of which gas base was 2,72,000 and the oil base was 1,91,000. So, 60:40 ratio is there.
So, basically just wanted to check in terms of scenario if one has to think, is this kind of margin pressure likely to continue or they have bottomed out across most products and is it okay to assume that probability of further margin decline is low if just to get a sense on?
Actually Quarter 3 was not that good because Quarter 3 should be good, but this year Quarter 3 was facing problem of the margin as well as the selling, of course sales was quantum wise almost same was there compared to the previous month, but margins were down because of the high input costs as well as the lower selling price. Price has started going up from December onwards. It has already started. Almost all products now, we have reduced our inventory considerably and we are able to increase price sales loss to one and a half or two months" time, so we are hopeful that this quarter will be definitely better than the last quarter.
Sir, you mentioned that our fertilizer business was affected because of the reduction in the subsidy rates and last of our interaction, you mentioned that the because of the higher fixed cost urea business incurs for around Rs

. 65 crores on an annual basis. So, when we compare the 9 months of FY23 and 9 months of FY24, last 9 months were profitable. So, was it because the other fertilizers were doing well in terms of profitability and urea was suffering and this year those profit numbers have turned negative because of this reduction in the subsidy rates, is it a fair assumption?

'This is Manish Billore responding to your question. See more or less, the urea continues to make losses because of those recoveries explained by Mr. D. V. Parikh earlier in his note. There are other fertilizers which were giving us some kind of a profit though we had quantum wise a little less as compared to the Q3 means year till date December for the previous year and this year, when we are having this conference. Yes, your assumption is correct and it is like that we had made a little profit in our other fertilizers which falls into the category of NPK or complex

Nirav:
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D. V. Parikh:
Nirav:
D. V. Parikh:
Nirav:
Manish Upadhy: Gujarat Narmada Valley Fertilizers and Chemicals Limited

fertilizers and the subsidy revision, which has taken place actually has taken place effective from Ist of January 2023, retrospectively announced later in the next financial year and again with effect from Ist of April 2023. So, these are two facts that have contributed to the losses this year, put together, as we look the fertilizer segment as.

Sir because when we see our current 9 months, the PBIT loss is Rs. 191 crores. So, even if we exclude the urea loss, the losses have been higher. So, is there any onetime inventory hit which we have taken in this 9 months and what could be the sustainable or a repetitive quarterly loss figure, which we could continue to report based on the losses on the urea side?

See, the urea remains unchanged, and we cannot ignore the inflation in between, which has been taken place. We have increased our manpower cost because of certain decisions taken by the management in terms of remunerations to the employee. This is what has also contributed to it. And another is that major part can be assigned to the NBS subsidy, which has been given. Going forward, this fertilizer business per se depends upon the feasibilities what we are having looking at the nutrient-based subsidy scenario and the fixed cost subsidy revision in urea. So, this has been the case for GNFC for quite some time now.

Sir, second question is on the contribution of top three or four products this quarter in terms of the sales, if you can just highlight US or let us say in terms of even profitability if you can just highlight for this quarter and or let us say even if for 9 months that would be helpful, for this 9 months or quarterly, whatever is convenient, so what were the top three or four products in our portfolio which has contributed to the sales as well as to the profitability?

TDL weak nitric acid and acetic acid, these are the top contributing products in terms of contribution, TDI in terms of sales as well.

Because the TDI losses have reduced. That is why the contribution to that extent have gone up, right?

Yes.

Sir, last question is on ammonium nitrate. So, how has been the situation currently because last year I think that was also one of our profitable product and if T am not wrong, last year we produced or sold close to 1,97,000 tons. So, if you can just help us, what were the production numbers of ammonium nitrite for 3Q as well as for 9 months and the outlook on that business?

Production number for Quarter 3 is 35,000 tons as compared to 41,000 tons in Quarter 2. T will tell on 9-month basis also what are the production numbers. The AN Melt is 116,000 tons as compared to 153,000 tons in 9 months last year.

Nirav:
D. V. Parikh:
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D. V. Parikh: Gujarat Narmada Valley Fertilizers and Chemicals L

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So, sir, to that extent probably our weak nitric acid consumption into AN Melt would also gone down and that extra WNA we have to sell in the market?
No, not necessarily, because see, last year the AN Melt was different quantity because of certain product mixes, and what happens is that AN Melts we have two routes. One is Co-producing it along with the ammonium nitro phosphate and also independently produced irrespective of ANP. So, it not necessarily that it will save, but in general if we run it independently thenit says WNA, yes.
And sir, on the timeline of our CAPEX is like the 50,000 and ammonia plant one like 63,000 tons of AN Melt plant and 200,000 tons of WNA. So, if you can just walk us in terms of the timeline for commissioning of this CAPEX and of the total CAPEX, how much we have spent till date?
Y. N. Patel answering your question, see out of total CAPEX right now, the committed expenditure is only for two projects, which is 4 MW power plant and coal base power plant at Dahej complex that is Rs. 613 crores and 23 crores that is already committed expenditure and this ammonia expansion Rs. 225 crore are committed. For weak nitric acid and ammonia melt investment decision is not there, but we are likely to conclude that within next 2 months or so and the completion for this project will be around ‘26 and mid of *26.
Mid of Financial 26.
Yes.
And sir, how much we have spent till now on this?
No, we are yet to spend anything on this week nitric acid and AN Melts.
No, Tam talking about that 4 MW plant as well.
4 MW project, I think more than Rs. 20 crores we have already spent and ammonia we have only spent around Rs. 30 crores so far.
And sir, even when these projects are finalized for both what you mentioned, what sort of CAPEX we are looking on for both these projects put together?
Both these projects will be consuming around Rs. 1,200 crore. T am talking about this weak nitric acid and AN Melt.

Nirav:
D. V. Parikh:
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Manish Upadhy:
Nirav:
Manish Upadhy:
Rusmik Oza:
Y N Patel: Gujarat Narmada Valley Fertilizers and Chemicals Limited
February 08, 2024
And, sir, last question if you allow, sir, what was the production and sales number for WNA and CNA for Quarter 3 as well as for 9 months?
For 9 months it is 3,24,000, has been 3,28,000 last year.
And for concentrated nitric acid, sir?
105,000 versus 81,000 last year on 9 months.
And CNA, out of this some portion would be consumed for our nitrobenzene as well as TDI, rest would be sold in the market, right?
Yes.
So, if you can just let us know what was the sales figure for CNA that would be helpful, sir?
T am Manish Upadhyay speaking. It is around 37,500 ton roughly, approximately.
‘This is what we have sold in the outside market.
Yes, within 9 months” time.
T wanted to get the outlook on FY25 considering that this year has been quite disappointing in terms of margins both on fertilizer and chemicals, will there be any cost cutting measures you are taking to improve the profitability next year because considering that a lot of CAPEX are fructifying and coming in FY26?
‘We have not initiated any cost-cutting measures. For CAPEX, we don't go for that. But for margin part, I think Manish can throw more light on pricing and margin on chemicals segment.
Twill just give you the outlook of the chemical side. As T talked to you from December onwards, prices started going up. Last year, ammonia price was on higher side, so we got advantage of the ammonia-based product like nitric acid, CNA, WNA, Ammonium Nitrate Melt as well as the urea, these four products are dependent on the ammonia, so all these four products are scored very well last year. This year the price has gone down almost to 50% of that level compared to last level. So, this has naturally affected our sales realization as well as the whole sales price.

Now, it is comin

g back to normal. Of course, ammonia price is under stabilization and now it is
almost steady since last couple of months or 2-3 months" time. We are hopeful that this quarter will be definitely better, and the coming year also will be under stabilization, and we will be able to get a proper margin.

'Manish Billore:
Rusmik Oza:
D. V. Parikh:
Rusmika Oza:
D V Parikh:
Nira:
Y N Patel:
Nirav:
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Nira:
Y N Patel:
Nirav:
T am Manish Billore responding to the other segment, which are fertilizers. When it comes to the fertilizers, these are statutory rates which we cannot really change and this also largely depends upon the subsidies and dispensations we are getting. Also, our manufacturing facilities are stabilized, and we cannot really make kind of a change which is required to change the whole lot of scenario. Just we are doing kind of an integration and taking care of product mix in our Nitro phosphate complex, if we get better margin that we are not getting in the fertilizers which is one of the products there in Nitro phosphate plant. We may get back to other products like AN Melt and all depends upon the market dynamics. So, there is not much to do and much to change as far as the fertilizer segment is concerned for cost cutting.
Sir, follow on question, like for example if T am looking at the operating profit margin in FY22, we had the peak 28% operating margin, which came down to 18% last year and the first 9 months, T think we are at 6 to 7%, so will we go to double digit operating profit margins next year based on your assessment or will it remain sub 10% next year also?
Looking to the IP pricing guidance given, it looks like it should be better.
But will it be in double digits next year, FY25 on aggregate basis?
We are trying for that. Looks like it should be in double digit, but we cannot provide a guidance of for future looking kind, but we are hopeful of realizing this double-digit margin because most of the products, if you see at its ebb rather and the corresponding input cost have not gone down so much. So, there is still scope for margin improvement.
Sir, on that coal based steam and power plant for the TDI 2, will it increase our TDI capacity or the production numbers for the Dahej plant?
No, it has no relevance with the production capacity, but it will improve our margin in TDI at Dahej.
How much of the per ton cost reduction could happen because of this exercise?
Depending on the pricing difference between natural gas and coal, it will be in the range of around the 15,000 to 25,000 metric ton per ton of TDL
So, 15,000 could be considered as a base and 25,000 on the higher side?
Roughly or depending on what is the coal and gas prices.
Yes, the prices of the fuels in that way.

Y N Patel:
Nirav:
Y N Patel:
Nirav:
Nirav:
Nirav:
Differential between pool and NG price.
So, then this sort of losses, what we have been incurring on the TDI side, could be profitable even if we consider the realizations at the current level?
Yes, then we further reduce.
Sir, second question is on our chemical business, so are there any contracted terms on which we sell our products or entirely it is sold on a spot basis?
We have a different product; different strategy is there. In TDI we do a contract, yearly contract and Aniline we do monthly contract. In certain product like nitric acid, we do a quarterly contract, but it is a quantity-based contract with variable prices. It is not a fixed price normally all with variable prices.

And acetic acid and everything is on the spot basis, so whenever the prices change, I think we do change the prices according to the prices in the international market?
Yes, even in contract also, it is dynamic pricing, not the fixed pricing. Fixed pricing contract s

very normal. Couple of contracts are there in Aniline, it is a fixed price contract. Otherwise almost all products it is variable price contract. So, whenever there is a price change in upward side, we are getting advantage of that.
And sir, you mentioned that some of the prices have recovered from December onwards. So, 1 guess acetic acid was one of them, but let us say for TDI or ket us say for nitric acid, have we seen the price increases as compared to the Q3 average numbers like for TDI as well as for this concentrated nitric acid?
It has already started.
so TDI prices have already started an upward trend along with the nitric acid prices, yes?
Yes.
Sir, third question is on the natural gas cost, so the natural gas, what we buy for chemical business for our power and fuel side, how are the contracts there? Are the contracts based on the average prices of the last six months? Or they are bought on the spot basis because I think spot prices have started trending downwards, so it gives us an advantage in terms of reduction in our power and fuel cost because the natural gas prices have started trending downwards?

D. V. Parikh:
Nirav:
Y N Patel:
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Rusmik Oza:
Ashwin Shah:
Rusmik Oza:
Ashwin Shah:
The industrial product that is chemical related procurement of gas is on spot basis only which has seen some of the benefits, but then the reduction as compared to the output products, the disproportionate part is what is playing out on the margin.
So, let us say for which of the product categories in our industrial product basket we are operating at optimum levels or and which of the products where we are still to achieve those optimum level of production?
See, as far as our production levels are concerned, we are operating all the plant at maximum capacity barring fuel like Aniline where there is a pressure on margin, and we are not able to recover our variable cost or so. So, sometimes we do operate at a lower capacity level, but bearing one or two example, we don't need to reduce our load for most of the products.
And sir, last one bookkeeping question, what is the cash on books including what we held in fixed deposits as well as the government securities?
There is Rs. 2,000 crore of cash on hand.
Including the fixed deposits and what will hold?
Cash on hand, yes.
Interms of dividend payout, sir, because the sales profit is going to be quite farlow as compared to last year and last year we had around 32% payout ratio, will that be maintained at 30% or maybe there could be some change in the payout ratio?
T am Ashwin Shah, Company secretary. The company has been paying consistently dividend and the trend is to as far as possible, maintain the dividend based on the past experience. And this time also depends upon the business topline and the bottomline, especially the board will consider in the ensuing board meeting of May 2024 the recommendation of dividend to the sharcholders for approval in the ensuing Annual general meeting. As far as possible, the management would prefer to maintain the dividend that is the track record of the company.
My question was actually because there was some state guidelines that Gujarat state undertaking something around 30% payout. So, I think T was just asking in that reference that will that dividend payout ratio be maintained at 30% in FY24 as compared to FY23?
Again, T am Ashwin Shah here. Management means the Board of Directors will consider that also the guideline of the government of Gujarat, but it is only recommendatory in nature, so it is not sort of binding but in spirit. yes. in board will definitely keep that in mind and try to observe that.

Ashwin Shah:

Thank you. T am Ashwin Shah here. T extend sincere thanks on

behalf of GNFC management to
all the participants for active participation and interaction in the question-and-answer session and the financials of the company for the 3rd Quarter of Financial Year 2023-24. T also thank. Anurag Services LLP for arranging this concall meet with investors and also the moderator of this session forconducting this question-and-answer session successfully. Thank you one. Thank you all. Bye, bye.

Call: Aug 2024

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N2 Fertilizers & Chemicals Limited
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August 17, 2024
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Mumbai - 400 001 Mumbai - 400 051
Scrip Code: "500670" Symbol: "GNFC"
Sub.: Transcript of Investors / Analysts meet through Conference Call
Dear Sir / Madam,
We had vide our letter dated August 08, 2024 intimated the Stock Exchanges about the schedule of Investors / Analysts meet through Conference Call on Wednesday, August 14, 2024 at 3:30 PM (IST) through Conference Call.
We send herewith a copy of Transcript of Investors / Analysts meet through Conference Call which took place on August 14, 2024. The said transcript along with the audio is also uploaded on the Company's website i.e. www.gnfc.in
You are requested to take note of the above.
Thanking you.
Yours faithfully,
For Gujarat Narmada Valley Fertilizers & Chemicals Limited
Digitally signed by
CHETNA CHETNA.
PRABHATKUM piiesitenan
AR DHARAJIYA Date: 20240817
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Chetna Dharajiya
Company Secretary & Chief Manager (Legal)
Encl.: As above
"Gujarat Narmada Valley Fertilizers and Chemicals
Limited
Q1 FY '25 Earnings Conference Call"
August 14,2024
MANAGEMENT: MR. D. V. PARIKH — EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER
MR. Y. N. PATEL — HEAD OF DEPT. (O&M)
MSs. CP DHARAJIYA — CHIEF MANAGER AND
COMPANY SECRETARY
MR. MANISH UPADHYAY — ADDL GENERAL MANAGER
(MARKETING)
Moderator: Ladies and gentlemen, good day, and welcome to the Gujarat Narmada Valley Fertilizers and Chemicals Limited Q1 FY 25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal

anoperator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Present from the management are Mr. D. V. Parikh, Executive Director, and CFO: Mr. Y. N. Patel: Head of Department, O&M:; Ms. CP Dharajiya, Company Secretary and Chief Manager, and other senior team members of the management.
Tnow hand the conference over to the management for the opening remarks. Thank you and over to you, sir.
Good afternoon and thank you very much for holding this call. We welcome all the participants to this conference on Q1 results of GNFC for FY 24-25.
As you know, we have put up in the public domain the results,investor presentation as well as public release. The public release was actually updated after the announcement of the results and there is a new version which was made available yesterday itself because of the change in certain

factual position of the investments. Just to clarify so that people can have alook at it, T will cover inmy discussion about the update as well. T1l cover two updates. One is on the business side and second is on the financials. On the business update.
And before I go there, Tl tell you the three names which are introduced apart from that we have our marketing colleague, Mr. Manish Upadhyay. He is joined along with his other colleague, Mr. Tejash Shah. In case of any questions relating to cither operations management, projects or business strategy, Mr. Y. N. Patel will be answering those questions, on the marketing side, Mr. Manish Upadhyay will be answering and any general question or on t

he finance-related matters,
T'll be answering the questions, and we'll introduce ourself respectively while responding to the queries.
Now on the business side, as you know we have announced that Board of Directors has cleared the investment proposal for investment into the weak nitric acid. The capacity we announced is 200,000 matric ton per annum, which is expected to be around 57% increase over our current capacities on a per annum basis. This will also pave the way for investment in ammonium nitrate for which approval for tendering has already been obtained.
Apart from that, there is development during the quarter we have capitalized investments projects worth around INR 135 crores.
‘There are four such projects which are capitalized during the quarter. One is on the ammonia tank, whichisa double wall tank, whichis built up, erected, and now put into operation sometime in June. The second is a four-megawatt solar power plant, which is wheeled to Dahej.
‘Third is on the railway track renewal for which around seven-eight kilometres of tranche has already been replaced. The, fourth is on the desalination plant 4 MLD desalination plant which

is capitalized in the books. We participated in the 100 MLD GIDC project at Dahej and this will provide reliability in terms of water, apart from reducing the cost. So this is on the capitalized projects.
Apart from that, there are two other projects which are ongoing, and they are on stream and expected to be completed well on time, which s one, is the investment of around INR613 crores in coal-based power plant at Dahej which is expected to commission sometime in April 25 and the other investment is into the additional ammonia loop, which will yield another 50,000 metric ton per annum, which is expected to be operational sometime in '26.
On the fertilizer front, the subsidies are coming on well and government has been working on two other aspects, which s in case of urea renewal of fixed cost for various urea units and revision in energy norms. On the chemical side, the operations are stable and the annual turmaround which we have taken at Dahej is going to be operational by end of this month. So this is on the business side.
Now, coming to the financials, we talk about volumes on a Y-o-Y basis, the volumes are quite positive, both in fertilizer and chemical and on a Q-0-Q basis the volumes are good in chemical, and some optimization is done in case of fertilizer and therefore the fertilizer volume mainly the complex fertilizer s lower.
If we talk about the margins, the realizations in case of chemical on Q-on-Q basis are improving, whereas on Y-on-Y basis it has tapered down. Going to the feed stock and energy. all the input costs have come down except for the oil and because of the geopolitical reason, especially escalating tensions across geographies probably the oil is not coming down.
On the other income side, there is lesser income by around INR 10 crores mainly because of the increase in the working capital on a Q-on-Q basis, whereas on a Y-0-Y basis, there is a INR10 crores positive because of the internal accruals. During the quarter there are certain one offs, around INR40 crores mainly pertaining to the interest cruising on the EPCG liability, some higher coal consumption, and the unproductive cost at TDI Dahej which has impacted TDI, around INR40 crores out of the total results.
So this is by and large, things are on financial, although we are not reporting the balance sheet and cash flow on a quarterly basis except for half yearly basis, but there is no major change in terms of balance sheet item. The cash flow overall has been positive because of the internal accruals due to the profit.
So with this, I am concluding my opening remark and leave open the floor for any question and answers. Thank you.
Thank you very much. We will now

begin the question-and-answer session. Our first question
comes from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia:
D.V. Parikh:

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Manish Upadhy:
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Nirav Jimudia:
D. V. Parikh: Gujarat Narmada Valley Fertilizers and Chemicals Limited
August 14, 2024

Yes, good afternoon, sir. Thanks for these opportunities. T have few questions to ask. So, first on the TDI part. So, if you can just help us out with respect to the losses on the TDI, which we have recorded in FY 24 and first quarter of FY 25, along with it if you also can share the production and sales data for TDI in Q1 of 25?7

Okay. First of all, on the last side in the Q1 TDIII losses are at INRS9 crores as compared to INR3S crores in the corresponding quarter of the previous year. Like the whole year, loss was at around INR259 crores last year at TDI 2. Coming to the volume of quarter one, the production volume of TDI 1 is around 5,000 metric ton and TDI 2 is around 9,000 metric ton. The TDII volumes are a little lower because of the annual turnaround taken in somewhere in early June.

Got it. Sir, these losses what you mentioned are at the EBITDA level, or are they at the PBT level?

At the PBT level.

Okay. Sir, if you can also help us out like the losses in the TDI have been coming down. So at one point of time, we had a loss of around INR353 crores, INR370 crores also. So has it something to do with the XCL. which comes along with the TDI and where the prices have improved and those negative realizations which were there early is not currently there, and because of these losses the TDI is coming down? Is FCR also one of the factor? If you can highlight something on that.

On a net basis, we do pay for the evacuation of HCL. Last year was quite a good year in terms of the production and sales of TDL Number two the mix of sales that is lesser of export and more of domestic happened last year. There was an increase in the market share, as well as the realization, which helped partially bring down the losses at TDI-I Dahej.

Got it. Sir, if you can also help us out in terms of how much is the domestic market for TDI currently and what would be our market share?

T am Manish Upadhyay from marketing side. TDI market size is almost 100,000 ton to 105,000 ton and our share is almost 66,000, almost 65%.

65%? Okay, so rest we may be exporting out, right?

Yes, around some quantity we are exporting.

Got it. And sir, let's say if this shutdown wouldn't have been there, what would have been the incremental volumes at TDI 2 plant, which we would have.

See, we do normally between 5,000 metric tonto 6,000 metric ton per month. Maximum is 6,000 at its peak. Otherwise between 5 to 5,500, you can consider so if you take three months' time, it

Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
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D.V. Parikh:
Nirav Jimudia: Gujarat Narmada Valley Fertilizers and Chemicals Limited
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is around 16,500 metrics should have been there. As stock was there, we ended up with 9000 metric ton.

Got it, sir. The second question is, on the urea side. You alluded that there has been some presentations to the government, which would allow us to recover or probably our fixed cost would have some sort of revision. So let's say vis-a-vis our actual fixed costs, which we are incurring for the urea as well as what is getting compensated from the government. If you can help us with that figure?

Okay. See, there are more than one type of recoveries in the case of urea business. One is the fixed cost part of it. Second is on the freight part of it, the third is on the energy part of it. So predominantly there are three under recoveries which are happening in urea business. Now if we talk about what is our actual versus what we are getting, there is,

depending upon the volume,
there is a difference between INR500 to INR60O per metric ton.
‘The government has taken the data of all the units for the purpose of reviewing and revising the fixed cost, but this is a mammoth exercise, so probably it will take some time and also it depends upon the kind of burden which government envisages on its exchequer. So let us see what happens. But the industry demand has been since quite some time about the revision, for which at least some steps are taken in terms of collation of data.
Correct. So let's say if such revisions happen by INR500 to INR600 tons per month, would our losses be wiped out, which s like currently INR30,000 on a quarterly basis, or still we would have some sort of losses because of our energy consumption in higher?
Okay, first of all, it is not INR500 to INR600 metric ton per month, it is INR500 to INR600 per metric ton.
Apologies, sir.
The INR30 crores, INR32 crores which you see in this segment as a loss comprised of more than one fertilizer like we have two fertilizers. The summation is for both the fertilizer.
your question. If you get, let's say, around INRS00 per metric ton more, it will substantially reduce the under-recovery. Secondly, we are trying to be efficient on the energy front, which is the Geal per metric ton of urea. So if both we control well, it will at least. If not, be positive breakeven.
Correct. So let's say our energy consumption in Geal per metric ton for urea would be closer to 6.56. 6.6 and what is getting compensated would be close to 5.8.Is it the right understanding or?

D.V. Parikh:
Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
D.V. Parikh:
Manish Upadh;
Nirav Jimudia:
Manish Upadl
Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
‘That is not a right understanding? Our threshold which is given by government up to 2025 March is 6.2 Geal per metric ton and as of now, in quarter one, we are very close to it
Okay. Okay, sir. And probably some modifications, and the investment there would help us to reduce that energy consumption going forward.
That s a constant effort to reduce the energy. But what happens if we reduce below 6.20. Normally, units don't have much incentive because government takes some share of the balance, and we get only a certain portion of the saving.
Got it. The last from my side is like we have announced this 200 ki of WNA 163 KT of ammonium nitride. So based on the input-output now, probably you would require some higher WNF for our ammonium nitride. So if you can help us out, like in FY 24 and in 1Q of FY 25, how much of WNA we have sold in the outside market? If you can some understanding on the same.
Twill request Mr. Upadhyay to respond on this.
T'm Manish here. Nitric acid, we are regularly selling almost 6,000 tons to 7.000 tons per month, on 100% basis we are selling different grades. Last comesponding financial quarter, we have sold almost 25,400 tons and this financial year, this quarter, it was 22,500 tons approximately.
Okay. S0 25.400 is a quarterly number what you mentioned on the quarter last year.
Yes.
Sir, last thing from my side is we have seen the improvement in the profitability in Q1 specifically from the chemical side. So among the product basket what we have, is it safe to believe that was it because of the ammonium nitrite and the acetic acid where we have seen some sort of price increases and because of which is improvement in profitability, would have happened?
‘There are more than one product. ANM is one of them. Second is technical grade urea, acetic acid is also amongst them. So it is a phenomena of more than one product.
Okay. So, ANM was not the single contributor.
No. It is one of the contributors.
Correct. And has AN Melt done profitable for now, sir?
Yes.

Okay, so last year it has made pro

fits.

D.V. Parikh:
Nirav Jimudia:
Manish Upadh;
Nirav Jimudia:
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Manish Upadh;
Nirav Jimudia:
Y. N. Patel:
Nirav Jimudia:
Y. N. Patel:
Nirav Jimudia:
Y. N. Patel:
Y. N. Patel:
Manish Upadhyay
Nirav Jimudia:
Moderator: Gujarat Narmada Valley Fertilizers and Chemicals Limited
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Last year also it made profits.

Okay. And there is an anti-dumping duty also on the energy. So if you can help us out in terms of how much is the anti-dumping duty on AN Melt and how much it would have benefited us in FY 24. Some sort of understanding there and the production volume.

I'm Manish Upadhyay.

Yes, sir.

One minute. Tl just give you anti-dumping duty amount. Anti-dumping duty is from The Korea, China, and Japan for TDL Aniline is from China.

Yes. So Twas inquiring about the ANM part. So what was the production and the sales last year? And how much would the anti-dumping duty benefited us in FY 247

Itis USD 36.9 from China.

Okay. And it is.

Other than one ~ for one who and other than one, it is $121.79.

Correct. And sir, last thing the production and the sales volume for Aniline in FY 247

Production up to June is 12,000.

April to June.

Yes, Im Y.N. Patel answering your question. April to June production if you get it is around 12,000 and if you want a figure up to July also, it is 15,900

No, sir, T was inquiring about FY 24. If you can share the figures for FY 24, sir?

Thave to recall. Tt will be matching. Sales figure will tell you what.

Sales figure is also because some would have been the nitrobenzene sales also.

Yes, last year sales was almost 2,000 tons in April, May, June, and this year it was 11,200 tons approximately.

Okay. Thank you so much, sir, and wish you all the best.

'Thank you. We have a follow-up question from the line of Nirva Jimudia from Anvil Research. Please go ahead, sir.

Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
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D.V. Parikh:
Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia: Gujarat Narmada Valley Fertilizers and Chemicals Limited
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Sir, the opportunities again. Sir, one question on the coal-based steel plant, what we are currently undergoing a capex. So once it is commissioned, how much of our dependence on the outside gas would come down, one? And you mentioned something around INR625 crores of capex for the same. What could be the expected period for the same?
I'm D.V. Parikh, T will answer your question. Currently, the gas which we are using is in the range of 200,000 to 2,25,000 SCM a day. With the resumption of this CCPP, it will be cut to half. Now depending upon the gas and coal price, the economics are going to work out. But as per our current estimate, this is going to generate a saving of around INR7S crores per annum.
Yes. So in a way, if you talk about a simple payback, it is going to be roughly little between seven to eight years.
Correct. And for this, ammonium nitrate and the WNA, the capex would be in the range of INR1,200 crores, INR1,300 crores or it could be more than that.
Tt will be within the band of INR2,000 crores. Both the projects put together, yes.
And what could be the expected commissioning of both these plants?
For weak nitric acid, the current time plan is around 33 months.
Okay.
And for the melt, it will be lower around 24 months or so. For the melt, we are going ahead with the new tendering, so we are trying ina way that both the things coincide so that upstream and downstream is aligned together.
Got it. And sir, about the ammonia part. I'm using a rocking remark. So that 50,000-ton plant when it would be commissioned and what would be the capex for the same?
Okay, that is covered in my opening remarks. The ammonia loop is going to be commissioned sometime into 26.
Okay.
What is your another ques

tion on ammonia?
Yes, T was trying to understand the capex part of the ammonia and...
INR227 crores.
Okay.

D.V. Parikh:
Nirav Jimudia:
D.V. Parikh:
Nirav Jimudia:
Moderator:

For the coal-based power plant, it is INR613 crores I said and for the ammonia it is going to be INR227 crores.
Correct. And do we have any surplus ammonia in the first quarter, which we would have sold in the domestic market after consuming for our downstream products?
No. As of now, there s no surplus ammonia. On the contrary terms, we have to buy ammonia.
Got it. Thank you so much, sir, for answering my questions, and wish the entire team of GNFC all the best.
Thank you. As there are no further questions from the participants, T now hand the conference over to the management for closing comments.
Yes, I'im Chetna Dharajiya, Company Secretary, I extend my sincere thanks to all the participants for active participation and interaction. Im thankful to Anurag Services LLP for aranging this call and the moderator also. I also thank the representatives from the management team. Thank you, everyone.
Thank you. On behalf of Gujarat Narmada Valley Fertilizers and Chemicals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

NO. SEC/BD/SE
November 20, 2024

Dy. General Manager
BSE Limited
Corporate Relationship Dept.,
1st Floor, New Trading Ring,
Rotunda Bldg, PJ Tower,
Dalal Street, Fort,
Mumbai - 400 001
Scrip Code: "500670"
Dy. General Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
C-1, Block - "G",
Bandra Kurla Complex, Bandra (E),
Mumbai - 400 051
Symbol: "GNFC”

Dear Sir / Madam,

Sub.: Transcript of earnings conference call
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We had vide our letter dated November 08, 2024 intimated the Stock Exchanges abo ut the schedule of Investors / Analysts meet on Thursday, November 14, 2024 at 04:00 PM (IST) through Conference Call.

We send herewith a copy of Transcript of Investors / Analysts meet through Conference Call which took place on November 14, 2024. The sai d transcript along with the audio is also uploaded on the Company's website i.e. www.gnfc.in

You are requested to take note of the above.

Thanking you.

Yours faithfully,

For Gujarat Narmada Valley Fertilizers & Chemicals Limited

Chetna Dharajiya
Company Secretary & Chief Manager (Legal)

Encl.: As above

“Gujarat Narmada Valley Fertilizers & Chemicals
Limited
Q2-FY-2024-25 Earnings Conference Call”

November 14, 2024

MANAGEMENT : MR. D. V. PARIKH – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER - GUJARAT NARMADA
VALLEY FERTILIZERS & CHEMICALS LIMITED

MR. Y. N. PATEL – HEAD OF DEPARTMENT
(O PERATIONS & MAINTENANCE)- GUJARAT NARMADA
VALLEY FERTILIZERS & CHEMICALS LIMITED
MS. CHETNA DHARAJIYA –COMPANY SECRETARY &
CHIEF MANAGER (L EGAL) - GUJARAT NARMADA
VALLEY FERTILIZERS & CHEMICALS LIMITED
MR. MANISH UPADHYAY – ADDITIONAL GENERAL
MANAGER (MARKETING - INDUSTRIAL PRODUCT),
GUJARAT NARMADA VALLEY FERTILIZERS &
CHEMICALS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Gujarat Narmada Valley Fertilizers & Chemicals Limited Q2 FY-2024-25 Earnings Conference Call.
This call is being hosted by Anurag Services LLP. F rom the management, we have Mr. D. V. Parikh - Executive Director and CFO; Mr. Y. N. Pate l – HOD, O&M; Ms. Chetna Dharajiya - Company Secretary & Chief Manager, Legal.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need any assistance during this conference, please signal an operator by pressing "*" then "0" on your touchtone telephone. Please note that this conferen ce call is being recorded.
I now hand the conference over to Mr. D. V. Parikh. Thank you and over to you, sir.
D. V. Parikh: Thank you, ma 'am. Good afternoon everybody. I have with me one mo re colleague who is from marketing – Mr. Manish Upadhyay too. So, from opera tions side we have Mr. Y. N. Patel, from marketing side Mr. Manish Upadhyay and me and Chetn a are there. She is representing the secretary side. I am the finance side.
Now I will touch base with first the business updat e and thereafter the Financials of Q2:
In terms of the business update there are three ong oing capital expenditure projects which are going on. The total of this estimated CAPEX is arou nd ■2,200 crores. Out of this, one is that of weak nitric acid which is around u1400 crore. Another is ammonia make up loop which i s ■227 crore and third is we call it CCPP coal based power plant, power and steam plant which cost around ■613 crores. In addition to that, we have something on a tendering stage which is for the ammonium nitrate melt for which update was given du ring the Q1 that it has been approved for the tendering stage. So, we are expecting this CAPE X decision sometime in January.
In addition to that, there is an announcement which was made during Q1 that there is a strategic management consultant which is appointed who is Kea rney and they are working on basically two parts. One is charting out the future direction in terms of where to invest and how to invest. And secondly is transformation on the existing busi ness side, which is expected to improve the bottom line. Mainly the effectiveness and efficienc y part of it will be taken care. In terms of the policy changes at the fertilizer level, currently t here are no developments, but there are two things which are going on actively. One is on the r evision in energy norms, which is expected to be effective first of April 2025. And second is on the cost part, the fixed cost of Urea for which exercise is on and units are invited to their cost sections.
Subsidies are coming regularly. In terms of the vol ume pickup, fertilizer is going good. In terms of volume, both complex as well as straight fertili zer which is urea and with Dahej plant now fully operational at 100% capacity, chemical volume s are also going up including the consumption of upstream products like CNA etc.
Coming to the financial part, there are two differe nces on an H1 basis. Like last year there was a shutdown/ annual turnaround at Baruch complex. An d here in the first quarter one as well as whole of quarter two, there was a turnaround of Dah ej complex. This has impacted to some

extent the volume of chemical. Actually, the volume of chemicals are impacted because of three primary reasons. One is the availability of TDI as a product from Dahej. Second is the impact on the AN melt because of the monsoon season. And t hird is there are competitive pressures which are being witnessed in case of aniline. All t his has brought down substantially the realization as well as the contributio

n part of the chemical segment whereas fertilizer did well,
especially the complex fertilizer did quite well in quarter two. And therefore, on a net basis, there is a change in realization overall of close t o around Rs.100 crore. Other income this time is higher mainly because of the dividend. In terms of the cost elements, the personnel costs are somewhat relatively down because of the write back of the excess provisions. Other costs are down mainly because of the catalyst consumption whi ch has not happened at TDI, Dahej. And

there is a finance cost which is down by around ■15 crores because last quarter we booked the
charges on account of interest of EPCG. So, this is broadly on the profit and loss side.
Coming to the segment part of it, in terms of segme nt results, the turnover, the revenue from
fertilizers segment has improved, driven by the com plex fertilizer, whereas it is down in case of
chemical because of the reasons we cited and the sa me thing has an impact, corresponding
impact on contribution of chemical segment. In addi tion to that, there are impacts related to a
turnaround which is mainly the unproductive cost an d the turnaround related cost which has
impacted the TDI Dahej operation. And therefore, th ere are certain losses which are widened in
case of Dahej.
So, coming to the segment assets and liabilities, t here are no major changes except on a YoY
basis. There are three changes if we compare 30 th of September, 2023 to September, 24, which
is on the fertilizer segment, the asset side has go ne up because the subsidy levels have gone up
in terms of the areas. The second is unallocable po rtion has come down because between last
year to this year, there are two fundamental change s. There are three elements which are
contributing to a reduction of around ■1469 crores in the unallocable assets, mainly becaus e of
the buyback of around ■851 crores and the rest is dividend between the two periods.
In terms of unallocated liability, there is a chang e of around ■524 crores, mainly because last
time it was accrued but paid after the 30th of Sept ember. This time it is paid well before 30th
September. The amount pertains to mainly the divide nd part of it. So, coming to balance sheet,
there are no major changes except now in the cash f low. The two major items in the cash flow,
one is on the financing side and the second is on t he investment side. The financing side
represents the dividend outflow which is to the tun e of around ■230 crore which is paid out and
on the investment side, there is an advance which i s given of around ■190 crore because of the
capital projects, mainly the weak nitric acid. So, this is what is on the cash flow.
Apart from that, we see H2 to be relatively better because of the high available volume and no
downtime of the sort which has happened in H1. And therefore, the H2 forecast we have is that
of a regular realization and reasonable levels of c ontribution.
With this, I am completing my opening remarks and t he floor is open for questions. Thank you.

Moderator: Thank you. We will now begin with the question and answer session. The first question is from
the line of Nirav Jimudia from Anvil Corporation. P lease go ahead.
Nirav Jimudia: Sir, few questions. So, first is if you can help u s understand what was the volume lost at the
Dahej TDI-II plant in Q2.
D. V. Parikh: See volume loss of Dahe j actually has happened from June onwards. As far a s Q2 is concerned,
there is about t14,000 ton of volume which is affected. And if you see overall from June
onwards, there is an impact of around 16,000 metric ton.
Nirav Jimudia: So, what was the actual production or the sales be tween both the plants put together in Q2?
D. V. Parikh: For Q2, the total volume of TDI production is 5000 metric ton. So, you can take

5000 metric ton
of production.
Nirav Jimudia: Between both the plants?
Y. N. Patel: Yes. For TDI-I it was 4680, for TDI-II, it was 0. Y es, around that.
Nirav Jimudia: And sir, what was the PBT loss for TDI in Q2? Beca use I think for the first quarter you
mentioned that it was around u 59 crores. So, what was the loss in the Q2?
D. V. Parikh: PBT of Dahej?
Nirav Jimudia: Yeah, PBT loss of Dahej.
D. V. Parikh: See, additional contribution which we lost is around ■62 crores. See what happens when the TDI
is down, marketing effort is more directed towards the upstream which is CNA as well as WNA
too. So, the net loss is quantified in terms of the se effects. So, we lost around if we talk about
only Q2, we lost about ■170 crore in terms of realization and around ■62 crore in terms of the
contribution.
Nirav Jimudia: So, the losses of ■59 crores in Q1 at the PBT level for Dahej 1 plant plus another ■62 crores, is
that right assumption sir?
D. V. Parikh: Roughly yes.
Nirav Jimudia: Sir, secondly on our CNA production of 149,000 ton s in FY-2024. So, I believe that to that
extent WNA sales in the outside market would have b een lower. So, if you can help us
understand that out of 437,000 of WNA production in FY-2024-25, how much we would have
sold in the outside market?
Manish Upadhyay: I am Manish Upadhyay from marketing side. Last qua rter, we sold almost 21,000 WNA in
market.
Nirav Jimudia: You are talking about Q2 right?
Manish Upadhyay: Yes.
Nirav Jimudia: Q2, what was the figure for Q1 and FY-2024 sir?
Manish Upadhyay: Last year this quarter it was 21,000 and last year also it was 22,000, 22,500 roughly.

Nirav Jimudia: And sir, what was the sales volume for last full y ear, FY-2024-25? Last full year?

Manish Upadhyay: Normally it is around 60,000 to 70,000, 72,000, I have to search.
Nirav Jimudia: No worries sir. Sir when can we expect our CNA pla nt to run at optimum level? I think our capacity is now 1,66,000 tons. So, when can we see optimum utilization for our CNA plant?
Y. N. Patel: I am Yogesh Patel answering your question. See rig ht now, it is operating at almost 80% to 90%. But in last quarter, because there was no captive c onsumption from our Dahej complex, it was operating at slightly lower capacity. But now we ar e expecting it to run at 90% to 100% capacity.
Nirav Jimudia: But sir, is it not safe to assume that, let's say if TDI is not operating and in absence of coal base d and steam based power plant which is going to commi ssion very shortly in FY-2025. Anyways there were the losses on the TDA side. So, was it n ot feasible due to the TDA shutdown at Dahej to sell that extra CNA in the market and improve th e utilization rates?
Y. N. Patel: Yeah we can sell it, but we are more interested in selling weak nitric acid.
Manish Upadhyay : Actually it is a product mix, so which product is giving better realisation that we are selling. So, we are concentrating more in weak nitric acid. Last year actually I got the figure, last year we sold almost 88,000 tons on 100% basis, weak nitric acid.
Nirav Jimudia: Sir, third question is on the ammonia side. So, li ke last year we produced close to around 6,36,000 tons of ammonia. So, if you can just bifur cate in between the production which was meant for chemicals and production which was meant for urea and also if you can share the similar production numbers for ammonia for H1 of FY -2024-25?
Y N Patel: Normally, ratio for fertilizer to chemical is norm ally 58 to 41, 42. So, in that ratio normally we move. So, exact figure we have to calculate based o n this.
Nirav Jimudia: And what was the ammonia production in H1 of FY-20 24-25 and have we sold any ammonia in the outside market or was it utilized for our WNA p roduction?
Y N Patel: No, no we have not sold any ammonia so far. In fac t to some extent,

we have procured ammonia for our internal requirement.
Nirav Jimudia: Sir, considering the ammonia production for our che mical division, what would be the annual requirement of that specialized oil which we are us ing to convert into the ammonia? Let us say last year if we take the ratio of 58 to 42 in terms of fertilizer to chemicals, what could be the requirement of oil for that ammonia production?
D. V. Parikh: It is the oil requirement ranges between 250,000 m etric ton to 270,000 metric ton.
Nirav Jimudia: And sir are we seeing any sort of cost reduction th ere because in the presentation I could make out that the prices are fairly stable in between th e quarters also like close to around u53 a kg, so with the crude prices falling have we seen similar amount of corrections in the oil prices or that is not a case?
D. V. Parikh: For Q2 that is not a case, but it has not hit so m uch hard as compared to the Q1. If we take the total H1, the oil prices have not moved so signific antly downward as compared to the output realizations. So, there are actually two elements w here the cost has not moved down rather it has

gone up. One is the oil for the oil based ammonia a nd second is the benzene on an H1 basis, therefore, there is a hit on account of margin pres sure on account of these two products.
Nirav Jimudia: Sir one more thing which I observed from the annua l report like last year we produced close to around one lakh ton of methanol. So, like earlier d iscussions you were saying that the gas prices has to be economical for us to produce methanol so if you can share at what level of breakeven gas cost would be viable to produce methanol given the current realizations of u 26, u 27 rupees for methanol?
D. V. Parikh: It's a dynamism between the methanol realization a s well as the gas price. So, it is dynamic in nature. But we could source this year some gas for which methanol is produced. Our operations head will tell the production of methanol which has happened from the procured gas in H1.
Y. N. Patel: In methanol, production so far is 66,000 metric ton s, but now November onwards, we have to again explore what are the NG prices and depending on that we will decide whether to continue with methanol production or we have to procure from market. As Mr. Parikh said, see there are two aspects. One is price of NG as well as at what price methanol we are getting. So, if we are getting at cheaper rate, we will continue to source from outside.
Nirav Jimudia: Got it. And sir, last bit from my side is you ment ioned close to around u 2200 crores of CAPEX between the three line of items. So, out of that, h ow much we have spent till now and how much balance would be spent in FY-2024-25 and FY-2025-26 ?
D V Parikh: In respect of the CAPEX, there are three CAPEX. One is on the coal and gas steam and power plant, not the gas, coal-based power and steam plan t. The CAPEX size is ■ 613 crore. So, far we have expended around ■ 250 crore on account of that. As far as ammonium m akeup loop gas is concerned, there is no major outflow which has happ ened on account of this project. Third is on

the weak nitric acid. In terms of the cash outflow, we have given advance to the tune of around
u 190 crores.
Nirav Jimudia: Just a bookkeeping question sir, like cash on the books currently is close to around u 2000 crores and the investments which is showing of around u 2300 crores that is also parked in the liquid investments. So, clubbed together we have cash and cash equivalent of close to u 4300 crores?
D. V. Parikh: No, it is not like that. The investment represents two things. One is GSEC, second is quoted and unquoted equity shares. The quoted and unquoted equ ity shares portion is around u 1100 crore out of this and we don't liquidate that and we have no intention to liquidate that because

we have
been holding for certain reasons that since beginni ng.
Nirav Jimudia: Sir last thing you can share on the fertilizer par t like in the presentation and your opening remarks also you had mentioned that the fixed cost subsidies in discussion with the government.
I think our under recovery in terms of fixed cost a t the EBITDA level or losses at the EBITA level was close to around u 700 to u 800 rupees per metric tonne. If you can share, if anything comes up here in terms of the compensation for the government, would our fertilizer segment start earning positive contribution?

D. V. Parikh: It all depends upon what they really provide in te rms of fixed costs. So, it is premature to comment on such kind of conjecture.
Moderator: Thank you. As there are no further questions, I wo uld like to hand the conference over to the management for closing comments.
Chetna Dharajiya: I am Chetna here. I extend my sincere thanks to th e participants for active participation. I also thank the moderator and Anurag Services LLP. I also thank all the participants from management team. Thank you everyone.
Moderator: Thank you ma'am. On behalf of Gujarat Narmada Vall ey Fertilizers and Chemicals, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Thank you.

Call: Feb 2025

No. GNFC/DSC/LODR
February 25, 2025

Dy. General Manager
BSE Limited
Corporate Relationship Dept.,
1st Floor, New Trading Ring,
Rotunda Bldg.,
PJ Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Code: "500670" The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
C-1, Block - “G”,
Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 051
Symbol: "GNFC"

Sub.: Transcript of Investors / Analysts meet through Con ference Call.

Dear Sir/Madam,

We had vide our letter dated January 17, 2025 intim ated the Stock Exchanges about the schedule of Investors / Analysts meet through C onference Call on Thursday, February 20, 2025 at 04:00 PM (IST) through Confere nce Call.

We send herewith a copy of Transcript of Investors / Analysts meet through Conference Call which took place on Thursday, February 20, 202 5 at 04:00 PM. The said transcript along with the audio is also uploaded on the Compan y's website i.e. www.gnfc.in

We request you to kindly take note of the above.

Thanking you,

Yours faithfully,
For Gujarat Narmada Valley Fertilizers & Chemicals Limited

Chetna Dharajiya
Company Secretary & Chief Manager (Legal)

Encl.: As above

“Gujarat Narmada Valley Fertilizers & Chemicals Limited Q3 2025 Earnings Call”

February 20, 2025

MANAGEMENT : M R. D. V. PARIKH – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER , GUJARAT NARMADA VALLEY

FERTILIZERS & CHEMICALS LIMITED
MR. Y. N. PATEL – HEAD OF DEPARTMENT ,
(OPERATIONS &M AINTENANCE), GUJARAT NARMADA
VALLEY FERTILIZERS & CHEMICALS LIMITED
MS. CHETNA DHARAJIYA – COMPANY SECRETARY
AND CHIEF MANAGER (LEGAL), GUJARAT NARMADA
VALLEY FERTILIZERS & CHEMICALS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Gujarat Narmada Valley Fertilizers & Chemicals Limited Quarter 3 Financial Year 2024-202 5 Earnings Conference Call. This call is hosted by Anurag Services LLP on behalf of GNFC.
From the Management, we have Mr. D. V. Parikh – Exe cutive Director and Chief Financial Officer, Mr. Y. N. Patel – Head of Department, O&M, Ms. Chetna Dharajiya – Company Secretary and Chief Manager (Legal) and other Senio r Members from Management.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during the conference call, please signal an operat or by pressing '*' then '0' on your touchtone phone. Please note that this conference is being re corded.
I now hand the conference over to Mr. D. V. Parikh. Thank you, and over to you, sir.
Dilip Parikh: Thank you, ma'am, and thank you, Anurag Services fo r holding the call, and good afternoon, and welcome to all the participants for the Quarter 3 Conference Call of GNFC.
First, I will cover the business aspects and therea fter, I will touch the financial part of it. As you know, the company is mainly into the 2 segments, Fe rtilizers and Chemicals. On the Fertilizer side, by and large, it's a controlled business in t erms of mainly the subsidy part of it.
There are 3 positive developments which are there f rom the Fertilizer business point of view:
• One is the regular receipt of the subsidy, which is not holding up the funds. Pipeline inventories are also at its lowest, as at the quart er end. When we talk about pipeline inventory, we mean inventory pending the DBT sales.
• The second other positive aspects is government is working on revising the energy norms, which are scheduled to expire by 31st of Mar ch 2025. And exercise is also on at Central Government level for revising the fixed cost of different urea units.
• On the Complex Fertilizer front, basically, the wit ness is quite good, because of the reduction in input cost.
• Now if you go to the operations part of the busines s side, the operations have been stable during the quarter, both at Dahej as well as Bharuch.
• In terms of the project, projects worth around INR 2,300 crores are already approved, are at various stages of implementation. My colleague, Mr . Y. N. Patel, will cover questions on the project.On the strategy side, As you know, we have appointed Kearney for both growth as well as transformation. And we are in the final stages o f wrapping up on the report. And in a quarter or two, that thing would be finalized from a strate gy perspective. So, this is the broad update on the Fertilizer part, strategy part. I will also cov er the Chemical part of it.

In Chemicals, the realizations have been a little s ubdued, which are made up by the higher volumes of chemicals, mainly during Y-o-Y as well a s on a sequential quarter basis in Chemicals.
Coming now to the financials:
As you know, the PBT and both PAT have gone up on a sequential quarter as well as Y-o-Y basis. We ended up with around INR 211 crores of PB T and INR 158 crores of PAT. There are two important reasons because of this positive chan ge in the PBT and PAT. One is the certain operational improvement because of the higher Chemi cal volume. And second is there are a few write-backs, which have happened during the quarter . So, this all totals up to in that incremental figure of around INR 76 crores on a sequential quar ter basis.
Coming to the segment part of it, as you know, in c hemicals, particularly few chemicals like TDI and Technical Grade Urea have done relatively b etter on a sequential quarter basis and Techni

cal Grade Urea as well as a few other chemica ls like Acetic and AN Melt have done far better in terms of volume on a Y-o-Y basis.
So, when we go to the segment results part of it, t he Fertilizer losses have reduced mainly because the input costs have come down into the Com plex Fertilizer part. And Chemical

business has improved, both because of the operatio nal improvement as well as write-backs we spoke about during the Quarter 2. We will talk more about these items when there are questions about this.

In terms of balance sheet:

There is no major change, except that the receivabl e of subsidy have come down, mainly because of receipt as well as the receipt based on the refe rence point of earlier concession rate, which is higher. So, these are the broad things on the balan ce sheet part. Therefore, in terms of cash flow, there is a positive in terms of operating cash flow .

So, these are the aspects with which I am closing m y opening remarks and leave the floor open for the questions-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press "*" and "1" on their to uchtone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentle men, we will wait for a moment while the question queue assembles.

The first question is from the line of Neerav Jimod ia from Anvil Wealth. Please go ahead.

Neerav Jimodia: Yes. So, thanks for the opportunity, and good after noon to the team. Sir, I have few questions. So, first, on the TDI side, sir, in some of our ear lier conversations during the con call, you have mentioned that our fixed cost for TDI is close to I NR 50 a kg or INR 50,000 a metric tonne. And at the contribution level, the TDI plant on an annu al basis was making a loss of close to around INR 150 crores to INR 200 crores, correct me if I a m wrong here.

So, 2 things here, sir. If you can share that with the shift to the coal-based plant and its current differential to the natural gas prices, how much pe r kg variable cost can we save with this shift to coal-based plant? And b, how much of the HCL is currently contributing to the negative contribution margin in per kg when we produce TDI o ut of our Bharuch and Dahej plant?

Dilip Parikh: Okay. I am D. V. Parikh, answering your first quest ion on what will be the differential saving when we switch over to the coal-based power plant? The coal-based power plant is likely to schedule the commencement around 1st of August as p er the current plan. There is some delay of around 4 months in that, after which we don't fo resee any further time overrun.

Upon being operational, the current budgeted figure is around INR 14,500 saving per metric tonne of TDI, because of the differential between c oal and gas price. On the HCL negative contribution, I am requesting my colleague, Shri Ma nish Upadhyay to respond on that.

Manish Upadhyay: I am Manish Upadhyay from Marketing side. HCL is no rmally variable cost; it depends on the chlorine availability and caustic production. It va ries from the INR 100 to almost INR 1,500. Fortunately, GNFC is giving around INR 500 minus. S o, we are charging INR 10 at the cost, invoice value. And then we give discount of INR 500 or something, based on the quantum. Now, on an average, it is INR 500 outflow.

Neerav Jimodia: Correct. Correct. So, it is not materially contribu ting negatively to our contribution margin. And on that figure of INR 150 crores to INR 200 crores of loss on the contribution level, it is a correct figure, sir? Or am I slightly higher on this number ?

Dilip Parikh: No, you are close to the number. Why because this t ime, as you know, there was an elongated shutdo

wn at Dahej plant. As the volumes reduce, the fixed cost goes up on a per metric tonne basis. So, roughly, we have a fixed cost of around INR 250 crore per annum at the Dahej plant, okay? And since we are going to have less volume, b ecause of almost 4 months of shutdown, which was originally planned for around 55-57 days. So, this time, it will have a little higher per metric tonne figure, okay?

Because of the unproductive loss, which normally ha ppens during the shutdown time as well as under absorbed fixed cost, the loss figure would be different than what you are talking We will see at the year-end because as of now, it is pickin g up. So, we will come to know finally what will be the number at the end of the year.

Neerav Jimodia: Sir, if you could share the figure for third quarte r, because third quarter, I think we have run the plant optimally after the shutdown. So, if you can share for Q3, both the production and the sales figure for TDI as well as the losses, and sir, thes e losses are at the contribution level or at the PBT level, which you have mentioned?

Dilip Parikh: No. Losses are not at contribution level, except un productive cost. We are talking about PBT level. The production and sales figure, yes, our co lleague, Mr. Y. N. Patel will cover the production part; and sales part, marketing colleagu e will take care.

Neerav Jimodia: Yes. If you can share the TDI losses at the PBT lev el for Q3 along with the production and sales figure, that would be helpful.
Dilip Parikh: Okay. First, we talk about the volumes?
Neerav Jimodia: Yes. Yes, sir.
Dilip Parikh: So, you want a quarter or...
Neerav Jimodia: Quarter and 9 months would help, sir.
Yogesh Patel: 9 months figure, I am Y.N. Patel answering your que stion. For TDI-II, April to December figure is 20,507. That is what TDI-II, and TDI-I, you want or only...
Neerav Jimodia: Yes. TDI I also. No, no sir, both.
Yogesh Patel: TDI-I is 14,699, that is April to December.
Neerav Jimodia: And for Q3, sir?
Yogesh Patel: Q3, I will just give you in the moment. Yes.
Neerav Jimodia: And sir, second question is on the opening remarks you mentioned about the fixed cost on the urea is set for some revision for different units. I think if I am not wrong, earlier, you have mentioned that our actual cost is close to around I NR 3,600 a tonne, and what is actually being paid is like INR 2,500, INR 2,600 a tonne. So, with this revision in the energy norms and the fixed cost also getting revised, is it fair to assu me that once if it gets passed through the government, our TDI losses would be wiped out and i t will more than cover our deficit of INR 1,100 a tonne, which we are currently losing on?
Dilip Parikh: See, on one side, you are talking about urea. On th e other side, you are talking about TDI. TDI losses has nothing to do with the government tax...

Neerav Jimodia: No, no, no, sir. I am into my second question. So, I think that you said you will just give us in a moment, so I then switch on to the second question. My apologies.
Dilip Parikh: Okay. See, you have asked for the losses of TDI. On a product level basis, see these are sensitive information, which are supposed to be within the co mpany. Product level information, and I don't think not only GNFC, any company shares on a product level basis, their profit or loss.
Neerav Jimodia: No worries, sir. Apologies.
Dilip Parikh: And if anybody is sharing, please do let us know, o kay? Because normally, this is supposed to be a very confidential kind of a data.
Neerav Jimodia: Correct.
Dilip Parikh: Now production and sales figure, you got sales. You are yet to receive, sales?
Neerav Jimodia: No, no. I have received, sir.
Dilip Parikh: Received? Okay. I think Mr. Y.N. Pa

tel has covered production. Sales on a 9 monthly basis is again close to that 22,000, it's the sales of TDI-I I. TDI-I is 15,000, in terms of the volume we are talking. If you want to know Quarter 3, it is b asically 9,000 and 5,000 metric tonne, respectively, for TDI-II, TDI-I.
Neerav Jimodia: Got it, sir. Got it. Sir, on that question of urea, if you can share your views.
Dilip Parikh: Yes. Now see, again, it is very clear that dependin g upon the level which is set for the fixed cost as well as the energy, we will come to know whether we stand to gain or lose. It is very clear when it comes to the revision in fixed cost, it is going to happen upward side only. But whether it will recoup the kind of under recoveries it has, is very relative. So, very difficult to make a guess, not only for any unit, how much government w ill revise, what kind of position, although they exercise it at a very advanced level.
We are receiving queries almost every week, okay, f or discussion. We visited there. There is a cost cell assigned to it and all that. So, we are h opeful that something should happen in the shortest possible time. What is not moving in our v iew is a change in the energy norm.
Now, we had meetings few months back, and thereafte r, we don't see any movement in terms of interactions with the industry or the units as such . So, that is where we feel that whether there will be change or not is not clear. And finally, if it gets rolled over, then it might remain at the same level also. So, let us see in 1 month's time, 1.5 months' time, what actually happens to the norms part of it.

Neerav Jimodia: Correct. Next question is on the TGU part. I think you mentioned that the prices were remunerative in Q3, and that has also helped to imp rove our profitability. So, if I am not wrong, I think we produce close to around 1,90,000 to 2,00 ,000 tonnes of TGU on an annual basis. So, if you can share how much is the demand domesticall y or how much we are currently India as a country importing TGU? And is it safe to believe th at the prices of TGU in the international market drives the domestic prices of TGU in India? Is it a right assumption to make? Or am I

different in here?
Manish Upadhyay: I am Manish Upadhyay. Indian demand is around 5 lak h tonne and around 2 lakh tonne is being produced by GNFC and 3 lakh tonne will be imported. And our price is more or less in line with the import, international prices.
Neerav Jimodia: Correct, correct. And sir, for this TGU, are we pro ducing it through natural gas route or through the oil route, like the ammonia, which is required for this, it is either produced from the oil or the gas which is available in the market?
Yogesh Patel: It is produced from oil. TGU is produced from oil, yes.
Neerav Jimodia: Okay. Okay. Sir, next question is on the AN Melt. I think AN Melt, we have seen the imports getting reduced, which were predominantly coming in to India a year back. So, if you can share your views here, because I think now Q4 looks to be a good season for AN Melt, given the pickup in the CAPEX activities, which we normally s ee during this quarter. So, if you can share your views in terms of, a, the outlook for AN Melt; and b, how much we have produced in these 9 months?
Manish Upadhyay: Production part, Mr. Y.N. Patel will tell. I will t ell about the sales point of view. Demand is definitely on higher side in Quarter 3 and quarter 4 also. It will be reduced since Quarter 2 normally when monsoon is there. And actually, produ ction of Deepak Fertilisers and RCF is increasing, and we are also producing more. So, the re's less import compared to the previous year.
Neerav Jimodia: Correct.
Dilip Parikh: I am D. V. Parikh, this is on the volume. Actually, the 9-month volume is 127,000, and the sales and production are more or less in sync excep

t for a difference of 1,000 metric tonne here and there.
Neerav Jimodia: Got it. Got it. Sir, next question is on the WNA pa rt. I think we produce more than our actual capacities, like we produce close to around 4,40,00 0 tonnes of WNA. So, let's say after consuming for CNA and AN Melt, some rough calculati on of mine suggests that we are left with

close to around 85,000 to 90,000 tonnes of WNA, whi ch we can sell in the open market. So, is this figure correct? Or it is slightly lesser than this?
Dilip Parikh: You are close. That is on annual basis.
Neerav Jimodia: Yes, this is on annual basis. So, roughly a run rat e of 20,000, 22,000 tonnes on a quarterly basis is the right number to work with?
Dilip Parikh: Yes.
Neerav Jimodia: Correct. And sir, for CNA, I think after our new pl ant got started, we have a capacity of 1,66,000 tonnes. So, assuming that, let's say, TDI plant run s at optimum utilization, how much of the CNA is available for sale in the market, which we can s ell in the open market?
Yogesh Patel: Approximately 150 metric tonne is available for sal e as such.
Dilip Parikh: Per day.
Yogesh Patel: Per day.
Neerav Jimodia: Okay. 150 metric tonne per day? Okay. Sir, last que stion from my side is on the CAPEX part, I think we are working on 2 CAPEXs. So, one, ammonia 50,000 tonnes and WNA, 2,00,000 tonnes. You mentioned some figure of INR 2,300 cror es also. So, if you can share the commissioning schedule of both this plant and out o f INR 2,300 crores, how much we have spent till now?
Dilip Parikh: Okay. See, INR 2,300 crores comprises of 3 projects . One is the coal-based conversion, which we are talking, which is scheduled to commission by 1st of August. The CAPEX figure is INR 613 crores. The WNA has a CAPEX figure of INR 1,420 crores. And the ammonia makeup loop has a CAPEX figure of INR 225 crores. This how it t otals up to around INR 2,300 crores.
When it comes to the actual commitment, we have alr eady given advance of around INR 187 crores for WNA. And in respect of CCPP project, the last completion schedule, we were behind by around 40%. So, around 60% CAPEX is committed. T his is an LSTK, so commitment is almost full. It is just a matter of giving out the cash flow. Out of INR 613 crores, INR 525 crores worth of project is already given on an LSTK basis.
Now coming to INR 225 crores of ammonia loop, we ar e yet to commit the CAPEX because there are various work which are going on for the a mmonia makeup loop of 50,000 metric tonne per annum.

Neerav Jimodia: Okay. And the commissioning would be next year or...
Dilip Parikh: We have given in the investor presentation, the sch edules of commissioning also.

Neerav Jimodia: I will check that, sir.
Dilip Parikh: If you may check, or else we can give you offline a lso, but it is already part of the information available in the public domain. But still for your information, I will quickly tell, 1st of August, like for CCPP INR 613 crore worth of project. Ammon ia makeup loop is somewhere coming by 2027. And around 2028, WNA is coming.
Neerav Jimodia: Okay. Sir, one more thing, like you have mentioned in the presentation that because of the Chemical volumes looking good and the TDI plant als o running optimally. The numbers look optimally better for Q4 of FY '25. So, since you re fer on a Q-on-Q basis or you refer on a Y-o-Y basis?
Dilip Parikh: No. See, the outlook you are referring to we believ e Is Q-4.
Neerav Jimodia: Yes.
Dilip Parikh: See, whatever is the show in Quarter 3 is based on the steady numbers, okay, of production and sales. And since we don't foresee a major outage, w e hope that the steady state should continue.
Neerav Jimodia: Got it. Got it, sir...
Dilip Parikh: And so far up to this day,

28th of February, there are no major outages also which are witnessed.
Neerav Jimodia: Got it. Got it, sir... Thank you so much sir, for a nswering the questions in detail. And wish you all the best.
Dilip Parikh: Thank you.
Moderator: Thank you. The next question is from the line of S. Ramesh fro m Nirmal Bang Equities. Please go ahead.
S. Ramesh: Thank you very much for the insight. So, the first part, if you look at your Chemical segment, the margins have improved substantially Y-o-Y and e ven on a quarter-on-quarter basis. So, apart from the savings input cost, which are the products on the Chemicals, where you're seeing this improvement in margins, because we are not able to make that out in the spreads you have shown in the presentation. So, which are the products whe re you've seen this sort of margin

improvement? And how do you see the outlook, say, o ver FY '26, '27 in these products where you're seeing this margin improvement?
Dilip Parikh: Okay. I am D. V. Parikh, if you look at the chemica ls segment, basically, the profits are coming from there. And their AN Melt, technical grade urea are contributing positively, okay, on both Y-o-Y basis and a sequential quarter basis, and mai nly it is driven through the higher volume.
S. Ramesh: Okay. So, that means you're getting a lot of operat ing leverage, below gross contribution. So, in terms of headroom for volume in these 2 products, w hat is the kind of additional sales growth, you can expect in FY '26, '27?
Dilip Parikh: In AN Melt and technical grade urea, you mean?
S. Ramesh: Yes.
Dilip Parikh: The debottleneck capacity for urea is around 8 lakh metric tonne, okay, per annum. And out of that, like we see, we have an RAC, which is normall y sort of compulsory production we have to make between 8 lakh to 8.3 lakh, you can say. So, t he balance is the kind of quantity available for technical grade urea.
As far as AN melt is concerned, see, there is an in tegration interplay. On a stand-alone basis, we get roughly 500 or 550 metric tonne per annum basis . But in case Complex Fertilizer is not remunerative, we can add up to some more volume int o the AN Melt, which goes at times up to 650 to 700 metric tonne per day.
S. Ramesh: Okay. So, when you mentioned the numbers for Techni cal Grade Urea, your annual capacity is 800,000. You said RAC is 8 lakh to 8.3 lakh. So, wh at is the tonnage you have that you can capitalize on in terms of the Technical Grade Urea there?
Dilip Parikh: Again, I am Dilip Parikh. See RAC cannot be revised to 8 lakh. Why because the gas-based plant has a limiting capacity. We have a capacity of ammo nia of roughly 1,120 metric tonne per day of ammonia from gas. If you total up on an annual b asis on operating days of around 340, that comes to around 636,900, which is the RAC. So, let' s say, tomorrow, if it is increased, we should have a feed available from the gas side of it, whic h is not possible. And therefore, the balance is going to be Technical Grade Urea and for which we h ave the approval also.
S. Ramesh: Okay. So, it is basically the headroom you have in terms of the ammonia that you can divert for Technical Grade Urea, got it. So, the other questio n is in terms of the Fertilizer segment, when you say that turning around, because there is a lot of capital employed, which is not earning any returns, earning negative returns last year, this y ear, year-to-date. So, what is required to make it viable and generate at least 10%, 12%...

Dilip Parikh: No, you were talking about the returns on Fertilize r or overall returns?
S. Ramesh: No, I am talking about the Fertilizer segment. So, if you see the segment number, there is a loss, right, at EBIT level. So, if you look at the EBIT o n

the capital employed before taxes, so when do you see that at least the ROCE before tax becomi ng positive, when you see the segment PBIT on Fertilizer what is required to achieve this?
Dilip Parikh: See, in case of controlled businesses, it is diffic ult because we are not expanding into the fertilizer. And the only leverage in a control busi ness is, by and large, volume and fixed cost. So, we don't see Fertilizer segment dramatically im proving from loss to profit. Our bread winner is going to be Chemicals, which continues to be the in case as of date also.
S. Ramesh: Can we conclude that will be driven by whatever gro wth you can get in this AN Melt and Technical Grade Urea and any growth in the margins we may get in acetic acid and other chemicals, which are not performing now, TDI and ac etic acid. So, some of the growth levers you have for FY '26, '27?
Dilip Parikh: You are not pretty clear while you are talking, can you come again, and be a little slow so that we...
S. Ramesh: Yes, yes. So, what I am asking is in terms of the g rowth you can show in revenue and profits for financial year '26 and '27, would it be driven larg ely by the volume growth in ammonium nitrate melt and the technical grade urea and any reversal in the fortunes in let's say TDI business and any growth we may expect in acetic acid. So, is tha t broadly the avenues for growth for FY '26, '27?
Dilip Parikh: Okay. I would request marketing because it has some thing to do more with the pricing. Okay. Volume-wise, we have a steady state till the time t he expansions fructify. And before that, further volumes are not going to be increasing overnight. N ow as far as price projections are concerned, I don't know what will be the price in '26, '27, bu t still, you may listen from our marketing colleague about any forecast if it is available.
Manish Upadhyay: Manish Upadhyay, actually, both products are being imported largely, and we need to compete them. So, based on the imported price, we will have to play the price, our pricing. But more or less, it can say it will be steady price or looking to the last 1, 1.5-year scenario, it will be eithe r steady or slightly moving upward.
Dilip Parikh: So, I am Dilip Parikh again. See, to answer your questi on, what will be the levers. One is, of course, the interplay of the margin, which emanates out of the realization and the direct input cost. The other is there are certain transformation initiatives which we are talking internally. And if that fructifies, there is some chance of improvi ng the profitability there also, okay, both in

variable cost and the fixed cost. So, for '26, '27, we will be in a position to tell you more closely about this transformation matter in a quarter or 2.
S. Ramesh: Okay. So, in terms of the expectation from the CAPE X of INR 2,300 crores, you mentioned the improvement in savings from the switch to coal for power. When do you see that actually...
Dilip Parikh: So, we are not getting what is the exact question?
S. Ramesh: Yes, yes. Sorry, there's some disturbance in the li ne. So, in terms of the coal conversion from the time you commission that coal-based power, when do you get to see the full benefit of that cost savings from gas to coal?
Dilip Parikh: Yes. Our current projection is INR 14,500 per metri c ton of TDI. And we are going to get that as per the schedule effective 1st of August.
S. Ramesh: So, from the second half, we will be able to get th e entire benefit on whatever you produce on TDI, right?
Dilip Parikh: Yes, it has to come. And as the gas prices are firm ing up, probably this may increase also.
S. Ramesh: Okay. So, in terms of the weak nitric acid, that's where the largest part of the CAPEX is growing, INR 14 crores, INR 20 crores. So, what are the retu rns we can expect on that? How do you see tha

t over the next 2, 3 years in terms of the retur ns you can earn on that?
Dilip Parikh: See, there is a projected IRR on that, okay? And we have a threshold beyond which we normally invest. And internally, we have a threshold of 14% post tax, and we have worked out the numbers considering this threshold.
S. Ramesh: So, if you're expecting that to be commissioned by '28, maybe by FY '29, '30, we will be able to achieve that full impact of the 14% ROCE, right?
Dilip Parikh: It should come. It will have a two impacts. One is a substantial part of this production is going to be part of downstream production, which is of AN Melt. And there is going to be some quantity around 70,000 metric tonne per annum avail able for merchant sales.
S. Ramesh: Okay. Got it. So, in terms of your cash flows, you' re generating a lot of cash flow, right? And you have INR 2,300 crores of CAPEX will be done in 2, 3 years and you have INR 1,000 crores

cash flow. So, any thoughts in terms of what the ad ditional cash flow will be used for, whether it will be returned to shareholders through dividen ds or buyback, or you have any further investments you're planning beyond this CAPEX? What are your thoughts there?

Dilip Parikh: Okay. See, buyback is already affected some time ba ck around October, November '23 of INR 851 crores. So, and normally, as per the regulation , there is a cooling off period of 1 year. As far as other CAPEX is concerned, we are working on some alternatives of what is the possible project. The immediate on hand on which our team is working is that of AN Melt, okay? And the tender is under evaluation phase. So, we will c ome to know about the size of the CAPEX as we progress further.

S. Ramesh: Thank you very much. Wish you all the best and look ing forward to meeting you sometime. Keep up the good work. Thank you very much.

Moderator: Thank you. A reminder to all the participants that you may press “*” and “1” to ask a question. The next question is from the line of Govindlal, wh o is an individual investor. Please go ahead.

Govindlal Gilada: Thanks for the opportunity, and congratulations to GNFC, entire team for good set of numbers in this tough environment and guiding for better 4t h Quarter going forward. I got two questions, sir. So, currently our margins are in last 8 quarte rs between operating margins are around 5% to 8% range. And earlier, we have done on the higher s ide, I think 25%, 30% margin also, it is 2, 3 years back.

So, shall we assume that this is the tough environm ent, and this is the bottom margin reflected? And what should be, okay 28%, 30% as the best case. Shall we presume this is the worst margin? I think almost in the last 10, 12 years, this worst margin 5%, 7%, 8%. So, in regular course, what margin we should take into account? And that is the first question, sir?

Dilip Parikh: Okay. Probably you have taken this percentage from the public domain we are publishing, where we are also publishing the EBITDA data. So, that is showing the figures which you spoke about.

Govindlal Gilada: Yes, I have taken from screener, sir.

Dilip Parikh: Okay. Screener. Okay, fine. Now screener will also reflect more or less the same thing which we have given. In fact, our data will be more accur ate than screener, because we know the individual line items at P&L level.

As far as your question on what is the maintainabil ity of margin, whether it has bottomed out or not. See, these are difficult guesses to make, but our internal perception, including what is available in the public domain by expert is that th e downturn in Chemical cycle has lasted longer than expected. So, these are just the hopes people can make about whether it's a bottom of the cycle or there is yet further next level of bottom yet to come.

So, there are no informed guesses which are normal

l y available. But like we said and our marketing colleague has also said, predominantly, I ndia is an import-dependent country when it

comes to the major chemicals, like out of our 10 ch emicals, 9 are import parity driven. So, it all depends upon what transpires globally, which will h ave impact in India.

Govindlal Gilada: So, just I was wondering we can presume, sir, 12% t o 15% of margin should be a reasonable margin, as said was 28%, 30% lower is on 5%. So, ju st rough guess, you are best in the industry, you've got idea. As a layman I am asking. So, can y ou guide me, sir? Generally, a reasonable scenario, 12%, 15% margin we should expect?

Dilip Parikh: Okay. I am Dilip Parikh. Actually, your question pe rtains to something which has to do with macro picture, okay? And we operate at a micro leve l, okay? Difficult to make such guesses and tell you that whether it will be 12%, 20% or 5%, be cause the way we operate, we normally have a visibility of a few months down the line apart fr om the overall visibility of how the direction is taking shape. But it has more than one part movi ng around in terms of the inputs and outputs.

So, regarding the maintainability of margin, if you take the leaf out of the past, probably that would be telling how much we should be in a positio n to make. But informed guess is not with us as to what will really happen in future.

Govindlal Gilada: Got it, sir. Thanks. My second question is regardin g TDI prices. How they are ruling, sir, quarter-on-quarter, any improvement has happened, sir, last quarter, what was the average and what is current prices going on?

Manish Upadhyay: Manish Upadhyay. Price is improving. Last quarter, price was a little lower. At moment, price is around INR 2,10,000.

Govindlal Gilada: So, what was the average sir, last quarter?

Manish Upadhyay: It almost steady, but it was slightly lower than at moment. So, it is improving.

Govindlal Gilada: Got it, sir. Then last one question is what is our dividend payout policy, sir, some state

government has given some directions on this. So, w hat was that, sir, just I can confirm?
Dilip Parikh: Rajesh?
Rajesh Pillai: Yes, that we request our company secretary respond on the dividend policy.
Chetna Dharajiya: Good evening, am I audible?
Govindlal Gilada: Yes.

Chetna Dharajiya: See, dividend policy, actually, you can refer from the website of the company and dividend we pay as per the policy and the government directives . So, it is mixture of both.
Govindlal Gilada: So, that's what only I am asking what is the direct ive of state government last year, they have given. Just can you summarize that's what I am aski ng, will be helpful for me?
Chetna Dharajiya: So, dividend would be 30%, Dilip bhai, please corre ct me if I am wrong. 30% of the OpEx.
Govindlal Gilada: 30% of the PAT, that is including of buybacks if yo u do?
Chetna Dharajiya: Sorry?
Govindlal Gilada: No, buyback, that is including a buyback amount or it is excluding a buyback amount dividend. 30% is total of buyback plus dividend, that's what I am asking.
Chetna Dharajiya: No, no it is excluded.
Govindlal Gilada: Just a hypothetical question. Suppose if you do buy back also last time you have done buyback. So, suppose we do buyback also and dividend some po rtion we do pay out. So, I am asking this both put together 30% or dividend exclusive 30% buy back will be over and above?
Chetna Dharajiya: So, that will be a management’s decision whether to go for buyback and dividend both. But dividend is a separate decision from Management and buyback is a separate decision.
Dilip Parikh: May I answer your question, gentleman.
Govindlal Gilada: My understanding is -- so I am asking sir, 30% payo ut policy governmen

t as directed, state government. I am asking this is purely dividend or including buyback? These both dividend and buyback put together?
Dilip Parikh: Chetna, may I answer his question.
Chetna Dharajiya: Yes. Yes.
Dilip Parikh: I am Dilip Parikh. See the directive is 30% of the PAT or 5% of net worth, whichever is higher, number one. Your question is whether this 30% is af ter considering the buyback or not. 30% has nothing to do with the buyback as such, because it has a reference point of PAT.
When it comes to the other reference point, which i s the net worth, with buyback, the net worth will definitely reduce. So, it will have some impac t, but it depends upon which one is higher.
So, dividend is decided predominantly first based o n the guideline; secondly, based on what the

Board decides considering the overall situation and the dividend policy of the company. Is there anything else which is left out in terms of the que stion?
Govindlal Gilada: I got it, sir. I got it. So, 30% PAT dividend is as sured and this buyback is over and above bonus if it happens. Got it. Thank you very much, sir.
Moderator: Thank you. A reminder to all the participants that you may press “*” and “1” to ask a question. The next question is from the line of Ankur from IC P Group. Please go ahead.
Ankur: Yes. Hi. Thank you for taking my questions. My question is, sir, you mentioned we are a lot dependent on imports. So, just wanted to understand the contracts for ammonia and natural gas, are these long-term contracts? And how are they ind exed? What is the structure of these contracts? If you can just throw some light on that , that will be helpful. Is the index or benchmarks that they are based on? Thank you.
Dilip Parikh: Okay. I am Dilip Parikh answering your question. Se e, if you talk about our key inputs, gas, oil, coal, rock phosphate, benzene and toluene, these ar e the key inputs for the company. Now whether there is a long-term contract or not, we ha ve a long-term contract for the gases of urea. We don't have the long-term contract for the Chemic al part of it. We do have short-term contract and the spot purchases of gas. We have a mid-term a nd long-term contract for oil, which is worked out based on the mutual understanding about what are the global benchmarks, okay? For example, in case of oil, there are a few benchm arks like Fujairah, et cetera. So, whatever is the most prevalent, that is what is negotiated upon in terms of the different element apart from the benchmarks. If you talk about coal, we do have an Indonesian benchmark, okay? So, depending upon the commodity, there are benchmarks which are considered after internal evaluation and the inquiries are floated accordingl y. For coal also, the buy normally happens on a spot basis a couple of times in a year. So, this is third commodity.
Regarding the benzene and toluene, it's a mix of sp ot as well as formulae-based buying. Again, when it comes to the formula, it has a benchmark li ke Platts, etc., which is taken into account.

When it comes to the rock phosphate, it is a kind o f no reference point negotiation.
At times, people fall back on phosphoric acid. At t imes people fall back on some other base. But then it is who wins in the negotiation, who has mor e power. So, that is what happens in case of rock phosphate. So, out of our various product of g as, oil, coal, benzene, toluene and rock, these are the ways and means with which we procure, we st ructure procurement.
Ankur: Okay. Thank you, sir. And as you mentioned, some are on the basis of spot and are there any long-term contracts as well? Or these are mostly sh ort-term contracts?

Dilip Parikh: For gas, we do have contracts up to '28, but these are mainly for urea

because we don't want to
bank on either EPMC or spot and do the inquiry and most of the time, there is a push from government also to enter into long-term contract an d not bank on EPMC or spot.
Ankur: Okay. Thank you, sir. Thank you so much for answeri ng the question. That's it.
Moderator: Thank you. Ladies and gentlemen, a reminder to all the participants that you may press “*” and “1” to ask a question. The next follow-up question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.
S. Ramesh: Hello, thank you for the follow up. So, on this tra nsformation exercise you're doing with Kearney, I know you said you will share it once you are in a position to discuss it after the 4th Quarter. But in terms of your broad thought process on the avenues of cost savings and incremental growth, what are the key areas you woul d have possibly identified for this study, just to get your thought process?
Dilip Parikh: Okay. I am Dilip Parikh answering your question. Se e, there are various items at variable cost level, majorly and only some at fixed cost level. F ixed cost level addressing has a structural issue to be addressed. So, that's a matter which is yet t o be debated.
On the variable cost level, there are items like po wer, fuel, etc., sourcing of oil, etc., which is being firmed up And then we will come to know exact ly how much benefit we can expect as against what is being advised to us.
S. Ramesh: Okay. So, basically, it's your attempt to reduce th e variable cost and improve the contribution. Got it. So, this is focused more on the Chemical bu siness or you will also look at it for the Fertilizer business?
Dilip Parikh: Partly Fertilizer also because urea, as you know, i s out of question because variable cost has an impact only to the extent of inefficiency in energy norms.
S. Ramesh: Sure, sure.
Dilip Parikh: Okay? And inefficiency or not meeting the standards of fixed costs, which are difficult to meet for most players in the industry. When it comes to the other part, which is a complex fertilizer, yes, this is going to help if there is a reduction in the input cost, because the base is again oil-based ammonia predominantly, rock phosphate and wea k nitric acid.
Moderator: Thank you. Ladies and gentlemen, that was the last question fo r today. I now hand the conference over to Mr. D. V. Parikh for closing comments.

Dilip Parikh: I would request the company secretary to place a vo te of thanks, please.
Chetna Dharajiya: Yes. Good evening, everyone. I am Chetna here. My s incere thanks to all the participants for active participation. I am thankful to the moderato r and Anurag Services LLP. I am also thankful to all the members from Management team. Thank you, everyone.
Moderator: Thank you. On behalf of Anurag Services LLP, that c oncludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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GNFC CIN : L24110GJ1976PLC0O02903
AR 150 9001, 150 14001, 156 45001 & 150 50001 Cartiied Company PG Narmadanagar - 392015, Gist, Bharuch, Gujarat, india Ph. (02642) 247001, 247002 Website: wwnw.gnfeIn
No. GNFC/Transcript/LODR
May 29, 2025
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PJ Towers, Dalal Street, Fort, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 001 Mumbai - 400 051
Scrip Code: "500670" Symbol: "GNFC"
Sub.: Transcript of Investors / Analysts meet through Conference Call.
Dear Sir/Madam,
We had vide our letter dated January 17, 2025 intimated the Stock Exchanges about the schedule of Investors / Analysts meet through Conference Call on Monday, May 26, 2025 at 03:00 PM (IST) through Conference Call.
We send herewith a copy of Transcript of Investors / Analysts meet through Conference Call which took place on Monday, May 26, 2025 at 03:00 PM. The said transcript along with the audio is also uploaded on the Company's website i.e. www.gnfc.in
We request you to kindly take note of the above.
Thanking you,
Yours faithfully,
For Gujarat Narmada Valley Fertilizers & Chemicals Limited
Rajesh Pillai
Company Secretary
Encl.: As above
“Gujarat Narmada Valley Fertilizers and Chemicals Limited
Q4 FY '25 Earnings Conference Call”
MANAGEMENT: May 26, 2025
ANURAG SERVICES LLP
MR. D. V. PARIKH — EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER — GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MR. Y. N. PATEL — HEAD OF DEPT. (O&M) — GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MR. M. L. SHAMSI- GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MR. NITIN PATEL — GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MR. TEJAS SHAH — HEAD, MARKETING — GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MR. JAGDISH THAKKAR — GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MR. RAJESH PILLAI - COMPANY SECRETARY — GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED

Moderator:
D.V. Parikh: Gujarat Narmada Valley Fertilizers and Chemicals Limited
May 26, 2025
Ladies and gentlemen, good day, and welcome to Gujarat Namada Valley Fertilizers & Chemicals Limited Quarter 4 Financial Year 24-25 Earnings Conference Call, hosted by Anurag Services LLP on behalf of GNFC.
From the management, we have Mr. D.V. Parikh, Executive Director and Chief Financial Officer; Mr. Y.N. Patel, Head of Department, OXM: Mr. Rajesh Pillai, Company Secretary in charge: and other senior members of the management.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. D.V. Parikh. Thank you, and over to you, Mr. Parikh.
Thank you. Good afternoon, all, and a very warm welcome to all the participants on this Q4 as well as full-year FY 24-25 financial results con call. T would first update you about some of the business updates, and thereafter, touch upon the financial results part, and then, we'l take the question and answers.
On the business part, like we have updated, the investor presentation, apart from the financial results on the website as well as with the stock exchange, which most of you must have gone through. Interms of the key update, basically, Board of Directors has recommended a dividend of 180%, which is INRIS per share, which augurs well as compared to the last one, which was at 165%, INR16.5 per share.
As far as capital expenditure plans of t

he company are concerned, total capex of around
INR2,900 crores is at different stages of exceution as well as approval. Some of the capex is already part of the presentation, whereas others arc in the nature of maintenance capex, which aim to improve either efficiency or cost saving part of it.
As you know, company has appointed Kearney, and the final outcome of the recommendations has been debated in the last Board meeting. And now the company will be working on some of the chosen opportunities in respect of the capital expenditure investment.
The broad profile of Kearney mandate has been into 3 parts. One is the organization structure. The second was the transformation, which is pertaining to the existing operations. And third is the expansion part of it. The expansion and transformation parts are already cleared, and now, the company will be working towards the execution thereof.
As far as fertilizer is concerned, as you know, effective st of April, the NBS subsidies have been revised. In case of GNFC, the impact is roughly INR2,600 per metric ton, INR2,560 to be precise. Industry-wide N factor is not updated somehow. So these are the broad updates from our side on the capital expenditure and other aspects.

Tl touch upon the financial part of it. The company has clocked a turnover more or less equal to that of last year. This turnover reflects the elongated shutdown of TDII, which, otherwise, would have added to the topline of roughly INR 300 crores and profits of roughly INR100 crores.
‘When we are talking about profits, we take into consideration 2 parts, one is the contribution loss and second is the extra cost, which happens because of the shutdown, mainly the variable cost on account of the shutdown. Of course, due to shutdown, there are certain other fixed costs also, like higher repairs and maintenance, which account for it.
So if you see barring for that elongated shutdown, the results would have been higher by roughly INR300 crores in terms of the top line and about INR100 crores in terms of the bottom line. The Q4 has been quite good with the top line of roughly INR2,055 crores and the bottom line of INR287 crores of PBT, I'm talking about. And out of the INR790 crores of PBT, INR287 crores pertains to quarter 4, which is because of the very good contribution from the chemical side of it.
Overall, if we see, the losses on account of fertilizer has come down by a factor of around INR64. crores, despite the fact that the volumes and the overall revenue has been lower. Whereas in case of chemical, the volumes have been higher, the profitability has also improved. And some of the chemicals like AN melt, technical grade urea and aniline, they have contributed positively towards the performance of the company.
When you go to the segment assets and liabilities, there s anet change of roughly INR250 crores in the overall net worth of the company, mainly emanating out of 2 important reasons, one is the outgo of dividend, which is accounted for on as-it-goes basis. And second is the accrual of the profit. So this is how the INR250 crores is the net impact, which is coming to the net worth of the company.
Talking about the other comprehensive income, there is a net loss of roughly INR100 crores. It emanates predominantly out of the listed investment which the company has, where the prices have gone down. The overall effect of like INRSSS crores, which is the PAT minus the comprehensive — other comprehensive income, is now going to the net worth. So this is the overall on the P&L.
Coming to balance sheet, there is no major change in the balance sheet except if you gotowards the investment side, there is a liquidation of government securities during the year and which adds up to the cash flow. If you see the cash flow part of it, the profit and operating cash flow are more

or less touching each other, which means there is no incremental working capital, which
is called for during the year.
So with this, I would like to end the opening remarks and leave open the floor for Q& A. Thank
you very much.
Thank you. The first question comes from the line of Necrav with Anvil Wealth. Please go ahead.
Sir, so my first question is on the sales volume growth in terms of volumes in FY 25 versus FY
24 basis. So if you can just walk us through what was the sales volume growth and also help in

Tejas Shah:
D.V. Parikh:
Tejas Shah:
Neerav:
Nitin Patel:
Neerav:
Nitin Patel:
Neerav:
D.V. Parikh:
Neerav:
terms of which of the products have — would have contributed to this sales volume growth in
FY 25?7
Yes. Tam Tejas Shah, Head, Marketing. As far as the sales volume is concerned, the acetic acid
sales was 7% high than '23-24. AN melt sales was also high by 9%. Aniline sales was high by
15%. TG urea sales was high by 52%. And CNA sales was high by 15%. Formic acid sales was
also high by 6.7%.
Methanol by 73%.
Methanol by 73%.
Okay. Sir, in terms of FY '26, would there be any planned shutdown for any of our plants? And
if you can also let us know which of the products within our product basket could see a volume
growth in FY 26 over FY '25 basis?
T'm Nitin Patel. We — I look after operations and technical services. We already had a shutdown
in the beginning of current financial year for about 3 weeks. So volume growth possibility is
very less because of the factory shutdown for 3 weeks, more or less. And we do not have any
further shutdown till the end of FY.
Correct. Correct. Sir, for the products, you have mentioned that we had registered a volume
growth, but I think we had a shutdown for the TDI plant, for which the impact on the sales and
profitability was explained on the opening remarks. So if you can guide us like what was the
production for TDI in FY 25 and how we are looking FY 26 so far as TDI is concerned,
combining both the plants?
Combining both the plants, the production is down by 31%. TDIBharuch is more or less on the
plus side, plus 9%, whereas TDI Dahej, because of the extended shutdown, we are down by 44%
in the volume. And looking forward to current financial year, we do not foresce any major issue
in achieving the installed capacity production. We'll be close to that mark.
Got i, sir. Got it. Sir, second question is, so far as the input prices are concerned, predominantly
on the toluene side, we have seen a good correction in the prices of toluene from March end
onwards. So when can we see the benefit of this reduction in toluene prices in our numbers?
Like it's a major raw material for us, so have we also started seeing the reduction in toluene
prices in our purchase orders from the suppliers?
Yes. Tm Dilip Parikh. Yes, toluene, in fact many petrochemicals are going down, including
toluene. But the issue is it also has an impact as of now on the TDI, which is under pricing
pressure since last couple of months. So that advantage is actually taken away when it comes to
the input cost advantage because the output prices are also under pressure.
Correct. And sir, with reference to this, T think. in the presentation, it is showing that we are
going to commission the boiler in FY 26. So with reference to its commissioning and benefit
accruing out of it, if you can again refresh it in terms of the latest update, that would be very
helpful.

Jagdish Thakkar: Yes. T am Jagdish Thakkar looking after projects. And present status of that CCPP plant, which
is a boiler plus power plant, we are expecting to be completed by maybe September this year.
D.V. Parikh: Actually, your other part of the question was on the impact. See we foresee, as of now, an impact
which might range

between INR12,000 to INR18,000 per metric ton. It’s an interplay between
the two prices of gas and coal. So one may say that effective It October, assuming that it all
goes well and it is commissioned, this is the advantage we foresee in our contribution.
Neerav: All right. And possibly, it would help us to narrow down our losses in the TDI at the PBT level.

D.V. Parikh: Yes. It depends upon the total value coming because on the other side, there will be depreciation also on this investment, which is having the capex size of INR613 crores.
Neerav: Got it. Correct. Sir, next question is on the — on your opening remarks about the debate which you had with AT. Kearney for the reduction in the variable cost. So like this is more towards the power cost or the other operating costs or would also be extended towards improvement in our input/output ratios or norms for most of the chemicals what we produce, and if you can share some insight that would be very helpful.
Nitin Patel: See, there were a couple of initiatives. Number one is procurement optimization initiative. We buy major raw material and fuel. Major raw materials are benzene, toluene, fuel oil, matural gas, and other is power optimization, increasing the portion of RE and substituting part of the captive power by RE. Then third is digital initiatives. Management has insight to some extent on all these initiatives, but now on a concrete way forward, we will move ahead with the handholding of third parties.
Neerav: Got it. And sir, if I may ask, like the benefit of these initiatives would be visible in FY 26 or we would see the benefit coming next year?
Nitin Patel: See, they have defined short term, medium term and long term. If we talk about the oil, then it's a3 to 4-year exercise. If you talk about other initiatives, then it's a 1-year to 2-year exercise. Some small initiatives are having a span of 6 to 12 months. So the effect on the balance sheet would be slow and gradual.
Neerav: Got it. Got it. And sir, last from my side is if you can share the production numbers for ammonia and weak nitric acid for FY '26? For ammonia, if you can share both for gas as well as from oil?
Nitin Patel: Ammonia from oil, we produced 3,36,000. From gas, we produced 3,69,000 having a ratio of around 48% and 52%, respectively. Weak nitric acid, we produce close to 4.43,000.
Neerav: Okay. And of this, possibly we would have sold 75,000, 80,000 tons in the outside market, is a safe assumption?
Nitin Patel: Yes, more or less like that.
Moderator: Next question comes from the line of Aatur with ICICT Prudential Mutual Fund.

Nitin Patel:
Aatur:
D.V. Parikh:
Aatur:
D.V. Parikh:
Moderator:
Mehul Panjuani:
Nitin Patel:
Mehul Panjuani:
Nitin Patel:
Mehul Panjuani:
Yes. Just - is on this expansion which you highlighted that Kearney were evaluating. Anything in terms of size, etcetera, you can share with us or in terms of product line, existing products, new products, if you can help us get some better understanding.
Are you talking about new projects, which are shown in the presentation?
No. That is given, weak nitric acid, that is there. I'm saying in terms of the recommendation from Kearney for the next phase of expansion, is there a particular size which you are looking at in terms of their recommendation? Are there new products, existing products? What is the kind of expansion recommendations, if you can share?
Okay. I'm Dilip Parikh. T11 tell you about this. First, about the investment size. When we started with Kearney, we took around INR15.000 crores worth of kitty, which we may look at for the purpose of investment. They have given a few options - with an investment size which goes up to around INR22,000 crores.
Coming to the question whether they are existing line, they are different products, not what we are manufacturing. However, they are more or less

sort of import substitutes. So this is what
broadly we can share as of now, once the detailed feasibility report is out, we'll be in a position to tell better about which particular products we are going in for.
Sure. So it could be part or it could be entirely. So right now, that is not decided. It could be in parts also or in entirety also. Is that a better understanding or not?
1t will depend upon the attractiveness of the products, which are suggested by them. When we do the detailed feasibility report, it will come out that what is the return profile of each of the products. And as against that, what is the investment size? So based on that, the Project ‘Committee and Board may decide.
Next question comes from the line of Mehul Panjuani with 40 Cents.
T had a question because Im new to the company. and I have not gone through the investor presentation. Can you please help us - help me who are Messrs. Kearney? What is - can you

just throw some light on the discussion which is going on about Kearney?
See, Kearney is one of the top 4 or top 6 management consultant globally. For any company growth or improvement, performance improvement, future roadmap, it is very customary that this type of companies are hired. And accordingly, based on the directive of Board, Kearney was onthe board for all these activities. So they are managing ~ management consultants.
Right. So sir, have they completed their due diligence and have furnished the report or they are in the process?
Due diligence is completed, report was presented to the Board, and it was debated in the last Board meeting.
Right, sir. And sir, when do we think the Board will finalize the -- how do you want to go about with this?

Nitin Patel:
Mehul Panjuani:
Nitin Patel:
Moderator:
Mehul Panjuani:
Nitin Patel:
Mehul Panjuani:
Nitin Patel:
Moderator:
Neerav:
D.V. Parikh:
Neerav:
D.V. Parikh:

See, the report is presented, and further line of actions are decided for the margin improvement, which was discussed in the first question and for detailed feasibility report, as our CFO has highlighted, for the new investment and new projects. All activities will begin now on a defined roadmap.
Right. And sir, where are these — where is this management coming from, Kearney? Is it from India or abroad?
Tthink they are stationed in Bangalore, Bangalore or — basically, it is a multinational company.
Ladies and gentlemen, as there are no further questions, we have reached the end of question-and-answer session. We have a question. I's from the line of Mehul Panjuani, once again, from 40 Cents.
Sir, one question with — regarding the management consultant, Kearney. Is it the initiative of the Government of India? Or is it an initiative which was as part of the Board initiatives?
It is a Board initiative.
So, sir, because GNEC is such an old company, have these kind of initiatives been done before also or this is just a first kind of initiative in terms of improving the margins and efficiency?
Before 17 years, this kind of initiative was taken for the first time, and this is second exercise.
Next question comes from the line of Neerav with Anvil Wealth.
Sir, one thing on the methanol part. You mentioned that we had registered some close to around 73% volume growth. Sir, was the economics favoring in terms of the pricing of methanol for us to produce and sell in the market? Because, I guess, in some of the commentary last time or before that, you mentioned that the pricing is the main criterion for us to produce methanol, so if you can share your thoughts here.
Yes, you are right. Up to November, we had that advantage of contract gas ata competitive price. And for about 7 to 8 months we ran the plant, that is a normal cycle we internally anticipated that we require so much time, and it ran well. But from effective December, again, the prices of

gas have gone up and are not competitive in manufacturing. So the plant is stopped as of now. It not in operation.
Correct. And for the 7, 8 months, when we ran the plant, plant was profitable or the product was profitable in our overall product basket portfolio.
Yes. Yes.
Got it. And, sir, any outlook on the oil prices? Because even in the presentation, when we see, T think the prices have been not correcting despite of crude prices correcting a bit. So are we seeing ona forward curve basis, the prices of oil, which we use for our ammonia production, is seeing some sign of correction or some sign of softness?

D.V. Parikh: See the pricing for oil is not directly correlated with this crude. Crude, even if it comes down,

this is a special category of oil, which is procured from Indian Oil. And like what we referred in
terms of inputs from the strategic management consultant, we are using those levers to bring it
down. And hopefully, it should come down as compared to what itused to be.
Of course, we have a formula-based price mechanism with IOCL, but somehow the different
components therein are such that it does not have a direct co-relationship with the crude, which
you are referring to.
Neerav: Got it. And sir, last thing from my side is on the ammonia through oil route, we have produced
close to around 3,36,000 tons. So was there any opportunity for us in FY '25 and more
predominantly in Q4 of FY 25 to sell some excess ammonia in the market to capitalize the
benefits?
D.V. Parikh: Actually, when we produce more of oil-based ammonia, if the downstream products, value-
added products are not working out, then we think of selling the ammonia provided it is
profitable. In this case, the downstream products worked quite well as you see from the Chemical
segment result also and the overall Q4 results also. So the ammonia was more valorized in terms
of value-added product rather than selling it out. So we did not sell any ammonia during Q4 or
rather for the entire year.
Neerav: Got it. And sir, last question from my side is on weak nitric acid. I think in FY 26, we are — in
the second half, we are seeing some of the capacities of WNA coming up more predominantly
for CNA as well as for AN melt. So if you can share your thoughts here, a, for the demand for
AN melt in India? And how do we opt to participate in that demand growth for AN melt in FY
26, a? And b, do we also produce some sort of value-added products for AN melk, like LDN or
HDN, which is a slightly better realization than AN Melt?
Tejas Shah: I'm Tejas Shah. If you see the Indian market now, ammonium nitrate import in FY '24-25 is
around 4.2 lakh tons. So no doubt, additional capacity is coming. Chambal is coming up with
additional 2 lakh tons. But Indian demand growth is also good compared for the ammonium
nitrate, so that will slowly — all the capacity will be absorbed in the Indian market.
Nitin Patel: Your second question was about LDPN and other form of solid ammonium nitrate. We do not
manufacture that. We manufacture only in the melt form.
Neerav: Okay. Okay. And sir, any plans over a period of time we may foray into or think of? Because
like what could - or in other words, if I can ask like which sectors are stopping us in terms of
those value-added products, if you can share?
Nitin Patel: See, LDPN or solid form of ammonium nitrate that itself is a separate plant, prilling tower and
downstream solid handling and product conditioning units. So that's a higher capital investment.
Melt is front end, and solidification and conditionis s this rear end of the entire end product
basket, if we talk. That is why we are not into it and only producing the front-end product that
is made.

Neerav:
D.V. Parikh:
Neerav:
Jagdish Thakkar:
Neerav:
Jagdish Thakkar:
Neerav:
Jagdish Thakkar:
D.V. Parikh:
Neerav:
D.V. Parikh:

Moderator:

One of the reason, like, of course, there is some value addition, but if you compare it with the
incremental capex, it really did not work out for the company. And therefore, we changed back
our mind from those kinds to produce in the melt form only.
All right. And sir, given the kind of volumes and the plants we manage across both the locations,
what one should consider in terms of an annual maintenance capex, which we need to spend in
order to keep the plants up and running?
Okay. If you see, the total R&M. normally when the shutdown is there, touches to around
INR200 crores per annum taken together for both the complexes.
Okay. And sir, if you can guide in terms of what should be the capex for FY '26?
See, total, our capex maybe for this year, we will be if we were to complete power plant, that is
around INR600 crores and — that is INR600 crores around, completion.
Expenditure you're talking about?
Yes. It will be around INR300 crores. It will be around INR300 crores.
Okay. And this INR300 crores also includes our maintenance capex also.

No, no. It's a different.
No, no. It does not include maintenance capex as such. See the capex, which Jagdishbhai is referring to, is out of around INR2.200 crores, which is part of the presentation, which predominantly consists of 3 different natures, which is weak nitric acid of roughly INR1,420 crores, INR225 crores of ammonia make-up gas loop, which is undergoing certain cost escalation. And the third is CCPP, which is INR613 crores as of now.
Got it. Correct. Got it, sir. Got it. So in an ideal scenario, we should work with this INR300 crores plus INR200 crores of maintenance capex inorder to keep the plant...
It will be more than that. Maintenance capex will be more than that. But then it has its own spread of time, like one of the maintenance capex, which pertain to the effluent treatment plant, it will go over more than 2 years, which is to the tune of roughly~ INR130 crores.
So it is like that. Whereas there are certain capex, like retrofit of turbines, which will happen over a period of 16 months or so. So the spread would be over 2 financial years, probably. It depends upon when it starts and when it ends, but the spread would be over 2 financial years, at least.
Ladies and gentlemen, as there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to Mr. D.V. Parikh for closing comments.
I'll request Rajesh to talk about the vote of thanks.

Rajesh Pillai:

Yes. Thank you to all the participants for joining this call, and T would like to express my gratitude to all the senior executives of the company as well as the moderator and the team of Anurag Services LLP. Thank you.
On behalf of Anurag Services LLP that concludes this conference. Thank you for joining us.
You may now disconnect your lines.

Call: Aug 2025

NO. SEC/BD/SE
August 12, 2025

Dy. General Manager
BSE Limited
Corporate Relationship Dept.,
1st Floor, New Trading Ring,
Rotunda Bldg, PJ Tower,
Dalal Street, Fort,
Mumbai - 400 001
Scrip Code: "500670"
Dy. General Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
C-1, Block - "G",
Bandra Kurla Complex, Bandra (E),
Mumbai - 400 051
Symbol: "GNFC”

Sub.: Transcript of Investors / Analysts meet thro ugh Conference Call
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Dear Sir / Madam,

We had vide our letter dated July 24, 2025 intimated the Stock Exchanges about t he schedule of Investors / Analysts meet through Confe rence Call on Thursday, August 07, 2025 at 4:00 PM (IST) through Conference Call.

We send herewith a copy of Transcript of Investors / Analysts meet through Conference Call which took place on August 07, 2025. The said transcript along with the audio is also uploaded on the Company's website i.e. www.gnfc.in

We request you to kindly take note of the above.
Thanking you.

Yours faithfully,

For Gujarat Narmada Valley Fertilizers & Chemicals Limited

Rajesh Pillai
Company Secretary

Encl.: As above

Page 1 of 11

“Gujarat Narmada Valley Fertilizers and Chemicals Limited Q1 FY'25-'26 Earnings Conference Call”

August 07, 2025

MANAGEMENT : M R. D. V. PARIKH - EXECUTIVE DIRECTOR & CHIEF FINANCIAL OFFICER , GUJARAT NARMADA VALLEY

FERTILIZERS AND CHEMICALS LIMITED
MR. NITIN PATEL - EXECUTIVE DIRECTOR , GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MR. M. I. SHAMSI - EXECUTIVE DIRECTOR , GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED
MR. RAJESH PILLAI - COMPANY SECRETARY , GUJARAT NARMADA VALLEY FERTILIZERS AND CHEMICALS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Gujar at Narmada Valley Fertilizers and Chemicals Limited Quarter 1 Financial Year '25-'26 Earnings Conference Call.
This call is hosted by Anurag Services LLP on behal f of GNFC. From the Management we have Mr. D. V. Parikh – Executive Director and Chief Fin ancial Officer, Mr. Nitin Patel – Executive Director, Mr. M. I. Shamsi – Executive Director, Mr . Rajesh Pillai – Company Secretary and other senior members from the management.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during this conference call, please signal an opera tor by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being re corded.
I now hand the conference over to Mr. D. V. Parikh. Thank you and over to you, sir.
D. V. Parikh: Thank you. Good afternoon and thank you again to A nurag Services and good afternoon to all the participants on this Q1 FY'25-'26 Earnings Conf erence Call.
As you know, the company has published its results yesterday and also uploaded the investor presentation. So, most of you must have gone throug h the details of the presentation as well as results. Apart from investor presentation, there is a press release also which is given.
For Q1, basically the numbers are not comparable fo r the other two periods, which is sequential quarter as well as YOY quarter. Although in all the three quarters, there have been some outages and shutdowns. So, the longest shutdown was in the period of Q1 FY'25-'26. If you compare it with the previous quarter, which was Q4 FY'24-'25, there was some outage, not the set off as such but some outage due to the electric blackout. And on a YOY basis, Q1 FY'24-'25, there was not at Bharuch complex but at Dahej complex. So , TDI-II production was down last year.
So, therefore, although these numbers are not compa rable, there is a quantification done in this regard as to what are the impacts on the revenue an d PBT side.
The revenue side, if you consider for the last quar ter Q1, is impacted by a figure of around Rs. 375 crores on the topline basis and around Rs. 148 crores on a bottom-line basis. Similar numbers for the sequential quarter, which is Q4 FY'24-'25, it is around Rs. 40 crores and Rs. 20 crores respectively. And same is the case as compared to t he Q1 last year. Going from P&L to the segment results, the results have not much change i n the chemical segment, although the turnover has changed mainly because of the TDI reas on last year. And this year, there have been impact of various chemical in terms of the volume, but still the profitability on a YOY basis is maintained because last year it was more subdued th an this year.

As far as the balance sheet part is concerned, I wi ll first touch the fertilizer segment also. The losses in the fertilizer segment have increased to around Rs. 100 crores. This is again mainly because of the under-recovery of energy because as of now the energy norms are still not revised. The effect of that is around Rs. 13 crores. Aside f rom that, there are two other factors, the volume of urea has been lower by a factor of around 40,000 tons and the higher repairs and maintenance cost, which is contributing cumulatively to the imp act on the fertilizer segment. Going from P&L to other comprehensive income, the main reason of other comprehensive income improvement is because of the fair value improvemen t in the investment, which we are carrying, both in the quoted and unquoted shares.
As far as balance sheet is concerned, the position, there is no significant change except some capitalization, which is

part of working process wi th respect of the ongoing projects and the value attributable is around Rs. 225 crores during the quarter. So, this is what is the broad overview in terms of P&L and balance sheet.
Coming to the business side, there are two importan t aspects to be covered. On the fertilizer side,

both energy as well as fixed cost revision are in t he offing. We expect it to be out by Q3 of this financial year. As far as chemical is concerned, in terms of the plant operations, we have two plants, which is methanol and aniline. Methanol is stranded because of the cost economics and aniline, we are operating based on the need for pri oritization based on the production planning we do on a regular basis. Aside from this, there is an update on the anti-dumping duty in respect of aniline, which was valid up to mid of 2027, whic h is now extended up to mid of 2030.

So, these are the broad updates on both fertilizer and chemical. As far as projects are concerned, our colleagues will tell more specifically about th e projects, but by and large they are on schedule barring some changes, especially in case of the coa l-fired power and steam generation plant. The rest are all on schedule.

So, with this, I now leave the floor open for the q uestion-and-answer. Thank you very much.

Moderator: Thank you. We will now begin the question-and-answ er session. The first question is from the line of Nirav Jimudia from Anvil Wealth. Please go ahead.

Nirav Jimudia: Yes, sir. Thanks for the opportunity and good afte rnoon to the entire team. So, I have a few questions. Sir, last time you guided that despite o f a shutdown in the month of April, possibly we could be near to the peak production in TDI clos e to around 67,000 tons. So, I just wanted to understand how much we have achieved in Q1 put toge ther both the plans. Just to add here, we have seen the strengthening of TDI prices globally, but similar price adjustments have yet not happened in India, though there are some price incr eases. So, I just wanted to understand here, do we sell our TDI entirely on spot basis or there is some element of contractual volumes also?

D. V. Parikh: The total TDI production taken for both the plant together is around 16,000 metric tons for Q1. And the second question on this price is, see, we h ave increased the prices recently, but globally if you see the report of ICIS, it is not matching e xactly with those prices. As far as the arrangement of contract is concerned, it is a mix o f both spot and contract we do. In fact, our discount scheme is like that, that if people pick u p certain volume for a quarter, for a year, then there are certain incentives. So, accordingly peopl e enter into a contract mainly on a spot basis, but they also do indicate on a quarterly basis. Thi s is what is the understanding on the TDI offtake.

Nirav Jimudia: Correct. And sir, do we still stick to the plans o f closer to 67,000 tons of volumes for TDI in FY'26?

Nitin Patel: Going forward, we expect smooth running of both TD I plans unless some unforeseen breakdown occurs. And if you see Q1, we have closed around 16 ,000. So, the answer is yes.

Nirav Jimudia: Correct. Sir, given the kind of toluene prices, I think you also mentioned in the presentation that there is some moderation in the input cost also and that have slightly further gone down in terms of toluene prices. Given the kind of toluene prices and CNA prices currently, what should be the breakeven price for our TDI sales in rupees per kg if you can throw some understanding here?

D. V. Parikh: Breakeven price in terms of what?

Nirav Jimudia: Like at the EBITDA level, what is the breakeven pr ice at which our EBITDA is neutral, sir?

D. V. Parikh: I think that is not the way to look at like that b ecause all are moving parts from time to time, whether you take

TDI price, you take toluene price or you take CNA price…

Nirav Jimudia: I am talking about the current situation, like eve n the kind of current price what we have for both input.

D. V. Parikh: See, there is a positive contribution in both TDI- I and TDI-II. At TDI-II, the fixed cost is not fully recovered, that is the situation. And that ha s been the situation since quite some time because the TDI prices have not gone up substantial ly over last few years.

Nirav Jimudia: Yes, from 2016-17.

D. V. Parikh: And what has happened after 2022, the output price s have come down, but the corresponding impact we have not witnessed in case of other petro chemical products. So, that is the situation and therefore at TDI-II, there is no full recovery of the fixed overheads.

Nirav Jimudia: Sir, second question is on the fertilizer. You rig htly explained that there were twin effects of urea loss and the energy recovery was slightly on t he, or the energy consumption was slightly on the higher side which impacted close to around R s. 13 crores. So, just wanted to understand like if we see last year our fertilizer losses were close to 180 crores. This quarter was Rs. 100 crores due to the loss in both the factors what you mentioned. So, how do we see the fertilizer segment performing for rest of this financial year A and B as against the energy consumption what is being granted by the government, like close to around 6.2 if I am not wrong. Where are we in terms of the energy consumption and once this is revised further which you mentioned by

Q3 of FY'26, whether we will be able to come closer to that norms or what would be the
situation? If you can just explain your thoughts he re.
D. V. Parikh: You are right. The prescribed energy norm as preva lent as of date is 6.20. It is under revision and given our energy mix which includes coal, we ex pect this energy norm to be reasonably higher which is expected to come. Now, as far as th e losses of energy are concerned, we hope that we should be in a comfortable position once th ese are announced. We have been in dialogue earlier and there have been certain indication but it is yet to get formalized in terms of announcement of energy norms. So, on energy front w e expect that there should not be any recovery. On the contrary, we should be gaining som ething. The energy levels have become higher mainly because of the shutdown, unproductive energies and lower base of production, etc., are the main contributors. As far as fixed co st is concerned, there is no guess as of now as to what will be the level at which it will be revis ed. It is difficult to say but both are expected to coincide in this financial year. So, these losses m ust reduce which you said as compared to Rs. 180 crores full-blown last year, 100 crores is in Q 1 itself. Secondly, what happens in fertilizer also, there is some product optimization we do when it comes to the complex fertilizer we are manufacturing. So, it all depends upon what kind of opportunity is there on the other side, which is the AN melt side. So, the dynamic is like that. Though apparently, there is a loss but then because of the product optimization, at times we tr y to see that these losses are minimized at an overall company level.
Nirav Jimudia: Got it. Is it possible to quantify what would be t he unproductive fixed cost, repairs and maintenance sitting in the Rs. 100 crores PBIT what we have reported? Just to understand what could be the steady state run rate in terms of the numbers going forward? So, what could be the number out of this Rs. 100 crores which could be co nsidered as one-off?
D. V. Parikh: This Rs. 100 crores is like we said because of thr ee predominant reasons. One is the volume of around 40,000 metric ton of urea which is lower as compared to 48 as compared to the corresponding perio

d. The second is Rs. 13 crores o f energy loss and there is some element of total repairs and maintenance cost, this time is ar ound Rs. 45 crores incrementally we have incurred. Now, in terms of product level breakup in urea specifically as of now, it is not with

that how much is the repairs and maintenance attrib utable to urea plant, but that can be given on a separate communication through Company Secretary.
Nirav Jimudia: Third question is because we had a shutdown this q uarter, was our ammonia production through oil was affected because we normally after consumin g internally for WNA and AN melt, we sell close to around 20,000 tons of ammonia in the outsi de market on a quarterly basis. So, what was the situation this quarter if you can share your th oughts?
Nitin Patel: The complex was totally under shutdown including o il based ammonia production. What we ensure that ammonia is not a constraint for the pro duction of downstream consumers except urea, whether it is with nitric acid or AN melt. So , accordingly the stock built up or to arrange a bought out ammonia to sustain these production leve ls because each plant has a different time zone of the shutdown, periodicity. Few plants are f or x days, few are for x plus delta x and few are for x minus delta x. So, depending upon that, w e see that the plants which are ready for shutdown does not suffer for the want of major raw material ammonia.
Nirav Jimudia: So, safe to assume that this quarter possibly we w ould have purchased some ammonia from the outside market which has also led to some increased cost and which should not happen in the subsequent quarters?
Nitin Patel: See, ammonia requirement there is always a slight shortfall in our total captive ammonia requirement. This is comparison to what we can prod uce. So, that cost is a dynamic thing, sometime it is equal, sometime it is marginally low er, sometimes it is marginally up.
D. V. Parikh: To further add, see there are two things. One is t o answer your question, how much is the lower production of ammonia, it is around 42,000 metric t on is the lower production. As far as oil-based ammonia is concerned, on an overall basis it is around 36,000 metric ton. As far as cost is concerned in Q1, both this time which is this finan cial and last financial, we did not purchase anything. In Q2, we have started purchasing, but th e costs are lower than our cost of production. So, that is a benefit.
Nirav Jimudia: Got it. Sir, next question is on any thoughts we c an share on the benefits which should accrue to GNFC because we have appointed the consultants and I think they have submitted their report. So, if you can help us understand like where are we currently in terms of implementation part for the suggestions being given by them, some short -term or medium-term benefits which could accrue to us and which would be the areas where the se benefits could be coming on.
D. V. Parikh: Okay, you are talking about the strategic manageme nt consultant which is Kearney which we have appointed.
Nirav Jimudia: Correct, sir.

D. V. Parikh: They have worked predominantly on two things. Ther e are other areas also, but predominantly if you see they have worked on two things. One is t he pathway for the investment, next investment and second is transformation part which is basically how do we reduce our cost and they have identified various areas both digital and otherwise and we are at an advanced stage of discussion with them to formalize the implementatio n plan of that. Sometime in Q2, this exercise would be rolling in and then depending upon the sch edule, this will start, the benefits will start coming into the system. It is both. One is financia l benefit, second is certain strategic a

spects
and third is which products to choose for the inves tment and the ticket size thereof. So, these are the three things which they have covered and now th ey are being appointed for the hand-holding and implementation.

Nirav Jimudia: Correct, sir. Any specific area which would be tak en up first just to get a flavor of the kind of rolling out of these benefits or to get some idea o ver here like what could be the agenda first, like could it be related to power or to some of the raw materials which we procure, where the benefits could be earlier visible on?

Nitin Patel: See, they have given various areas. Power fuel is one of them. Feedstock is another. On marketing side, they have certain suggestions. On d igital side, they have certain suggestions. So, all taken together, they have quantified certain pr ojected savings and based on that, we are discussing with them.

Nirav Jimudia: Thank you so much, sir. I will join back in the qu eue. I have a few more to ask, but I will join back in the queue.

Moderator: Thank you. The next question is from the line of A atur from ICICI Prudential Mutual Fund. Please go ahead.

Aatur: Thank you for the opportunity, sir. On TDI, this pr ice increase which you were talking about, if you can just possible to quantify how much increase we have taken and is there any further scope in the near term to increase prices further?

Tejas Shah: I am Tejas Shah from marketing side. On 1 st August, we have increased TDI price by Rs 12,000. We are looking after the market and presently, just because of the rain, Indian demand is slightly weak. It is under improvement stage and we will rev iew price based on the market condition.

Aatur: And sir, would export prices be better now versus domestic?

Tejas Shah: Yes. We have locked certain export orders where th e price realization is better than domestic as of now.

Aatur: Okay. And generally, we do not export, right, but current scenario, we are open to export?

Tejas Shah: Since last about two years, the domestic market is enough in fact. And our focus is also to serve the domestic industry rather than exporting. Becaus e export, the business happens mainly through intermediaries, number one. Number two, the cost of logistics is also high. And number three, this feedstock advantage which these people, other people have around is not working out so favorably for us as compared to the concentratio n on the domestic industry.

Aatur: Okay. Got it, sir. And just on this Kearney part w hich you are mentioning, one was cost benefit and other on the investment side etc., apart from w hat you mentioned last quarter and in the PPT, any further updates that you would like to share wi th us?

D. V. Parikh: Yes. See, this is what we covered. Basically, earl ier, the engagement was for examination. As to what can be done, what is doable, given our indicat ion to them about the investment size, or kitty which we have. And the second aspect is the areas o f improvements in terms of bringing more efficiency, alternate sourcing, and other possibili ties. So, now we are discussing with them about the hand-holding and implementation thereof, where they have projected a certain set of financial savings which will get locked up over a p eriod of time. So, our engagement is under discussion about the periodicity and other terms. S o, very soon, maybe around this month itself, we should be finalizing those terms of reference as well as terms of engagement.

Aatur: Sure. And just one last, any update regarding the professional CEO announcement across entities? Any update that you have received on that which you can share?

D. V. Parikh: This will be little information which is inside to the organization. I am not sure whether sharing is right. Because each organization, you are saying we have engaged, some other G-entity

has
engaged, so, what is the level of fees is what your question. Is that understanding right?

Aatur: No. On the CEO appointment, like the professionali zation which Gujarat entities, like I was talking more from the recent news that we saw that professional CEOs across Gujarat entities.

D. V. Parikh: I overheard somehow fee, not the CEO.
Aatur: No, CEO, sir.
D. V. Parikh: So, we request our Company Secretary if he has any awareness about that.
Rajesh Pillai: As of now, we do not have any information in this regard.
Aatur: Okay, sir. Thank you so much, sir. Thanks a lot.
Moderator: Thank you. The next question is from the line of V aibhav from Honesty and Integrity Investment. Please go ahead.

Vaibhav: Thanks a lot for providing the opportunity. On TDI again, so on what is our revenue in or maybe what is the volume mix between spot prices and the contract prices? That is the first question. And in terms of revision in contract prices, so doe s it happen on a monthly basis or it happens on a quarterly basis? How does it happen?
Tejas Shah: I am Tejas Shah. As far as the contract and spot s ales is concerned, mostly all the home manufacturers are connected with us on contracts. W e have 90% sales on contract basis, 10% sales on spot basis. And as far as the pricing is c oncerned, it is purely depends on the market conditions. We do not feel whether to do pricing on monthly or quarterly. Based on the market condition, we are reviewing the prices.
Vaibhav: Got it. And when you say market condition, because a lot of imports also happen for TDI. I mean, so is it like mostly benchmark to the imports or how it is benchmarked in terms of what prices we should pick? How do we determine that? Is it to do with imports or it has to do with something else?
Tejas Shah: There are many parameters. Whatever the global pri ces is going on, what is the import offers receiving in Indian market, at what price import is receiving in Indian market, how is the Indian demand, what the customer quantity lifting, there a re all the parameters we are going through and reviewing at the time of pricing.
Vaibhav: Got it. Understand. And apart from TDI for our oth er, let us say two major chemical products, if you can help us understand, how do you look at p rofitability over next one year or two year or maybe six months? How do you see spreads moving for the next two products apart from TDI in chemical division?
Tejus Shah: We may see improvement in the next quarter because normally in India, H2 demand is going to be improved. So, we hope the prices may also improv e along with the market.
Vaibhav: Got it. Understand. That is it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Ni rav Jimudia from Anvil Wealth. Please go ahead.
Nirav Jimudia: Thanks for the opportunity again. Sir, just wanted to understand more on the fertilizer part, like you mentioned that we fall in a category of group w here a coal-based urea or the urea is produced through ammonia through coal-base. So, if my unders tanding is correct, we have been entirely on gas for our ammonia production for the urea or h ow is the situation here because possibly I would have missed out something in between for our conversation. So, if you can help us highlight that.

D. V. Parikh: Urea has two components. One is feed and fuel. As far as feed is concerned, it is 100% on gas. As far as fuel is concerned, we have a fuel mix bot h of gas as well as coal. This is where the coal comes into picture.
Nirav Jimudia: Correct. And normally through gas, we produce clos e to around 3,70,000 tons of ammonia, right?
D. V. Parikh: You can take the capacity which we use for the pur pose of ammonia production. And the spec

ific
consumption of ammonia in urea is 0.58.
Nirav Jimudia: Secondly, if you can just help us understand like what was the production for WNA, CNA, AN melt and formic acid for this quarter and if it is not possible for this quarter, even if you can share for FY'25, that would be very helpful.
Nitin Patel: Was close to 97,000 both plants put together and C NA was close to 30,000 to 32,000 altogether. Formic acid was 6,500. The volumes are less conside ring the shutdown.
Nirav Jimudia: Sir, 97 you mentioned for WNA and CNA put together ?
Nitin Patel: No, we have 2 WNA plants and 4 CNA plants.
Nirav Jimudia: Okay, so 97,000 was for WNA, 32,000 for CNA and 6, 500 for formic acid.
Nitin Patel: These are approximate figures missing the last thr ee digits.
Nirav Jimudia: Correct. And sir, two more things here. If you can share the ammonia production through oil and AN melt production for Q1?

Nitin Patel: See, ammonia production through oil is around 47% and from gas is around rest 53%. We had a total ammonia production of 1,38,000 out of which close to 81,000 was gas and balance oil.
Nirav Jimudia: And AN melt sir?
Nitin Patel: We had close to 37,000 AN melt.
Nirav Jimudia: Last, just a verification. After this shutdown, th ere won't be any need for further shutdown for the rest of the year, is it a correct assumption to make?
Nitin Patel: Yes. It is expected there is no plant outage.
Nirav Jimudia: Got it. Thank you so much, sir, and wish you all t he best.

Nitin Patel: Thank you.
Moderator: Thank you. As there are no further questions, I wou ld now like to hand the conference over to the management for closing comments.
Rajesh Pillai: Yes. This is Rajesh here, Company Secretary. Thank you to all the participants for joining this investor call. I would also like to express my grat itude to the moderator as well as Anurag Services LLP for their support in organising the ca ll. Thank you. So we close this call. Thank you.
Moderator: Thank you. On behalf of Gujarat Narmada Valley Fer tilizers and Chemicals Limited and Anurag Services LLP, that conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

No. GNFC/Transcript/LODR
November 18, 2025

Dy. General Manager
BSE Limited
Corporate Relationship Dept.,
1st Floor, New Trading Ring,
Rotunda Bldg.,
PJ Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Code: "500670" The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
C-1, Block - “G”,
Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 051
Symbol: "GNFC"

Sub.: Transcript of Investors / Analysts meet through Con ference Call.

Dear Sir/Madam,

We had vide our letter dated November 04, 2025 inti mated the Stock Exchanges about the schedule of Investors / Analysts meet through C onference Call on Thursday, November 13, 2025 at 04:00 PM (IST) through Confere nce Call.

We send herewith a copy of Transcript of Investors / Analysts meet through Conference Call which took place on Thursday, November 13, 202 5 at 04:00 PM. The said transcript along with the audio is also uploaded on the Company's website i.e. www.gnfc.in

We request you to kindly take note of the above.

Thanking you,

Yours faithfully,
For Gujarat Narmada Valley Fertilizers & Chemicals Limited

Rajesh Pillai
Company Secretary & Compliance Officer

Encl.: As above

“Gujarat Narmada Valley Fertilizers and Chemicals
Limited
Q2 FY '26 Earnings Conference Call”
November 13, 2025

MANAGEMENT : M R. D.V. PARIKH – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER – GUJARAT NARMADA VALLEY
FERTILIZERS AND CHEMICALS LIMITED
MR. NITIN PATEL – EXECUTIVE DIRECTOR – GUJARAT
NARMADA VALLEY FERTILIZERS AND CHEMICALS
LIMITED
MR. PANKAJ PUROHIT – EXECUTIVE DIRECTOR –
GUJARAT NARMADA VALLEY FERTILIZERS AND
CHEMICALS LIMITED
MR. RAJESH PILLAI – COMPANY SECRETARY AND
COMPLIANCE OFFICER – GUJARAT NARMADA VALLEY

Moderator: Ladies and gentlemen, good day, and welcome to Guja rat Narmada Valley Fertilizers & Chemicals Limited GNFC Conference Call for Q2 FY '2 6 Earnings. This call is being hosted by Anurag Services LLP on behalf of GNFC Limited. From the management, we have Mr. D.V. Parikh, Executive Director and CFO; Mr. Nitin Patel , Executive Director; Mr. Rajesh Pillai, Company Secretary and Compliance Officer; and other senior members from the management.
As a reminder, all participant lines will be in th e listen-only mode and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during the conference call, please signal an operat or by pressing star then zero on a touchtone phone. Please note that this conference is being re corded.
I now hand the conference over to Mr. D.V. Parikh, Executive Director and CFO. Thank you, and over to you, sir.
D. V. Parikh: Thank you. Thank you, Anurag Services, for holding the call, and good afternoon to all the participants to this conference call for Q2 and H1 FY '25-'26 of GNFC. Aside from the names given by the organizer, we are accompanied by our c olleagues from IP Industrial Product Marketing, Fertilizer Marketing, materials manageme nt as well as there is one more Executive Director, Mr. Pankaj Purohit, who also looks after portfolio, including information system department, safety, etcetera. So, we are seven peop le in the call. And you may direct your question to - depending upon the subject to respect ive. They will identify themselves and then respond to the relevant question.
Now Company has already shared yesterday evening, apart from financial results, the press release and investor presentation. You all must hav e a chance to go through the same. I will touch upon some of the aspects of what is there and what is not there as well. We will touch first the business update and thereafter touch the part o f both operations and financial aspects of the company for Q2 as well as H1.
In terms of the business update, as you know, yest erday, the Board has given a go-ahead for the long-awaited project of Ammonium Nitrate Melt II ha ving a capacity of 163,000. This project is a downstream project for which upstream is alrea dy approved sometime August last year. And the effort is to coincide the timing so that d ownstream products take care of the upstream production part of this. With this, the company has a pipeline of INR2,800 crores worth of the capex. Broadly, there are four capexes which are on going currently. One is the AN melt, which is roughly INR450 crores. Another is weak nitric ac id which is INR1,420 crores. Third is the conversion of power and steam plant at Dahej, which is INR613 crores. And there is an expansion of ammonia loop, which is INR331 crores. So, all taken together, it comes to a little above INR2,800 crores of the investment.
Aside from this, the company is actively consideri ng to more investment that is bisphenol A and polyol, which has building block required in terms of propylene and ethylene. There will be some merchant sale of the captive products as well apart from the final products in the market. And these are the import substitutes as such. Yeste rday, after the results are declared, there is one more development in terms of the antidumping du ty.

We have the antidumping duty across various region s outside India. The update is in respect of a few origins where the government has recommended for extension of this antidumping duty by another 5 years. So hopefully, this -- from the date of announcement will be 5 years. So up to 2030, somewhere, we expect these duties to be op erative.
The main countries where these duties are applicab le - antidum

ping duties are applicable are
European Union, EU, Saudi Arabia, Middle East and T aiwan. These are the four origins where this duty is applicable. And the duties have differ ent structure depending upon the country of origin and the country of exports.
The third development is on account of this fertil izer and nutrient-based subsidy related thing where government has revised the rates. This time, it is upward revision and company stands to benefit on a per metric tonne basis of roughly INR8 72. As you know, the government guideline restricts the profits from a reasonability perspect ive up to 10%. So -- but then this will help in case any raw material price increases happen. So th at can be absorbed well apart from making the product attractive in the market.
In terms of other developments, there are like fin ancial and operations part of it. Operations, we

had a smooth quarter, barring some small outages bo th at Bharuch and Dahej, which impacted to some extent the volume. But by and large, the TD I production as well as the CNA production has helped to keep it up with the run rate on the - - both production and sales side. In terms of the financial aspects, while the results are with y ou, the improvement mainly comes from reduction in the input costs as well as improvement in volumes like of the products we discussed.
From a business environment perspective, there are effects on some of the products where because of this sanction part, we are facing the is sue. One of the product is acetic acid where the key input feedstock requirement is methanol, so whi ch is having certain aberrations in terms of availability as well as the cost at which it is ava ilable.
That is impacting. The second aspect, which has no thing to do with sanction, but something to do with the larger volumes of import is that of ani line. So aniline, not only the volumes are impacted, but the margins are impacted. So these ar e the two products where there is severe bidding.
On the greener side of it, there are 3 products wh ere the improvements have been quite visible is one is the weak nitric acid, second is the AN Me lt and third is the technical grade urea. Aside from this chemical products, there is a better volu me and margin in case of product, which is a complex fertilizer, the only fertilizer we manufact ure, it is ammonium nitrophosphate.
Going by the balance sheet, P&L and cash flow, tak ing you through this, there are no major changes in the balance sheet, except you may see so me major change in cash and bank balances that is because of the dividend payout and the amou nt going into the work in process, which has increased by a factor of roughly INR350 crores or s o.
And third is the maturity of the bank deposits. So that has given reduction from a level of roughly INR2,300 crores to INR800 crores or so in terms of the cash flow. In terms of balance sheet,

there are no major changes except the increase in w ork in process and the reduction in cash and bank balances we discussed.
Government has been quite consistent in giving the subsidy and the net subsidy outstanding as at 30th of September is roughly in the range of INR 290 crores, INR288 crores to be precise.
Now with this, I end up my opening remarks and leav e the call back to you for any question and answer. Thank you very much.
Moderator: First question is from the line of Nirav Jimudia fr om Anvil Wealth.
Nirav Jimudia: Congratulations on a very good set of numbers. Sir, I have a few questions to ask. Sir, first is on the AN Melt side, like with this 163,000 tonnes of additional capacity, is it a correct number that our capacity after this would be closer to around 3 63,000 tonnes?
D. V. Parikh: I'll answer that. See, the current capacity is 175, 000 metric tonnes per annum. And we have two streams of AN Melt. This at 163,000

will add up ano ther 94% of the capacity. So 175,000 plus 163,000, just in the number we are looking at in te rms of the total availability of AN Melt when it starts around July '27.
Nirav Jimudia: And sir, in this AN Melt with this additional line, is there any plan to produce that LDN also? Because in last interactions in our earlier calls, you were telling that predominantly, we are into AN Melt and to some extent, HDN also. So are we tak ing up the LDN also this time with this expansion? Or this would be limited only to AN Melt and HDN?
D. V. Parikh: This is pure melt form, and there is no hard form p rilled kind of AN Melt, which is on the horizon. We examined this with respect to what addi tional premium we are getting in the market with respect to the additional capex and it did not make sense. And while going again for the melt kind of a product, it got elongated from Augus t '24 to this time. Fortunately, it is more or less overlapping each other, the upstream and downs tream is being taken care.
Nirav Jimudia: Correct. Correct. So predominantly, everything woul d be more or less related to AN Melt only, right?
D. V. Parikh: AN Melt. Yes.
Nirav Jimudia: Sir, second question is on the recent price increas e in the ammonia globally and also in India. Sir, what we also observed is that in some of the p ockets, even the WNA prices have also started seeing the price increases in commensurate with the ammonia prices. So if you can just help us explain in terms of whether in India also the price s of WNA and CNA started moving up as against what it was in September, A? And B, also, i f you can just help us understand the market for WNA and CNA in India.
D. V. Parikh: Okay. So we request our IP marketing head to respon d on this.
Tejas Shah: I'm Tejas Shah from IP Marketing. Yes, you are righ t, after the -- these are the months when the WNA and CNA pricing are moving slightly up. But you might be knowing there are extended rains in all over the India and nitric acid majorly used in calcium nitrate sector, potassium nitrate,

sodium nitrate, all nitration reactions. And import s are also coming in a big way in Indian market. So the nitric acid price is not moving up just beca use of the reduced demand due to extended rain, nitric acid prices is not moving up with resp ect to ammonia prices in international market.
D. V. Parikh: And you are right, ammonia prices have moved up, wh ich is what we witnessed while we go for sourcing the ammonia.
Nirav Jimudia: And sir, let's say for the chemical part of our amm onia since we produce it through oil, is our entire requirement of ammonia being taken care of f or WNA or AN Melt through our own captive production or we need to also go outside fo r sourcing the ammonia for our chemical business?
D. V. Parikh: Yes. Once the plants are up and running, these two expansions, even after considering the ammonia expansion of 50,000 metric tonnes, we will be short of roughly 35,000 tonnes of ammonia, which we'll have to manage through the bou ght-out ammonia.
Nirav Jimudia: But currently, there is no shortfall as far as the situation stands? Speaker.
D. V. Parikh: Some shortfalls is still there we have started oper ating both the resources which we have like in terms of gasifiers-based production. But still ther e is some shortfall, which we are buying from the market.
Nirav Jimudia: Got it, sir. Sir, next question is on -- if you can just help us walk through in terms of the production volumes for WNA and CNA, AN Melt and TDI for this quarter, second quarter?
Nitin Patel: Production volume -- I'm Nitin Patel, Executive Dir ector, Operations and Maintenance. The production volume and onstream factor in Q2 is high er than Q1. So production volume has improved. And if I tell you roughly figures.
Nirav Jimudia: Yes, yes roughly is helpful.
Nitin Pa

tel: Yes. The WNA production is in Q2, 67,000 plus 30,00 0 in second plant. So roughly 97,000 production WNA production.
Nirav Jimudia: Okay. For CNA?
Nitin Patel: And CNA is close to 33,000 roughly.
Nirav Jimudia: AN Melt and TDI also, if you can give some rough nu mbers.
Nitin Patel: AN Melt is 73,000 roughly. And TDI, we have 2 units .
D V Parikh: He is asking for Q2.
Nitin Patel: You are asking for which period?
Nirav Jimudia: Q2. So possibly Q1 AN Melt was 37,000 tonnes, if I' m wrong.
D. V. Parikh: Yes, yes. So it is 36,000 in Q2. And CNA is 40,000. Weak nitric acid is 113,000.

Nirav Jimudia: Okay. Got it. And sir, TDI last quarter was like cl ose to around 16,000 tonnes. So what was the number for Q2?
Nitin Patel: Q2 is around 15,600 roughly.
Nirav Jimudia: Okay. Got it, sir. Sir, next question is on the cos t savings, which you were highlighting earlier in terms of appointment of A.T. Kearney and they we re under several stages of working. So has anything finalized here in terms of the operation p art? And also, if you can share that if some benefits of the cost savings have already started a ccruing to us. Any thoughts here, sir?
D. V. Parikh: Yes. We covered last time that A.T. Kearney was app ointed. Their appointment has been at that point in time for Phase 1. Now at the end of quarte r 2, they have been appointed for Phase 2 to realize those kinds of savings and the help is bein g taken. They have identified a few areas for achieving this saving from procurement to operation s, meaning in steam power operations and digital deployment-based saving, etcetera.
And there is a number which runs into a couple of h undred crores, which we expect on a per annum basis where both the teams, GNFC team and A.T . Kearney is working on. So -- and since the assignment started effective more or less somet ime early October, so we are -- we will see the traction in time to come, a couple of quarters. They are appointed as of now for achieving this over 12-month period when we are talking about the annualized saving.
Nirav Jimudia: So possibly second half of next year, we should sta rt seeing most of the benefits coming through the P&L.
D. V. Parikh: Yes, by that time, yes, it is expected that the sav ings should flow to the P&L.
Nirav Jimudia: Correct. Sir, one more question before I again jump back in the queue. Sir, in your opening remarks, you mentioned that we are evaluating BPA a nd polyols. So like BPA, you already have a forging availability with us but the phenol has t o be procured. And for polyols, I think propylene, which is again a shorter material in Ind ian market given the kind of the value chain presence it has. Any thoughts here, sir?
Because when we see polyols, there is a lot of dump ing into India so far as polyols is concerned. And BPA generally most of the players, what we see is more of an integrated plant from phenol,

bisphenol or let's say, polycarbonate. So this is t he chain where most of the people operate in. So we have picked in between the value chain produc t. So any thoughts here in terms of going ahead with or let's say, evaluating these two produ cts?
D. V. Parikh: You are right, first of all. The chain is ending up to polycarbonate. However, in case of polycarbonate, the biggest challenge is sourcing th e technology. And while around 6 to 7 options were evaluated, primarily 2 options look very attra ctive, which are import substitute, which is BPA and polyol. The building block for this is prop ylene and ethylene aside from feedstock of benzene. Phenol, we will have an upstream productio n line of phenol as well. And there is a material balance done from phenol to bisphenol A an d polyol.

So -- and the current projections are this market is grow

ing at the rate of roughly 7% both. Some is at 7.2%, the other is at 7.6 . And we are in the process of doing two things. One is a detailed market survey for this. And the second is working o ut the TEFR, the feasibility part of it. Prima facie the feasibility, which is indicated by is A.T . kearney is leading to a in principle decision to pick up these two projects.
But more we will come to know over a couple of qua rters down the line. The expected capex of both taken together might work out to the range of roughly INR7,000 crores to INR8,000 crores as of now, which is a ballpark figure. TFR will tel l us more about depending upon the technology and other aspects involved as to where it can go.
Nirav Jimudia: Correct. And this would also include the upstream p henol plant, INR7,000 crores to INR8,000 crores, right?
D. V. Parikh: Yes.
Nirav Jimudia: Because I think BPA would find another application in terms of epoxy because that's also a short material in most of the epoxy play.
D. V. Parikh: That is a predominant application.
Moderator: Next question is from the line of Atur from ICICI P rudential Mutual Fund.
Atur: So just two questions. One, on the balance sheet, y ou mentioned some FD maturities. So can you just highlight like cash flow mentioned you've invested in some deposit or something. So can you just highlight where we have invested that money?
D. V. Parikh: See, there are three components to that reduction. If you see the balance sheet summary, which we have given, both in the investor presentation as well as press release, there is a net change of roughly INR1,800 crores Okay. First part is the div idend distribution, which we did at the rate of INR18 per share. And we carry roughly INR14.6 cr ores worth of shares. So that's the one payout, major payout.
The second major payout is around close to INR375 c rores of the capex, which is incurred during the quarter. And the third, the remaining is the ch ange you will see in the other assets of roughly INR1,000 crores, which is a switch back from the fi xed deposits to some other forms of investments. So this is how it reconciles to that c hange of INR1,800 crores.
Atur: Yes. No. So what exactly would be these investments ? Like are these bonds or deposits or just wanted to understand.
D. V. Parikh: See, okay, depending upon the available rates, as o f now, we have parked with GSFS, where the rates are better than the other options.
Atur: Okay. Got it. Fair. And sir, secondly, on the two n ew under consideration projects that you highlighted. So, for now, basically, the capex amou nt you indicated, including phenol, etcetera. So those -- as of now, the Phase 1 is over. So that means in terms of newer products broadly you

are done? Or do you think you can look at further p rojects as well? Or right now, we would make sure that the plate is full in terms of new ca pex?
D. V. Parikh: No, it is not like that. See, like in the last call , we said we have identified a chest size of roughl y INR15,000 crores, okay. And we are prioritizing in terms of what is possible from a financial standpoint and from the availability of technology point of view also. For example, we were also considering to look at as a product, MDI. But the b iggest challenge in this kind of product is that of a technology license.
So even if it is lucrative and we have a chest to d o that, that's a first hurdle to cross and which is a very -- the most difficult hurdle to cross. So we will keep on looking at the various options. And as you know, aside from the cash, we also have regular accruals. And borrowing is also not a problem as long as the project profile is really attractive in terms of the return. So is that -- ha s that answered your question? Or you have anything m ore to be answered?
Atur: No, broadly, -- got it, sir. So basically, you're s a

ying these two projects are the one where you
have now finalized the -- like you can easily get t he technology and broadly the products, et cetera, now you will do the market survey and looks to be -- this can be done is what you're trying to tell us. But that doesn't stop us from go ing into newer products if we get the tech tie-up, etcetera,.

D. V. Parikh: Yes, yes. And also, there is a phasing. See, there are certain identified products also where a phasing is done, whether it is good to go as of now or it is good to go after some time. So there is both identification of the project, which is imm ediate to be taken up and there is a phasing to be taken up for various -- I mean, various governin g consideration, not because of the capex as such.

The only thing which we dropped because of the cape x size is that of a cracker one, which we earlier used to quote. But there, the investment is very heavy, and we are not from like refinery side. So we dropped that idea of going along with t he cracker kind of downstream basket of products.

Moderator: Next question is from the line of Vivek Jalal, an I ndividual Investor.

Vivek Jalal: Am I audible?

D. V. Parikh: Absolutely, sir.

Vivek Jalal: While going through the recently declared these fin ancial statements, there is a statement in the notes to account that the company has received a de mand notice of nearly INR20,000 crores from Department of Telecommunication. So just I wan ted to know that is this a disputed demand? And if yes, then what is the status where t his case is going at the Supreme Court or the appellate tribunal. And what the merits of the case because the demand is nearly INR20,000 crores more than the market cap.

D. V. Parikh: You are right. First of all, this note is not appea ring in quarter 2 only. It has been appearing since many, many years. The demand of INR20,000 crores, y ou are referring to more than -- the exact

demand, which you have mentioned is INR21,370 crore s in the notes to accounts. And that too pertains to a year of 2021. And we company feels we have a strong case. And the -- as of now, the matter is at the TDSAT, the appellate tribunal level.

The various decisions which have come in respect of this kind of demand is for the hardcore telcos and not for people who has a very miniscule kind of a business, whereas the core business, which forms more than 99.99% of the revenue coming from outside the purview of the telecom business. So we feel we have a very logical case an d there is nothing to worry about this. There are no further developments after 2021. No further notices, no other developments.

Vivek Jalal: But the case is still pending at the tribunal, righ t?

D. V. Parikh: Yes.

Vivek Jalal: Because Tribunal has not disposed of that case.

D. V. Parikh: But that is not in our hand. That takes its own cou rse of time.

Vivek Jalal: Any judgment, similar judgments in our favor that t he company which is not directly involved in telecommunication business would not be liable t o pay such taxes and penalties and interest. Any such cases has been settled till now?

D. V. Parikh: There is one settled. But again, it is -- it has la nded at Supreme Court level. So these are litigatio n prone areas, okay. And we don't know what will be t he final view. But the point is it's a very, very remote and unreasonable view to take that this INR20,000-plus crore would materialize because the facts of the case are not supporting th e ground realities.

Moderator: Mr. Jalal, does that answer your question?

Vivek Jalal: Yes.

Moderator: We have our next follow-up question from the line o f Nirav Jimudia from Anvil Wealth.

Nirav Jimudia: Sir, on the capex part, since WNA ammonia and power plant were the earlier announced capex, if you can help us explain out of the total amount of, let's say, INR2,400 crores for al

l these 3
projects put together, how much we have spent till second quarter of FY '26?

D. V. Parikh: Okay. I'll tell you about the committed capex on al l 3 fronts. On the power project, which we are referring to at Dahej, it's a project size of I NR613 crores. INR536 crores are already committed on this project. The other one, which is ammonia makeup gas loop, the project size is INR331 crores, INR306 crores are already committ ed. And the fourth one is the weak nitric acid 3, where the project size is INR1,420 crores. And the commitment is INR1,128 crores already done.

Nirav Jimudia: Okay. Okay. Correct. Sir, second question is on -- in one of the presentation slides, you have mentioned that there is a possibility of fixed cost revision in urea by the end of this calendar year. So have the discussions with the government h ave further gone up in terms of those fixed cost revisions? And where are we in terms of gettin g a favorable outcome out of our discussions with the government?

D. V. Parikh: This month, there have been two meetings. One is so metime in the early November. And second meeting took place just today itself. The first mee ting was with Department of Fertilizer. Today's meeting was with Department of Fertilizer and Chief Adviser cost. And in both the meetings, the issue of industry is that the criteria applied needs a revision.

Although in our case, whatever we have come to kno w from public domain and other sources, there is an upward revision. But that revision, we are fighting for that revision to go upwards because the basis are still not logical. This is on the fixed cost part. On the energy part, we came to know quite some time back that there is going to be a revision.

But somehow the internal circles in Government of India, they have linked to both this that both need to be announced together. So even the energy r evision has not happened. The pulse which we got out of the meeting with Department of Fertil izer is that it has already gone for approval. So let's see when it comes.

And it is favorable, whether it is fixed cost revi sion or the energy revision, it is favorable in cas e of GNFC on both these accounts. As far as energy is concerned, it is quite favorable. As far as fixed cost is concerned, we are trying hard for upw ard revision, although revision is over and above what we are currently getting. Quantification is not being indicated because these are provisional numbers known to us.

Nirav Jimudia: Got it. Sir, so let's say, by whatever confidence w e are getting in terms of the numbers from the authorities, would it help us to wipe out the losse s from the fertilizer segment with the kind of numbers what we are looking at or whatever maybe, l et's say, the ministry is currently working on and the indications what we have got?

D. V. Parikh: Wiping out is not going to happen, but there is goi ng to be substantial reductions in the losses being reported in the fertilizer segment. Aside fro m this, there is also a plan to work out something within the fertilizer, which has been the active discussion point in the meetings at management level. So that might contribute in time to come, like what other companies are doing.

Nirav Jimudia: Sir, some bookkeeping numbers again. So if you can help us understand or tell us what was the total ammonia production in Q2? And if you can bifu rcate between gas and oil, that would be helpful.

Nitin Patel: Total ammonia production was 138,210. And roughly 6 5% is gas based for neem-coated urea.

Nirav Jimudia: Correct. Sir, last bit from my side. You touched up on TGU as one of the contributor to the improved profitability this quarter. So if you can just help us understand in terms of our capacity, is it is fully utilized currently? And have we seen the price improvements in recent months for TGU?

D. V. Parikh: Okay. The technical grade urea, we operate basicall y after prioritizing the neem-coated urea given the sensitivity of serving the farmer communi ty. So that's the first priority from the company side, from taking into insistence the Depar tment of Fertilizer side also. The rest is produced in the form of technical grade urea. Becau se of the various modifications on the oil-based ammonia side, the overall quantum of ammonia has helped increase the overall production of urea. So that is helping the technical grade ure a.

Number two, on the pricing front, of late, there i s a pricing pressure in case of technical grade urea. But with this revision, which we witnessed in case of ammonia, there could be an opportunity. So far, the opportunity is not witness ed but then we look forward to this opportunity if international ammonia prices go up.

Nitin Patel: And Niravji, I make a correction. I told you the am monia production figure of 138,000 that was for Q1, but the Q2 figure is 155,000.

Nirav Jimudia: Okay. And sir, would there be any shutdowns or main tenance-related work in second half? Are we anticipating anything? Or we would continue to o perate our plants fully even in the second half?

Nitin Patel: As of now, the plan is to continue to operate unles s some unforeseen breakdown happens in the plant and machinery.

Nirav Jimudia: Got it. Sir, last bit from my side, you touched upo n on the methanol part. With the recent Iran sanctions by U.S.A., we have seen the domestic pric es moving up. So does it provide any chance to us to restart our methanol production for our ac etic acid capacity? Or we have to continue to purchase it from the outside market. So any economi cs are currently working out for our methanol production to get started?

D. V. Parikh: See, in case of methanol, there are realities like there is asymmetry between acetic acid and methanol prices. Acetic acid is highly under pressu re for pricing in spite of methanol being its

feedstock. Secondly, methanol, when we buy from out side versus what we can, we have a gas-based facility and the gas prices currently prevail ing are still higher, and that is not making it amenable to captive production as of now.
So we buy it and at times do witness spikes. It is not about the sanction on Iran. That has happened way back. It is about sanctioning the impo rters who are -- who have been buying from Iran. So that is where the second order impact, whi ch has come into operation. And that has strayed a few of the vendors away because they are -- they say they are facing some difficulty.
So that's the situation on methanol.
Moderator: Next question is from the line of Vivek Jalal, an I ndividual Investor.
Vivek Jalal: After hearing from you that the demand of DOT Depar tment of Telecommunication does not stand its merit. I just read it, yes, it was true t hat the demand does not stand merit and DOT has withdrawn demands against many PSUs like GAIL and P ower Grid and Oil India. Just I wanted to know that when DOT has withdrew its demand again st other PSUs, not why us means they

have already withdrawn demand of other PSUs, why no t they have withdrawn the demand of GNSU?
D. V. Parikh: Okay. Technically, they are real PSUs and we are jo int sector company.
Vivek Jalal: So that's the difference.
D. V. Parikh: That's a sort of a difference which has played out. We represented that no matter whether it is joint sector, predominantly, we are a state PSU kin d of thing. But people have their own yardstick. The other side has its own yardstick to look at the company.
Vivek Jalal: But the company, you all are confident that this de mand will not materialize because of that PSU thing, the Supreme Court intervention that.
D. V. Parikh: No, we

are confident based on the fundamentals of w hat business we used to do and the proportion of the business thereof.
Moderator: Next question is from the line of Pavan Kaware from Nayan M. Vala Securities.
Pavan Kaware: Congratulation on good improvement in the margin. S o my question was on if you can repeat the H1 volumes for WNA, CNA, AN Melt and TDI?
Nitin Patel: Yes. H1 volume for WNA is 146,000 and 64,000 in sec ond plant. And CNA is around 70,000.
Pavan Kaware: And TDI, AN Melt?
Nitin Patel: TDI is around 30,000 -- both plants put together.
Pavan Kaware: Okay. And acetic acid?
D. V. Parikh: 73,000.
Nitin Patel: Yes, acetic is 73,000.
Pavan Kaware: Okay. And we have given a guidance of around 67,000 for TDI. So we are confident in achieving the same?
Nitin Patel: The plant had some technical issues, which are sort ed out. So we had a couple of breakdowns and now plant is running well back on stream. So to that extent, there would be some deficit, and we expect to cover it up in the H2 to the exten t possible.
Moderator: Next question is from the line of Atur from ICICI P rudential Mutual Fund.
Atur: Sir, just one question on -- like given our capex p lan, et cetera, any change that we would see in our payout policy or buyback policy, which we have been doing pretty well. So any thoughts that you think which will be in the best interest o f the company and how you would think about it?

D. V. Parikh: Okay. The Government of Gujarat guidelines, which w ere originally issued in '23, April '23 and revised recently also, I think, in July '25, it's p retty comprehensive and clear as to what are the factors to be considered for payout in terms of div idend, for buying back the share, for split of the share and for bonus of the share. So depending upon the situation prevailing in the company, those decisions are taken. And actually, these deci sions are falling within the purview of the Board based on the facts of the case presented. So it is premature for us to comment particularly on the payout policy as such.
Moderator: Next question is from the line of Pavan Kaware from Nayan M. Vala Securities.
Pavan Kaware: One last question on the revenue mix. Do TGU, TDI a nd AN Melt lead over the sales in H1? Like they are the major contributors to us in H1? A nd what was their contribution?
D. V. Parikh: You want contribution in terms of rupee or the shar e or revenue within the...
Pavan Kaware: Share of revenue or in terms of sales also fine.
D. V. Parikh: Okay. Share of revenue of TGU and...
Pavan Kaware: I believe TGU and TDI and AN Melt are top contribut ors.

Tejas Shah: Compared to -- if we compare with Q1, the AN Melt i s almost same. As far as the contribution is concerned, it is slightly downward. Second one i s TGU. TGU sales is good compared to previous quarter around 7%. And contribution-wise, it is also good around 8%. And third thing, TDI, TDI also the sales is around 40% high compared to Q1 and marginally around 5% high as far as the contribution is concerned.
Pavan Kaware: And in terms of H1, what was the contribution from the three products?
Tejas Shah: Compared to last year H1?
Pavan Kaware: Yes, and specific to the H1 '26, what was the perce ntage?
Tejas Shah: If you compare the H1 of previous year, TDI sales i s 35% higher and contribution-wise, it is 9% lower. AN Melt sales is slightly down compared to p revious year. It is around 15% lower. And contribution-wise, it is almost same. The TGU sales is also almost same compared to previous year. And contribution-wise, it is 7% higher compar ed to previous year.
Moderator: Next question is from the line of Vineet Rathi an i ndividual investor.
Vineet Rathi: Am I audible?
Moderator: Your voice is very low.
Vineet Rathi: So am I audible now?
Moderator: Yes, please proceed.

Vineet Rathi: Yes. So actually, this my specific to the managemen t overall, very generic questions, two questions are there. So one is on overall basically when we say a lot of investments we have done, which are basically nonoperative investment i n various government bonds, holding of different shares of various other companies, I mean to say within Gujarat GSFC and all those shares.
So if we see overall income and to the extent of i nvestments what have been done, the income is very low. This has been going on historically. I t's not that anything new has happened. But -- and I feel that I mean to say that there has to be certain rush there, rush in the management that so much holdings we have on the bond security.
Why can't we invest in some good business ventures and lot of opportunities which are coming. And second question is also connected to this, abou t what is the update on the -- I mean, I heard it a year back that we have appointed some manageme nt consultants for some new businesses and all, but we are not seeing any kind of progress in that.
D. V. Parikh: Okay. Coming to your first question about the inves tment. See, the investment in other Government of Gujarat companies is a matter of deci sion which is taken by Board from time to time, okay? And these are strategic in nature. If y ou see other PSUs also, they also have holdings. Let me give you an example.
We hold, let's say, some holding in GSFC. We hold some holding in GSPL. We hold some holding in Gujarat Gas. Let's talk about the CPSU. Petronet LNG, okay, or BPCL. BPCL has also invested in a venture called Petronet LNG and a few other companies. If you take GAIL, same is the case. So there are certain decisions wh ich are of a strategic nature.
And if you see, it is not only the dividend part o f it. They have grown substantially in terms of their payout in the sense, it's an unrealized payou t as of now, which is a capital appreciation we have seen. If you look at the cost of investment ve rsus the fair value, which is there on the balance sheet, it is substantially higher.
And if one calculates in terms of the rate of retu rn, the capital appreciation is significantly highe r, whether it is the investment in GACL, Gujarat Gas, GSPL or even GSFC. This is how other companies are also doing. As far as the investment in GSEC and other parties is concerned, you take any nifty company.
Let me give you the example of a company like Reli ance or you can take even the CPSU. We have analyzed the broad spectrum of what all they i nvest in. Reliance, for example, has thousands of crores invested in G-SEC. They have th ousands of crores in bank fixed deposits. They have invested in other businesses, which are t heir own expansionary businesses. And this is evident not because I am saying it is evident fr om their balance sheet.
You take any CPSU, whether -- let me give you the example of a Petronet LNG. They have roughly INR8,000 crores on their balance sheet, whe re are they invested? Fixed deposits. So -- but at the same time, they have certain plans. They have a capex plan. They are going for a new jetty at Dahej, that's they are going for a new ter minal in Orissa, so on and so forth.

Depending upon the capex plan, they have a plan to utilize and not immediately deploy. So there is nothing wrong with it. And if we are thinking ab out a chest size of INR15,000 crores, this will be utilized in time to come in a very short time to come. But the key thing is identifying a reasonable opportunity to invest.

Vineet Rathi: Right now -- so of course, the fundamentals and the approach I fully respect on that part. There is nothing to counter on that. The more important t hing is on the communication side. Like, okay, I mean to say that, okay, these -- like right n

ow, when I say that almost 40% of the overall market cap what we have in these are invested in th ese kind of low -- very low yielding assets right now.

So I mean to say it creates a kind of thing that, o kay, fine there is -- that's why our return on capital employed when we compare to other peer grou ps and other are very low, very low. And Definitely, as an individual investor and definitel y, we do some investment like I have been holding this now for more than a year, this particu lar thing. We do have in mind that, okay, certain things, you will be done, but it's very, ve ry slow, sir. It's very, very slow.

I mean to say, I don't know when all these will ma terialize. And when we see other peer companies, other peer groups, they are running at a very handsome valuation. So somewhere you feel that -- I don't know what badly some analy sis you did. So that raises a certain -- basically on the conduct that okay, fine, the communication, okay, what expansions are you doing and certain time lines also with a dedicated plan that, okay, fine, these are the time lines, these are the things. So those are lacking, those are lacking .

D. V. Parikh: Okay. If you see what is there in the public domain for all investment, there is a time line given. of what are the projects where these are going to g et completed. As far as your question on valuation is concerned, valuation, okay, normally, a private player is not comparable, whether it is a state PSU or a central PSU, and that is the ca se across India.

You take anyone, you take ONGC, you take Petronet, you take BPCL, you take any company, IOCL. So it is not a sort of exception. That's the way the market is designed. I mean we can't do something like a private player does, okay? And at the same time, the major decisions like capex are supposed to be slow because they need to be car efully examined because once you commit, it's a permanent commitment of a lifetime almost.

So okay, if you hold it for a year, you might feel a brunt of it. But then this is the way the whole capital market in India is working. So what's wrong with that? In terms of communication, we would request you to go through what is available i n the public domain. It is published just yesterday, and it will give you the time line for a ll capex projects.

Vineet Rathi: Definitely, sir, I will go through, as you have men tioned, I will go through in more details. And definitely, if any questions, queries are more or t here I will...

D. V. Parikh: Yes, yes, you are welcome. We have our investor ser vice desk, and you are welcome offline also with any questions.

Moderator: As there are no further questions from the particip ants, I now hand the conference over to Mr. Rajesh Pillai, Company Secretary and Compliance Off icer, GNFC Limited, for closing comments.

Rajesh Pillai: Very good evening. On behalf of the management, we sincerely express our gratitude to all the participants who have joined this con call. And we also express our sincere gratitude to the moderator as well as Anurag Services LLP for facili tating this call. Thank you.

Moderator: Thank you, sir. On behalf of GNFC Limited, that con cludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2026

No. GNFC/Transcript/LODR
February 14, 2026

Dy. General Manager
BSE Limited
Corporate Relationship Dept.,
1st Floor, New Trading Ring,
Rotunda Bldg.,
PJ Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Code: "500670" The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
C-1, Block - "G",
Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 051
Symbol: "GNFC"

Sub.: Transcript of Investors / Analysts meet through Con ference Call.

Dear Sir/Madam,

We had vide our letter dated January 20, 2026 intim ated the Stock Exchanges about the schedule of Investors / Analysts meet through C onference Call on Wednesday, February 11, 2026 at 04:00 PM (IST) through Confere nce Call.

We send herewith a copy of Transcript of Investors / Analysts meet through Conference Call which took place on Wednesday, February 11, 20 26 at 04:00 PM. The said transcript along with the audio is also uploaded on the Company's website i.e. www.gnfc.in

We request you to kindly take note of the above.

Thanking you,

Yours faithfully,
For Gujarat Narmada Valley Fertilizers & Chemicals Limited

Rajesh Pillai
Company Secretary & Compliance Officer

Encl.: As above

"Gujarat Narmada Valley Fertilizers & Chemicals Limited Q3 FY 2026 Earnings Conference Call "

February 11, 202 6

MANAGEMENT : MR. D. V. PARIKH – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER , GNFC
MR. NITIN PATEL – EXECUTIVE DIRECTOR , GNFC

MR. P. K. PUROHIT – EXECUTIVE DIRECTOR , GNFC
MR. RAJESH PILLAI – COMPANY SECRETARY AND
COMPLIANCE OFFICER , GNFC
MR. TEJASH SHAH – MARKETING INDUSTRIAL
PRODUCTS , GNFC
MR. V. BIRADAR – FERTILIZER MARKETING , GNFC

Moderator: Good evening, ladies and gentlemen, and welcome to the Gujarat Narmada Valley Fertilizers & Chemicals Limited Q3 FY 2026 Earnings Conference Call. This conference is being hosted by Anurag Services LLP on behalf of GN FC Limited.

From the Management , today we have on the call Mr. D. V. Parikh – Executive Director and CFO , Mr. Nitin Patel – Executive Director; Mr. P. K. Purohit – Executive Director; Mr. Rajesh Pillai – Company Secretary and Compliance Officer, and other senior members from the management.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. As a reminder, all participant lines will be in the list en-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. D. V. Parikh – Executive Director and CFO, GNFC Limited. Thank you, and over to you, sir.

D. V. Parikh: Thank you. Thank you, Anurag Services, for holding the call . And good afternoon to everybody, all the participants on the call. I am joined by, like it is already informed by my colleagues, but there are two other colleagues from marketing. One is Mr. Tejash Shah, who is from Marketing Industrial Products, and second is Mr. V. Biradar, who is from Fertilizer Marketing side. So any questions on the marketing side, they will take up the questions.

I will give you the broad overview of the business conditions during Quarter 3:

As far as Fertilizer segment business is concerned, it has been stable. There is slight improvement in the NBS rates, so complex fertilizer did well. Urea also did well in terms of the volume. And on the chemical side, it did better on the volume front, which is offset by the pricing pressure in case of most products, except TDI, during Quarter 3.

As far as global and geopolitical issues are concerned, the uncertainty on methanol still continues, which is the main feed into acetic gas, and there are price uncertainties and volatilities, including the part of availability, which is there in case of methanol.

Moving on to the segment performance :

The losses in case of fertilizer have come down. This is mainly because of the unfavorable subsidy freight rates which were booked last quarter, which is not there during the current quarter, aside from the volume of urea. And chemical, more or less, barring f or around Rs. 2

crores difference in terms of the segment is the same. Others, there is a marginal change of Rs. 3 crores . So, if you account for the kind of other income which is normally received during quarter two, which is showing up under other income, the operational income has improved, mainly driven by the volumes in chemical as well as fertilizer.

During the last Board meeting, there are certain capacity -building CAPEX also which are approved. One is the capacity building for the fifth boiler, which is at Bharuch. Expected CAPEX is roughly to the tune of Rs. 480 crores to Rs. 500 crores , current is the estimate. Once we appoint the PMC and detailed exercise is done, we will come to know about the final value of the CAPEX on this. Another is to save on the power cost , there is another CAPEX which is done for the extra line from DGVCL, GETCO, which will enable to valorize g reen power as well as provide stability to the existing operations.

On the balance sheet side, there are no major change, and working capital has been quite under control because of the subsidy

flow. The subsidy outstanding as at the quarter is roughly Rs. 302 crores . In terms of other assets and liabilities, there are no other major changes.

On the project side, all the four projects are on stream, except that of CCPP, which is expected to commission sometime by end March or early April, which is expected to give a net inflow in terms of the contribution. At gross level, it is around Rs. 110 crores . At net level, it is going to generate around Rs. 82 crores , and net of its relevant direct cost.

The rest of the projects, like ammonium nitrate melt, additional capacity for ammonia, as well as weak nitric acid, are on stream. There is a slight delay in case of weak nitric acid, which is recoupable because the critical path activities are not affected. So this is the update on all the projects take n together of Rs. 2,800 crores worth of CAPEX .
As far as projects under consideration are concerned, there are two projects which are there in the public domain, and the examination of which is expected to get completed either in the next quarter or subse quent quarter, after which we will decide about the further progress direction on those CAPEX . So rest of the things we have already shared in the public domain in terms of investor presentation, and results are already on the exchange, aside from the pres s release. So with this, I sum up my introductory remarks and now hand the call over back to the organizer. Thank you very much.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Nirav Jimudia from Anvil Wealth. Please go ahead.
Nirav Jimudia: Hi, sir. Thanks for the opportunity. Good afternoon to everyone. I have a few questions to ask. So first is on the TDI , like when we see the global market, I think we have seen price

improve ment in China also in the European Union side, predominantly the Europe , Covestro , BASF, everyone have raised the prices . So, just wanted to understand from you that, when we see our quarterly presentation, our realization in Q3 was close to around Rs. 168. So if you can share your thoughts in terms of when can we align with the price increases taken by the global players here in India? And also, if you can help us explain, as there is an anti -dumping duty also in place anywhere between $200 to $300, dep ending upon the country of origin , so are we getting any benefit of those anti -dumping duties in terms of the price realizations?
D. V. Parikh: That's it? These are the two questions?
Nirav Jimudia: No, sir. There are plenty, but I thought I should first s tart with the TDI part.
D. V. Parikh: Okay. So on the pricing part, you are talking about catching up with the pricing which is elsewhere outside India. So all the pricing is done on an import parity basis based on the indexes available to us, because that 's the way to keep transparency in the pricing, and that's the way to find questions from any customer. So this is how GNFC operates. It takes its price, calculates the import parity price, and prices its products. At times, it is at a premium. At times, i t is at a discount. For exact premium and discount during the quarter, our colleague Mr. Tejash Shah will respond on that.
The second question is on the anti -dumping duty. Anti -dumping duty, just yesterday we came to know, is extended for another five yea rs on the TDI. So , anti-dumping duty is also taken into consideration for the purpose of arriving at an import parity. I will request Tejash bhai to respond on this.
Tejash Shah: Hello, I am Tejash Shah. You are right. You have seen the data from January o nwards. The prices are in improving trend on a global level. You are right, we have also improved our prices from January onwards. For Q3 is concerned, the prices were suppressed

just because of the
global weak demand. And as Mr. D. V. Parikh said, we are kicking our prices based on the import parity and whatever the TDI receives at Indian ports.
Nirav Jimudia: Correct. Sir, if you can help us understand, what will be the market of TDI here in India? And we have a capacity of close to around 60,000 to 67,00 0 tonnes , put together both the plants. So if you can share the imports which are coming to India?
Tejash Shah: TDI, our market share is around 60%, and the rest is import. If you see the total TDI consumption in foam, it is around 1 lakh tonnes . 10,000 to 15,000 tonnes is going into the system houses, and 1 lakh is the flexible foam that is produced. 60,000 tonnes we are selling in the Indian market. As far as the last year 2024 -2025 is concerned, we have Dahej plant shut down for four months. So in 2024 -2025 , we sold TDI around 50,500 metric tonnes in whole year. At present, we are going ahead, and at present, our sales up to Q3 is 30,000.

Nirav Jimudia: Correct. Sir, also if you can share your thoughts with respect to this trade deal, which has happened with FTA, with EU, and with the U.S. Is it possible for us to do some exports of TDI into those markets, where now we can become competitive because now we have seen even Chinese currency appreciated by 8%, 9% , so that could enable us to have some pricing advantage into those geographies ?
Tejash Shah: First, we have to see what are the advantages we are getting, because as I mentioned, Indian market is growing at the 10% CAGR, and our total production is 65,000 to 70,000 tonnes . So our production, it will b e very easily absorbed in Indian market. Yes, we have to see the

geographical changes because, in the international market we have to compete on a global level
for the pricing front.
Nirav Jimudia: Correct. Sir, also if you can share, like are there any of our products which were in the export
tax rebate where China has removed close to around export tax rebate on around 200, 250
products , so are there any products of ours which qualifies under that list?
Tejash Shah: Our acetic acid is falling under that. So we hope the acetic acid prices will be improved in Indian
market.
Nirav Jimudia: Correct. And even methanol is removed from that list, right, if I am not wrong?
Tejash Shah: Yes, but we are not manufacturing methanol at present.
Nirav Jimudia: Correct. Sir, second question is on, if you can share the production of ammonia in Q3, both
through the gas and oil route?
Nitin Patel: I am Nitin Patel. The production of ammonia in Q3 was 175,000 tonnes roughly. And the break -
up is around 60% is gas , and rest oil -base.
Nirav Jimudia: Okay. And, sir, also if you can share the production numbers for WNA, CNA, AN melt, formic
acid?
Nitin Patel: WNA, both plants put together is 77,000 and 41,000 tonnes , one and two, respectively.
Nirav Jimudia: CNA was?
Nitin Patel: Sorry, WNA 77,000 and 33,000 tonnes , respectively. And CNA is around 8,40 0 tonnes, one;
8,500 tonnes, two; 9,600 tonnes , three; and 12,000 tonnes .
Nirav Jimudia: Total 39,000 tonnes .

Nitin Patel: Total around 38,000 to 39,000 tonnes?
Nirav Jimu dia: Correct. And for AN melt, formic acid, if you can help.
Nitin Patel: Yes. Formic acid is 9,300 tonnes and AN melt is 116,000 tonnes roughly.
Nirav Jimudia: Sorry, how much, sir?
Nitin Patel: 116,000 tonnes .
Nirav Jimudia: For nine months, right?
Nitin Patel: For nine months.
Tejash Shah: I just want to correct the TDI sales figure up to December, it is 47,610 tonnes .
Nirav Jimudia: Okay. So possibly in Q3, we would have produced close to around 32,000 tonnes , if I am not
wrong ?
Tejash Shah: Not in Q3.
Nitin Patel

: Q3 we produced 16,000 metric tonnes of TDI.
Nirav Jimudia: Got it, sir. Sir, your thoughts on, A, the benefits on the operating cost, like last time you
mentioned that A.T. Kearney was appointed and they were about to guide us in terms of the
savings in the operating cost. So when can we start seeing the benefits of those measures being
told by them to implement?
D V Parikh : Okay. A.T. Kearney has initiated its engagement since last October. And so far, they have
worked on a few pr oposals where there are savings, but the savings are going to happen once
the negotiation part mainly is completed. There are part savings which have already happened,
but unless we sign off those contracts with the suppliers, these savings is going to get reflected
only thereafter.
Out of the total value which we spoke, which A.T. Kearney has represented at Board level as
well to us, the total is between Rs. 260 crores to Rs. 300 crores . Certain parts of that has been
locked. The clear locking -in is in respect of the renewable power purchase agreement, which is
to the tune of roughly Rs. 5 crores to Rs. 7 crores . And the majority of other savings are under
contracting, which are yet to b e signed off. So , we will be in a position to definitely say about
annual savings once this contracting is signed off.

Nirav Jimudia: Correct. But safe to assume that whenever everything is in place, we could save close to around
Rs. 250 crores to Rs. 300 crores what you mentioned ?
D V Parikh : No, that is the claim they are making. We are yet to sign off as it progresses. Any management
consultant will make a claim of a certain amount, but then some of the initiatives do materialize
and some do n ot. And finally, management will certify how much is the actual saving which is
flowing into the books of account.
Nirav Jimudia: Correct. Sir, last two questions before I again join back. So one on the fixed cost revision. You
mentioned that it should be expected by June 2026 , so has the exercise completed and it's now
only upon the ministry to give the final decision on the same ? Or are further rounds of meetings
to be held up to decide on the same?

D V Parikh : As far as the industry and company is concerned, there are no further rounds of meetings which are happening. And this is a decision which is within the government, and the respective departments have to take appropriate positions on that.
Nirav Jimudia: Correct. Sir, last question is on, any shutdowns we have planned for quarter four or, let's say, for FY 2027? Any of our products which should or which may be going for a maintenance shutdown in Q4 or, let's say, anything which is coming up in next financi al year?
Nitin Patel: I am Nitin Patel. So far as Q4 is concerned, no shutdown is planned. Next major annual shutdown is being planned in 2027 , that would be in Q2, somewhere around the financial year.
Nirav Jimudia: Financial year 2027, right, or calendar year?
Nitin Patel: Sorry, April 2027 .
Nirav Jimudia: Okay. So it should be in the next year itself. Got it, sir. Got it. Thank you so much, sir. I will join back in the queue for further questions.
Moderator: Thank you. (Operator instructions) We have the next follow -up question from the line of Nirav Jimudia from Anvil Wealth. Please go ahead.
Nirav Jimudia: Yes, sir. Thanks for the opportunity again. Sir, one question on the downstreams of nitric acid. So, like we have seen that many of the players have put up their nitric acid plants, like Deepak Nitrite, even Deepak Fertiliser is also expanding. Chambal is also coming up with their own WNA, CNA plant. So your thoughts on, A, with the ammonia prices going up, has there been a commensurate increase in the prices of nitric acid ? And whether we are thinking in going into the further downstream of nitric acid, like c

alcium nitrite or potassium nitrite?

D. V. Parikh: Okay. Our nitric acid 3, which is the investment which is expected to come by June 2027 , has a clear downstream under AN melt. So a substantial portion of that is going to be consumed under melt. And there will be some portion available for merchant sale to the tune of roughly 70,000 tonnes out of 203,000 metric tonnes per annum. So that will be so ld in the market, and we have planned for the commercial sale of that and not the further downstream of weak nitric acid for this 70,000 metric tonnes as of now.
Nirav Jimudia: Okay. Correct. Sir, second question is on the CAPEX part. Like last quarter you explained that out of Rs. 2,800 crores of CAPEX split between all the four CAPEX es which are currently undergoing, if you can help us understand how much we have spent till December 2025 among each of them, that would be very helpful.
D. V. Parikh: Projec t-wise detail, we will provide to the Company Secretary, and he will share with you offline, if it is okay?
Nirav Jimudia: Fine, fine. No worries, sir. No worries. But, sir, totally if you can share how much we have spent till December, that also would hel p sir.
D. V. Parikh: Around Rs. 1,000 crores .
Nirav Jimudia: Rs. 1,000 crores , we have spent , okay. Sir, last question is on the boiler part you mentioned that has now been taken up as a project with Rs. 480 crores to Rs. 500 crores of capital investment. So is this a coal -based boiler which would be replacing some of our existing feeds, or would it help for further downstream projects which we are currently undergoing, or any sort of annual savings which it could accrue to us?
D. V. Parikh: Okay. Yes. This is going to be a coal -fired boiler, and there will be varying kinds of calorific value of coals that can be used. The specifications will be designed by the PMC who is going to be appointed. And obviously, because currently we have a boiler called a pulverized boiler, and we are going with a boiler called a CFBC boiler, which has more efficiency. If our current boilers are operating between 71% to 75% , this boiler is expected to have an efficiency of around 83%. So, obviously, there is a business case for it. But we are installing this boiler for the purpose of primarily reliability, aside from the financial savings which is coming as a bonus part to it.
Nirav Jimudia: Correct. So when this would be coming to the operations, like whe n it would be installed and the benefits should start accruing to us ?
D. V. Parikh: Okay. That is something we will let you know once the PMC is appointed and detailed engineering exercise is done.

Nirav Jimudia: Perfect. Sir, last in terms of our ammonia requirement, so like we require ammonia for most of our --
D. V. Parikh: May I give your answer to your question? The payments part which you asked on the existing CAPEX is Rs. 1,000 crores . But the actual commitment is already done up to Rs. 2,600 crores . It is like in the nature of giving contracts. Contracts are done , the payments are to the tune of Rs. 1,000 crores .

Like we have, let's say, an LSTK contract out of Rs. 1,420 crores , Rs. 1,100 crores , an odd amount is already with an LSTK contractor. Rs. 357 crores is for AN melt with Toyo. Around Rs. 330 crores worth of CAPEX is for AMUGL, which is the new ammonia loop. And for the coal-based, we are going to end a little below Rs. 600 crores of CAPEX . The approved CAPEX is Rs. 613 crores .

Nirav Jimudia: Correct. Sir, on the ammonia part, like, the ammonia is required in various products of our product basket. So, is the production through the oil route sufficient enough currently to meet the requirement, or do we need to purchase some ammonia al

so from t he outside market?

Nitin Patel: We are expanding the ammonia production by ammonia make -up loop, which would be to the tune of 50,000 tonnes per annum. There would be a requirement of ammonia for downstream new projects. So with capacity increase around 35 ,000 to 40,000 tonnes we will have to buy from the market. And with this, both buying from the market, 35,000 to 40,000 tonnes , and ammonia capacity expansion, our ammonia requirement for all downstream projects would be fulfilled.

Nirav Jimudia: Correct. So currently also we may be buying some ammonia from the market ?

Nitin Patel: Currently, depending upon the need, I will say the volume is very less.

Nirav Jimudia: Correct. And sir, just a last clarification, for ethyl acetate, we also require ethanol as one of the raw materials?

Nitin Patel: Yes, ethanol is one of the raw materials.

Nirav Jimudia: Got it, sir. Thank you so much, and wish you all the best.

Moderator: Thank you. We have the next question from the line of Aatur from ICICI Prudential Mutual Fund. Please go ahead.

Aatur Shah: Yes, thank you for the opportunity. Sir, just two questions. One on volumes. One, you explained, of course TDI we can operate at full capacity, so that volume will be there. At an aggregate level,

how much kind of volume growth we should expect in the coming year? That is question number one.

And secondly, as the previous participant also mentioned, you also mentioned on two of our key products, TDI and acetic acid, that there is some kind of positive movement on global p rices. So on domestic prices, have they shown similar movement already? One, you mentioned since January it has been, but on acetic acid, has that flowed through ? Or is it not yet visible in the domestic market? That is number two. Thanks.

Tejash Shah: I will briefly talk about the pricing part of the acetic acid and TDI. Yes, you are right , from January onwards, in both the products there is a positive movement as far as pricing is concerned, along with the global market.

D. V. Parikh: And on the volum e part, there is expected volume increase from TDI because the kind of hiccup which we have seen this year it is expected to improve the reliability going forward. So the focus of management is not only to realize the 50,000 capacity there, but even the en hancement for which the slack is already built up.

And from 2027 onwards, the volume increase is already in the public domain for both weak nitric acid and ammonium nitrate melt. There are going to be cost advantages to improve the profitability because o f two things. One is the capacity -building CAPEX , other than the growth CAPEX , which we briefed about. And second is the exercise which is being undertaken for the existing operations transformation. Now, how much of that is realized, we will keep on brief ing during quarterly calls.

Moderator: Thank you. As there are no further questions from the participants, that concludes the question - and-answer session. I now hand the conference over to Mr. D. V. Parikh, Executive Director and CFO, GNFC Limited, for the closing comments. Thank you, and over to you, sir.

D. V. Parikh: I will request our Company Secretary, Rajesh Pillai, to conclude this session.

Rajesh Pillai : Thank you, sir. I would like to thank all the participants and the senior executives of the comp any for joining this call today. I would also express my sincere gratitude to the moderator as well as Anurag Services LLP for coordinating this con -call. Thank you.

Moderator: Thank you, Management members. On behalf of GNFC Limited, that concludes this conference. Thank you for joining with us today . And you may now disconnect your lines. Thank you.

Call: May 2026

No. GNFC/ Transcript/ LODR
May 23, 2026

Dy. General Manager
BSE Limited
Corporate Relationship Dept.,
1st Floor, New Trading Ring,
Rotunda Bldg.,
PJ Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Code: "500670" The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
C-1, Block - “G”,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051
Symbol: "GNFC"

Sub.: Transcript of Investors / Analysts meet through Conference Call.

Dear Sir /Madam ,

We had vide our letter dated May 14 , 2026 intimated the Stock Exchanges about the schedule of Investors / Analysts m eet through Conference Call on Tuesday , May 19 , 2026 at 04:00 PM (IST) through Conference Call.

We send herewith a copy of Transcript of In vestors / Analysts meet through Conference Call which took place on Tuesday, May 19, 2026 at 04:00 PM. The said transcript along with the audio is also uploaded on the Company's website i.e. www.gnfc.in

We request you to kindly take note of the above.

Thanking you,

Yours faithfully,
For Gujarat Narmada Valley Fertilizers & Chemicals Limited

Rajesh Pillai
Company Secretary & Compliance Officer

Encl.: As above

Page 1 of 17

“Gujarat Narmada Valley Fertilizers & Chemicals Limited Q4 FY 2026 Earnings Conference Call ”
May 19, 202 6

MANAGEMENT : MR. D. V. PARIKH – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – GNFC
MR. NITIN PATEL – EXECUTIVE DIRECTOR – GNFC
MR. P.K. PUROHIT – EXECUTIVE DIRECTOR – GNFC
MR. RAJESH PILLAI – COMPANY SECRETARY AND COMPLIANCE OFFICER – GNFC
MR. TEJASH SHAH – MARKETING INDUSTRIAL PRODUCTS , GNFC
MR. V. BIRADAR – FERTILIZER MARKETING , GNFC

Gujarat Narmada Valley Fertilizers and Chemicals Limited
May 19, 202 6

Moderator: Ladies and gentlemen, good day, and welcome to Gujarat Narmada Valley Fertilizers and Chemicals Limited , GNFC , Conference Call for Q4 FY26 Earnings , hosted by Anurag Services LLP on behalf of GNFC Limited.
From the management, we have Mr. D.V. Parikh, Executive Director and Chief Financial Officer; Mr. Nitin Patel, Executive Director; Mr. P.K. Purohit, Executive Director; Mr. Rajesh Pillai, Company Secretary and Comp liance Officer; and other senior members of the management.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. D.V. Parikh, Executive Director and CFO, GNFC Limited. Thank you, and over to you, Mr. Parikh.
D.V. Parikh: Thank you, Mr. Anuj, for organizing and Mr. Riju for being moderator.
D.V. Parikh: On behalf of GNFC, we warmly welcome to all participants on this Q4 and FY26 conference call. The company has shared yesterday the results press release as well as investor presentation. Fair coverage is given on all the aspects, though we'll take up any points of question or observation during the question -and-answer session.
For the information of all, the company has completed 50 stable years on 10th of May 2026. On this journey, except for 1 year, the company has been profitable all throughout these years, except 1 year, which is year 2014 and '15. In a competitive world, this is a recognizable record as on its way to stable years of operation, it has provided path of prosperity to various stakeholders.
On this occasion, we start with good country level contribution during FY26, especially during Q4 of FY26 where the war emerged, the country had 2 issues before it. One is the avai lability of diesel exhaust fuel issue. And second is requirement from higher ammonium nitrate. In view of the war, there was disruption in the logistics where the company came forward and supported on this. My colleague, Mr. Patel will cover more on this.
Now coming to the operating performance, the quarter 4 performance in terms of chemical volumes has been better, whereas there is some impact of war in case of urea, which is recouped to some extent by utilizing the facility of technical grade urea. On a quarter 4 versus quarter 4 basis, the chemical is down, but the fertilizer has been up. On FY -to-FY basis, the numbers are not comparable in terms of production and sales because Bharuch had the annual turnaround.

If you talk about the physical performance and chemicals in specific, there are 2 chemicals which have seen the impact in terms of volume. One is acetic acid and second is methanol. There is -- in case of acetic acid, we had certain internal calculated issues because of which the volume was capped -- production volume was capped, which did not result into the sales volume, therefore. Whereas in case of methanol, the cost economics did not work out given the very high gas price. Even the oil prices have been hovering high, so we could not use even o ur oil -based methanol plant.
Sales volume more or less has scaled production volume. There is an inverted relationship which is noticed between acetic acid and methanol where acetic acid prices have tapered down, whereas the methanol prices have gone up. S o, this inverted relationship has affected to some extent, the cost economics of acetic acid as well. While the overall volumes were capped due to shutdown impact, so is better mainly due to relatively lower input cost, which ha

s been having a substantial
impact on a full year basis, whereas on a quarter 4, sequential quarter basis as well as year -on- year basis, there are strong realizations which have happened in case of chemical.
In spite of the competitive headwinds, which were particularly noticed in case of aniline TDI, the company not only survived but did better during the year. In case of fertilizer, the revision both in urea of fixed cost as well as energy norms are yet to h appen. And this is overdue as the losses are widening in case of Fertilizer segment. Coming to the financial performance, as is apparent, the revenue on a quarter -on-quarter basis improved by 11% on a Y -o-Y basis by 7%. Full year is not comparable, whereas PAT has improved on a full year basis by 35% to INR797 crores, with INR 1,065 crores of PBT.
Main reasons driving this profit is the better realization in case of chemicals, mainly in Q4 both sequential Q4 and Y -o-Y Q4, whereas on a full year basis, it i s mainly the impact of benign raw material prices, which are in relative terms benign. In terms of whether there are any one -timers

of note, there are one -timers of around INR30 crores in Q4 and around INR80 crores on a full year basis. If we compare the f ull year basis of a previous year, we are higher in terms of one -timer gains by around INR50 crores.
So, one -timers were INR30 crores last year, which is INR80 crores this year on a full year basis. Company continues to generate strong operating cash flow s as is apparent from the cash flow statement. Considering all this, Board has in general declared a dividend of 210%. This is INR21 per share, which is historically the second highest dividend in its history of 50 years. On the balance sheet front, with i nternal accruals, it is becoming healthy and ready with capex pipeline accumulating.
The new projects identification will have clarity by end of this calendar year for taking it to the investment table -grade decisions. Due to the war in the early -- late February and early March, it has impacted slightly the volume of TDI as well as neem urea. And like I said, the neem urea is compensated with technical grade urea because of the overall facility available. In terms of

segment, the improvement is mainly dri ven by chemicals. The other segment represents mainly the IT division, where there is an improvement in revenue of around 20% and the profit has doubled from INR17 crores to INR35 crores.
For the capex, there is an update which we have covered in the inve stor presentation that we had earlier plan of JV with INEOS. Now we are talking to them about licensing for additional capacity. So that dialogue is on with INEOS. Now I'm handing over the session back to moderator for further interactions with the stakeho lders. Thank you very much.
Moderator : Speaker, should we open the line for questions?
D.V. Parikh : Yes, you may proceed.
Moderator : The first question comes from the line of Nirav Jimudia with Anvil Wealth . Please go ahead.
Nirav Jimudia : Congratulations on a very good set of numbers. few questions I have, sir. First is, when we see our raw materials which are very, very critical in terms of our production, which are like methanol, which you have covered in your opening remarks, along with oil, which we procure from the oil marketing companies for our ammonia production as well as benzene and toluene. So how are we placed in terms of the availability of them, especially the oil part which we purchased from the IOCL for our ammonia production . So, if you can share your views here in terms of how we have been in Q4 and how are we in terms of Q1 and Q2 for our availability of raw materials?
D.V. Parikh: Okay. I'm D.V. Parikh. I will cover this question on behalf of raw materials, although they a re better placed. So, if I'm missing anythin

g, I'm requesting my colleague from materials to supplement.
So, in case of oil, there is no issue we have faced even after the Hormuz issue came up. So IOCL has been consistently supplying the required material s in terms of oil as a feedstock. As far as toluene and benzene is concerned, our contract, which was there for procurement of toluene, benzene expired sometime end of financial year. And we have got a short -term extension on those contract considering the war situation. However, we are not facing any issue in terms of its availability so far.
Although the prices have spiked because of the war situation, we are still not having any issue in terms of availability. Now I hand it over back to our materials te am for further comments.
Tejash Shah : Yes. Good evening. Already, our Executive Director, Mr. D.V. Parikh has appraised that as far as the supplies of oil, benzene, toluene is concerned, we are not facing any issues on front of availability till date. And whatever requirement is there, it is coming on a consistent basis.

Nirav Jimudia : Correct. And sir, about the methanol part because it is not viable to produce in India given the higher gas prices, how we have been able to secure methanol. And since the Ir an war has begun, I believe that there could be an availability issue coming from Iran also. So how we have been able to source effectively the methanol part and for how many months we are covered for FY '27, '28?
D.V. Parikh: Okay. See, methanol, first of all, you are right. It has gone through a volatility and that has affected the cost economics of acetic acid. So, what the company is doing is it is evaluating whether it is viable to produce acetic acid or source from the market for manufacturing the further downstream called ethyl acetate. So, we are following both.
If wherever we get the methanol beyond -- below the viable price, we procure methanol. In case

it is not working out, we also keep a channel open for sourcing acetic acid. So, this way, we k eep the customer -- we serve the customer demand and also try to optimize the contribution level.
Nirav Jimudia : Got it, sir. Sir, second, what I could see is that the oil cost for us during the quarter 4 was more or less similar to Q3. In fact, it was sli ghtly lower than what we have incurred for Q3. So if you can help us explain like what is the formula on which IOCL gives us the oil, A, and B, how could we see this cost for oil to us in Q1 or probably Q2? If you can just give the road map of the oil cost to us, that would be very helpful.
D.V. Parikh: As far as Q4, I'm D.V. Parikh. I will explain this. And thereafter, we hear from materials as well. As far as oil prices for sequential quarter basis is concerned, there is a reduction in the oil prices. Regarding your question, I also tell you about what is the reduction. There is a net reduction of INR 3,000 on a sequential quarter basis on a per metric ton sequential quarter basis.
Now coming to the question on how it looks like in Q1 as well as Q2, see, there is a volatility and there is a sharp volatility as compared to March, there was a significant difference in April. However, this keeps on changing and doing a prognosis on that based on how far the war is going to continue and what exactly is going t o happen to the straight from where most of the material comes with the Strait of Hormuz is anybody's guess. So, on future, Q1, Q2, we are unable to exactly answer your question because that's a prognosis for the future and hard to make prediction.
Nirav J imudia : Got it. But sir, like, let's say, from March to April, how much was the increase A and B, on what formula basis does IOCL give us like it is based on a monthly basis or it is fixed on a quarterly basis? So, what is the formula here?
D.V. Parikh: Okay. The broad contours of the fo

rmula we can give, it has a trailing impact in terms of like monthly, there is a cut -off monthly date of the previous month and thereafter, it considers 30 days. And it has a benchmark index with various elements being adde d for import duty, etcetera.
So this is -- these are the broad contours of the formula with IOCL.

Regarding your question on what exactly has been the increase in April versus March, this is something which is a sensitive information. But still, if Aman can give a broad idea, I request Nirmesh Desai to comment if you can.
Management: If you look at the oil prices prevailing in the month of March and oil prices prevailing in the month of April '26, there was a significant difference or significant rise i n the month of April on account of higher indices worldwide.
Nirav Jimudia : Correct. Got it, sir. Sir, if you can share the production numbers for ammonia, both from oil route and gas route, WNA, CNA, AN Melt, and TDI for FY26?
Nitin Patel : Ammonia oil r oute was close to 3 lakh metric ton. Gas route was 360,000. I am Nitin Patel, Executive Director. CNA was 147,000, and WNA, 430,000 approximately and TDI around 57,000.
Nirav Jimudia : Okay. Sir, AN Melt and Formic Acid?
Nitin Patel : Formic acid was close to 34,000, and AN Melt was close to 170,000.
Nirav Jimudia : Okay. Sir, you covered in your opening remarks that there could be an issue with reference to the acetic acid. But let's say, apart from acetic acid, are there any other products where we could see production problems or -- let's say, production difficulti es with reference to the availability of raw materials? Or -- also, if you can share that with reference to what we have produced in FY26, is there any product from our product basket where we can still optimize in terms of the production in FY27?
Nitin Pa tel: We have closed FY26 with no curtailment of any production. Productions were at peak and at optimized level. Going forward, it all depends on war situation, how quickly it resolves and what is stored in future. It is very difficult to predict as my co lleague has explained, Parikh sir.
Nirav Jimudia : Correct. And sir, out of this 147,000 tons of CNA produced, how much it was sold in the market?
Nitin Patel : Around 45%.
Nirav Jimudia : 45% was sold in the market. Okay. Correct. And any ammonia was available for sale in the spot market or entirely it was used for our captive production?
Nitin Patel : Entire ammonia was used for downstream captive production.
Nirav Jimudia : Okay. And there was no need to purchase any ammonia from the outside market, right?
Nitin Patel : That's right. In Q4, we haven't...

Nirav Jimudia : Correct. Sir, next question is on the aniline part. So when we see our presentation, like India

imports substantial volume like to the north of 250,000 tons, and we have been the only player. So just wanted to understand like why over the years, we haven't expanded the capacity. And if you can correlate this with like the A.T. Kearney, which we have hired.
So are there any suggestions from them in terms of any expansion for the Aniline part or why we've not been able to increase the capacity of Aniline given benzene is available in abundance in India. So what was stopping us for expanding the capacity of Aniline?
Nitin Patel : See, first, I will cover the technical part. Then Mr. Tejas w ill cover the market part, and then Parikh will summarize about Aniline question. So far as Aniline is concerned, the cost of hydrogen is important. Hydrogen is one of the raw material along with CNA and benzene. Benzene, I'm buying hydrogen, I'm producing from the fuel oil. And I have to compete with the Chinese producers who are producing the -- from coal, the requir

ed hydrogen.
And capacity of scale, I have a limited capacity. Chinese plant have more than 7 x or 8x a single location capacity. So scale mat ters. And there is an import dumping in the market, which I will ask Tejas to cover. And basically, on a stand -alone, we are not viable in aniline. So we are doing the job work, job work of some other companies on a fixed margin basis. Tejas?
Tejash Shah: I'm Tejas h Shah. Executive Director Nitin bhai said, it is right there is huge dumping from China, although there is an antidumping duty, which is minimal from Wanhua, it is $37 and other than Wanhua, it is $121 because Wanhua and all other big players ha ve a huge MDI plant and is an intermediate product in MDI production. So when the MDI market is slightly down, they dump the aniline in Indian market. So it is very difficult to compete with the China market Aniline. So that's why we have not enhanced our capacity because Chinese Aniline is very cheap.
Nirav Jimudia : Perfect, sir. Perfect. Got it. Sir, next question is on the TGU part. Like you highlighted and you alluded that TGU production was slightly better in Q4. So if you can share here that how much we have produced in Q4 and FY26, A and B? Let's say, as against our rated capacity of 169,000 tons, how much maximum we can produce TGU in a year? And why is TGU so much important from India's point of view? Like are there any substitutes for TGU which can be replaced on? So these are 2 sub points on TGU.
Nitin Patel : See, I will ask from production point of view, I'm Nitin Patel. Normally, my breakup is that around 20% of the total urea production, I can produce from industrial ammonia, oil -based ammon ia as a TGU. Now subsequent to war start -up -- war starting, we immediately increased the TGU production at the cost of neem urea because country wanted TGU. We are the only manufacturer apart from GSFC, which has a small quantum and little inferior qualit y than us. We have BS6 engines, need diesel exhaust fuel.
So entire logistic was on the verge of collapsing and we rose to the occasion. And we simply doubled our TGU production for the month of March . And we are still continuing on that,

keeping a little bit deficit on the neem urea compared to the target given by Department of Fertilizers. And this initiative was well appreciated by Ministry of Heavy Industries, Automobile Industry Association of India as well as Department of Fertilizers. So this is all about TGU.
In general, the capacity of 169,000 is an average capacity, which I spoke about. It largely depends on shutdown of the urea plant, which we take once every 2 years and also in between interruptions, if any in urea plant. We produced more than 21 0,000 in FY26.
Nirav Jimudia : Correct. So let's say, 210,000. So let's say, the urea production hypothetically should be or should be 1 million tons so that we can get 20% permissible limit to produce TGU. Is the right way to understand this?
Nitin Patel : No, my urea reassess capacity is 637,000. And I close by a deficit of around 15,000 to that figure and the rest was TGU.
Nirav Jimudia : Correct. Got it, sir. Perfect. Sir, next question is on -- let's say, the coal -based boiler, like last time you updat ed us that it was supposed to start in April. So what is the update there when it is going to start A and B, with the current gap increase between the gas and the coal prices, what is the current estimate in terms of the benefit in rupees per metric ton of savings, which could accrue for the TDI production?
D.V. Parikh: Okay. I'm D.V. Parikh, I'll answer this question. The coal -based CCPP, as we call it in our presentation was to start sometime in April, but the lump sum turnkey contractor faced certain delays and they have revised the date now for synchronization sometime in the third week of June. And f

or the performance guarantee test run to make it available on a full steam basis, it is sometime in the third week of August '26. So this is on the likely commissioning of CCPP.
Regarding the cost differential, gas prices are going up, so are the prices of coal have also gone up. Our last estimate was to the tune of around INR10 crores to INR12 crores per month, which

was the saving potential. So we maintain that the PAT should really accrue once it is up and running given the stated prices of gas and coal.
Nirav Jimudia : And this should start accruing to us from H2 of FY27, right?
D.V. Parikh: Yes.
Nirav Jimudia : Sir, last question before I join back in the queue, any update on the fixed cost revision for urea and revision of energy consumption norms, like you highlighted in your remarks that it has been now a long view. So where are we currently in terms of both these aspects?
D.V. Parikh: No, there is no particular update in terms of formal communication, okay? Although we keep on approaching department from time to time. But the update to us is energy norms are under approval and the fixed cost revision is still at discussion stage.

Nirav Jimudia : Okay. And sir, one more clarification, like are our entire product basket, what we produce, the sales happens on a spot basis, like whenever the price changes in the international market, we revise that? Or are there any contracted volumes also?
Tejash Sha h: I'm Tejas Shah. We are doing the variable price contract. Whatever the prices are changes along with the in ternational power plant market that will be effective to the customers, upward or downward.
D.V. Parikh: A small portion of this, we do it throu gh a very short -term contra ct as well. And that is what is the policy structure of the company also. But buying large, the contracts extend a month or 3 months at the most.
Nirav Jimudia: Thank you so much sir for giving me all the details. And wish you a ll the best. I'll join back in the queue.
Moderator : Thank you. Next question comes from the line of Rohit Sinha with Sunidhi Securities. Please go ahead.
Rohit Sinha : Thank you for taking my questions, sir. A couple of questions from my side. One is, I mean, we have seen a price increase in a lot of chemical products recently. So , just wanted to check that how much we have -- in how many products we have taken in the kind of price hike and where we have faced challenges in terms of taking any price hike? And how much of that benefit of increasing price was reflecting in Q4 number and possibly how much we would be expecting in the Q1?
D.V. Parikh : Okay. I will answer on an overall basis first, except formic acid, everywhere in chemical, there is a positiv e realization on a sequential quarter basis. And the higher realization, like you said, has contributed both on sequential and Y -o-Y basis to this profitability. As far as individual product pricing is concerned, I will request our marketing colleague, Shri. Tejas bhai Shah to respond.
Tejash Shah: Yes. As Mr. Dilipkumar Parikh has said, except formic acid, all the -- we are getting -- we got good realization in Q3 compared to Q4.
Rohit Sinha : Even Q4 compared to Q3?
Tejash Shah: Yes. Q4 compared to Q3.
Rohit Sinha : So any -- I mean, broader number, if you can highlight about the percentage where we have seen, like 30%, 40% on an average?
Tejash Shah: Product to product, but if you see the range, it is from 6% to 28%.

Rohit Sinha : Okay , okay . And simi larly for the fertilizer side, how the price revision we are expecting going forward? Because I guess we haven't seen anything as of now. So probably can we expect fertilizer division to turn positive in coming quarter or it will still rem

ain at the EBITDA level,
it will still remain in the similar range?
D.V. Parikh : In fertilizer, there is an under recovery like we covered. And until the time norms are revised, both for fixed cost and energy, we see almost no chance in case of urea. In case of the comple x fertilizer, we do on -- because of this nutrient -based pricing at a contribution level.
Rohit Sinha : Okay , okay . And just one last question on this capex towards the ammonium nitrate and nitric acid thing. So how that is progressing for us? And how we a re seeing the market overall for this ammonium nitrate going forward for FY '27, '28?
D.V. Parikh : See, both these 3 projects actually, ammonium nitrate, weak nitric acid and ammonia expansion are going on track. There is a slight minor delay in case of w eak nitric acid of around 2.5 months. The rest are all on stream. As far as the price prognosis is concerned, I will request marketing to respond on this.

Tejash Shah: As far as the ammonium nitrate is concerned, CAGR is around 6% to 7%. So slowly all the capacities Chambal, even Deepak Fertilisers and GNFCs are coming up with their plants.
Slowly, all the capacity will be absorbed presently around 4 lakh, 4.5 lakh import is there in ammonium nitrate. So based on the domestic capacity increase, there will be no import in the future and domestic production will be absorbed in the market.
Nitin Patel : And I'm Nitin Patel. If you know the public news recently, Government of India has announced that coal -based chemicals would be a priority. There is a package announced. And Coal India has a very ambitious target for the mining. And for mining, the explosives are required and for explosives, ammonium nitrate will be consumed.
So going forward, as Mr. Tejash told, looking to CAGR and ambitious thrust by Governmen t of India for self -sustenance on coal route, we do not expect any issue in absorbing the additional volume produced by us.
Rohit Sinha : Got it , got it. And sir, if you could help us with the price trend in last 2, 3 months of this ammonium nitrate?
Tejas h Shah: Ammonium nitrate price in the Q4 , ammonium nitrate price was increased just because there was an increase in ammonia price, international ammonia price. And presently price is stable, whatever they at the peak level. And we are observing the marke t. Import is less at present just because of Russia and Ukraine conflict because mostly import is coming from the Russia. So presently, price is good in ammonium nitrate.
D.V. Parikh : So on a quarter -on-quarter basis, there is a 20% improvement in the ammonium nitrate prices.

Rohit Sinha : Got it, got it. And that is currently sustaining at higher side?
D.V. Parikh : Yes.
Rohit Sinha : Okay, okay. That’s it from my side, sir. Thank you.
Moderator : Thank you. Next question comes from the line of Aman Kothari with Aequitas Investments. Please go ahead.
Aman Kothari : Thank you. Congratulations, sir, for the wonderful set of results. S ir, first question that I have is, can you just give us an idea on the chemicals that will see limited operation ability in Q1 because methanol is a challenge that we have been facing. So are we facing difficulties in production of, let's say, acetic acid, methanol and also, I think ethyl acetate is where we use glacial acetic acid. So are these 3 products being affected?
Nitin Patel : If you remember -- I'm Nitin Patel. If you remember, our CFO has already covered this issue in the opening remarks and in the first question. In Q1, the gas prices are high. So methanol production is not viable. At the same time, we are explor ing both the options for our downstream that is at a threshold to buy methanol for captive production of acetic acid or to buy acetic at a threshold price for the captive production of ethyl acetate.
Aman Kotha

ri : Got it. And sir, currently, as you mentio ned, TDI and toluene both have seen price increase. But can you just give us an idea on what the improvement has been in quarter 1 on the spread? Because I think at the end of the year, we were almost at a 3 -year high in terms of the spread.
Rajesh Pillai : Aman, this is Rajesh here, Company Secretary. And I would request all the investors because this con call is for Q4 as well as for FY '25, '26. So I request all the investors to please limit their questions to that quarter because Q1, it's a price -sensit ive information, we will not be able to provide such details.
Aman Kothari : Okay. Sir, this quarter, we have also seen an increase in the loans and advances. So from INR565 crores, we have gone to roughly INR 2,400 crores. So can you just give us an idea on what this increase has been?
D.V. Parikh : See, this is an interest rate change. When the investment profile changes from one source to another source, this is the difference. So , we also invest on inter corporate deposits , okay, for the surpluses. So t his change in amount reflects that as well.
Aman Kothari : Okay. And it has been done for a strategic purpose?
D.V. Parikh : See, for the time being till the time our capex cycle is over, we park with the best yield to the extent possible. So these are the decisions which are based on yield base for temporary surpluses.
Aman Kothari : Got it.

Moderator : Mr. Kothari, are you with your questions?
Aman Kothari : No. Just the last question on my side before I join the queue again. Do we have any plans for a buyba ck currently? Is there anything on the table that we would consider?

Rajesh Pillai : As of now, we have nothing in the pipeline. So it will be all decided, and we will inform to the investors and the shareholders as and when the situation arises.
Aman Kotha ri: Okay. And just the last question, I think there was a policy or news that came out that government is looking to come up with a new urea investment policy. So in that case, if there is a policy that comes out in support of setting up domestic urea manu facturing facilities. Is it something that the management would consider?
D.V. Parikh : It depends upon what are the details of the policy. So without going to details of the policy, it is premature to comment. And second is we will have to compare it with the other investment opportunities which is available in general. Normally, what happens is this is a regulated kind of business segment. And chemical is more or less an unregulated one.
So our experience so far has been, like you see in the segment result s also, we make good money in unregulated ma rkets. Unregulated not so governed in terms of caps on profit. At times we lose, at times we gain. But this is how it operates. It does not remain parallelly into losses.
So when it comes to fertilizer, we'll hav e to evaluate the details of the scheme as and when announced.
Aman Kothari : Got it. Thank you sir I will just join back in the queue.
Moderator : Thank you. Next question comes from the line of Nirav Jimudia with Anvil Wealth . Please go ahead.
Nirav Jimudia : Thanks for the opportunity. Sir, you mentioned that th ere was a onetime income of INR80 crores in FY 26. So what was it all about? And how m uch we have booked in Q4 of FY26 out of this INR80 crores?
D.V. Parikh : Q4 has INR 30 crores of one timers. When we talk about one timer, basically, it is like sort of insurance receipt which are there. Government of India has settled the freight rates effective '21, '22 until '23, '24. So that income is also part of that. Mainly it comprises of these 2 when we talk about INR 30 crores.
And whe n we talk about INR 80 crores, li ke last time it was already INR50 crores. This time, it is INR 80 crores. I 'm sorry, last time, it wa

s INR 38 crores, and this time it is INR 80 crores. So there is a net difference of around INR 45 crores or so in terms of income, one timer income.

And again, this represents mainly the insurance receipt and escalation of fertilizer freight rates, urea freight rates. Aside from this, we had onetime income on di sposal of catalyst dust of wheat nitric acid plant and some penalty on account of the CCPP delay, which is the power plant delay at Dahej.
Nirav Jimudia : Perfect, sir. Got it. Sir, apart from the raw material issue, which may come or which may not come for our production schedule, are there any planned shutdowns which we are planning for next year?
Nitin Patel : We have a planned shutdown in April '27.
Nirav Jimudia : Okay. Perfect. Sir, next question is on the ammonium nitrate. So the production numbers, what you just gave us, is it also inclu des the by -product AN melt, which we get from ANP production or that is separate, sir?
Nitin Patel : Yes, yes, it's a total.
Nirav Jimudia : Okay. And how much gener ally we get by -product out of AN P fertilizer?
Nitin Patel : My direct synthesis is 50,000 and rest is by -product.
Nirav Jimudia : Okay. Got it. Perfect. Sir, next question is on , when we see on a quarter -to-quarter basis, like there was INR 300 crores improvement in the EBITDA between Q3 to Q4. So if you can just highlight which of the products have contributed to this improved performance in order of their contribution? That would be very helpful.
D.V. Parikh : So you want the major product which contributed to this performance?
Nirav Jimudia : Correct. Improved performance.
D.V. Parikh : Okay. So one i s TDI. Second is ammonium nitrate, and third is technical grade urea. So these are the products which have contributed to the improved performance during Q4 on a sequential quarter basis.
Nirav Jimudia : Got it. Perfect. And sir, last question from my side. Last time, you have explained us about some cost-saving measures, which could accrue to us in FY 27 based on AT Kearney's recommendation. So now with 3 months or 4 months passing through between our last conversation, so are there any further measures bein g directed or given by , or suggestions given by AT Kearney, which now could be safely implemented by us or there could be some further cost saving initiatives? Anything which you can share?
D.V. Parikh : Okay. See, when they were appointed, there was a savi ng number, which we discussed. Overall, there is some delay in the overall realization as well as indication from their side, which they also acknowledge. As far as approval is concerned, there are certain proposals which are made

and which are in the proc ess of approval. Once that is done, the number would be woven, but then it will start gradually shipping into '26, '27.
As far as last year is concerned, there is some saving on account of oil, which has happened due to their effort. So all the numbers sho uld be reconciled one day with them when the assignment is about to be over. So let all the initiatives as of now take place and different initiatives will give different kinds of savings with a different intensity. So we will reconcile at the end of the assignment. Though some saving has already accrued. And that saving to some extent has arisen in case of predominantly the oil.
Nirav Jimudia : Perfect, sir. Last bit from my side, like slightly on a technical part. Sir, you explained us about the aniline part like hydrogen as well as CNA and benzene are the key raw materials for aniline. So just wanted to understand how is , so let's say, from my understanding point of view, like first nitrobenzene is produced and then the aniline is produced when we go thr ough the synthesis process.

And what I believe is that even nitrobenzene, there is good demand from even the rubber chemicals and other industries.
So if you can just explain me the technical part in terms of where the nitrobenzene comes in this production process and how much nitrobenzene we produce on an annual basis?
Nitin Patel : Nitrobenzene rightly you explained, it is an intermediate and it is reacted with hydrogen to produce the aniline. And CNA plus benzene are used to synthesize the nitrobenzene.
Nitrobenzene has a limited market. Bulk goes for captive ani line production. I'll ask Tejash to say a few words about the nitrobenzene market.
Tejas h Shah : Yes, you are right. Nitrobenzene is used in rubber chemicals. We are supplying to the rubber chemical manufacturers. But most of the nitrobenzene goes to the aniline production. We have a market, and we are selling nitrobenzene as an intermediate product.
Nitin Patel : Close to 13% is going for sale and rest is going for captive.
Nirav Jimudia : Got it . Thank you so much sir and wish you all the best.
Moderator: Next question comes from the line of AM Lodha with Sa nmati.
AM Lodha: Mr. Parikh. Sir, my question is related to plant capacity utilization. The overall capacity is on the plant of TDI, acetic acid, and all other plants. The company is running at what capacity?
Management: See, plants are running at a peak capacity. Capacity utilization in case of acetic and most of the plants is above 100%. So far as TDI is concerned, it is close to 80%.
Worldw ide, the operating factor for TDI is close to 80% because of the complexity and challenges in operation and maintenance of the plant and nature of the material which is to be

handled. So, we are close to global benchmark even for TDI in spite of many issue s which we are facing at times.
AM Lodha: Congratulations, sir. TDI is our bread and butter. And if we are operating plant at 80%, the TDI prices are remunerative to the company, sir?
D.V. Parikh : In last quarter, yes, we had good prices -- remunerative pr ices. Current quarter also, the prices are -- have softened down, but still better.
AM Lodha: Okay, sir. Another thing, sir, second question, the onetime INR 80 crores additional income or extraordinary income, which is pertaining to us, sir?
D.V. Parikh : I'll explain again. First of all, the net difference on a year -to-year basis, absolute amount is INR 80 crores, but the net difference is INR 50 crores because last year anyway around INR 38 crores were there. Now coming to the factors which have contribut ed to one -timers, like I explained, we had an insurance receipt of around INR 28 crores.
We have settled escalation freight claim of INR15 crores. And we also had some realization on account of catalyst dust of weak nitric acid plant. And the fourth one is related to some penalty recovery for the delay in the project of CCPP.
AM Lodha: Okay, sir. My last question, sir, INR 2,400 crores is shown in advances sales, which I could gather from the conversation that it is inter corporate loans. It is given to PSU companies or the private sector companies, sir?
D.V. Parikh : PSU.
AM Lodha: PSU. What is the interest rate accruing to the company, sir?
D.V. Parikh : Around 7.25 %.
AM Lodha: Inter corporate is 7.25 %?
D.V. Parikh : Yes.

AM Lodha: Nowhere in the world, inter corporate loans are being given at 7%. Is it the Gujarat State Financial Corporation?
D.V. Parikh : Yes.
AM Lodha: Okay, it's all right, sir. Because the amount is secured, then it's all right, sir. I thought -- we thought it is private sector, it is inter corporate loans ranging...

D.V. Parikh : No, no. Our company's governance doesn't allow loan to private sector like that. It is only our o

wn arm where we can draw for the real capex needs in time to come. So, you are free to ask any other question, sir?
AM Lodha: Only last question, sir. The acetic acid prices. Acetic prices and ethyl acetate prices, they are correlated. So, I just wanted the acid, what is the trend of the acetic acid prices and trend of ethyl acetate?
Tejas Shah: Presently, as far as the i nternational trend is concerned, the acetic acid as well as ethyl acetate trends are in reducing trend, both the prices. International prices are both -- international prices are reducing trend.
D.V. Parikh : I will cover for a full year basis. Practically, if you see the full year last year and this year, practically, there is no major change. We had a realization where it has not changed even by INR1,000 in both the products taken together. But if you see quarter -to-quarter because of this kind of disrupti ons, there is an upheaval in the prices. But on a full year basis, there is less than INR1,000 per metric ton difference.
Moderator: Next question comes from the line of Rohit Sinha with Sunidhi Securities.
Rohit Sinha : Yes. Just one question, sir. On the capex side, how much the overall capex would be there for FY27 and FY28?
D.V. Parikh : The capex for FY27 is going to be around INR 2,800 crores.
Rohit Sinha : And for FY28, if you can share?
D.V. Parikh : FY28, we would be in a position to tell in quarters coming because as we finalize the rest of the capex and come up in terms of its schedule, we will come to know better.
Rohit Sinha : Okay. Got it. And this ammonium nitrate – nitric acid and ammonia plant w ill be finally coming up by FY28 at least, I guess.
D.V. Parikh : Yes, next year, these are going to come up. All the three -ammonia expansion, the nitric acid, ammonium nitrate melt, all are going to come up by next year. And this year, the CCPP is going to be operational by quarter 2.
Moderator: Ladies and gentlemen, as there are no further questions, we have reached the end of question -and-answer session. I now hand the conference over to Mr. D.V. Parikh, Executive Director and CFO, GNFC Limited for closin g comments.
D.V. Parikh : Thank you very much for attending the call to all the participants. And on behalf of GNFC, we welcome further questions, if any, through our Investor Services cell. And please stay in touch.
Thank you very much. With this, I hand over the call to our Company Secretary.

Rajesh Pillai: Thank you, sir. I, on behalf of the participants and the senior members of the company, thank all the investors for joining this call. And I express my sincere gratitude to Mr. R enju as well as Mr. Anuj of Anurag Services for conducting this call.
D.V. Parikh : Thank you.
Rajesh Pillai: Thank you.
Moderator: Thank you. On behalf of GNFC Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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